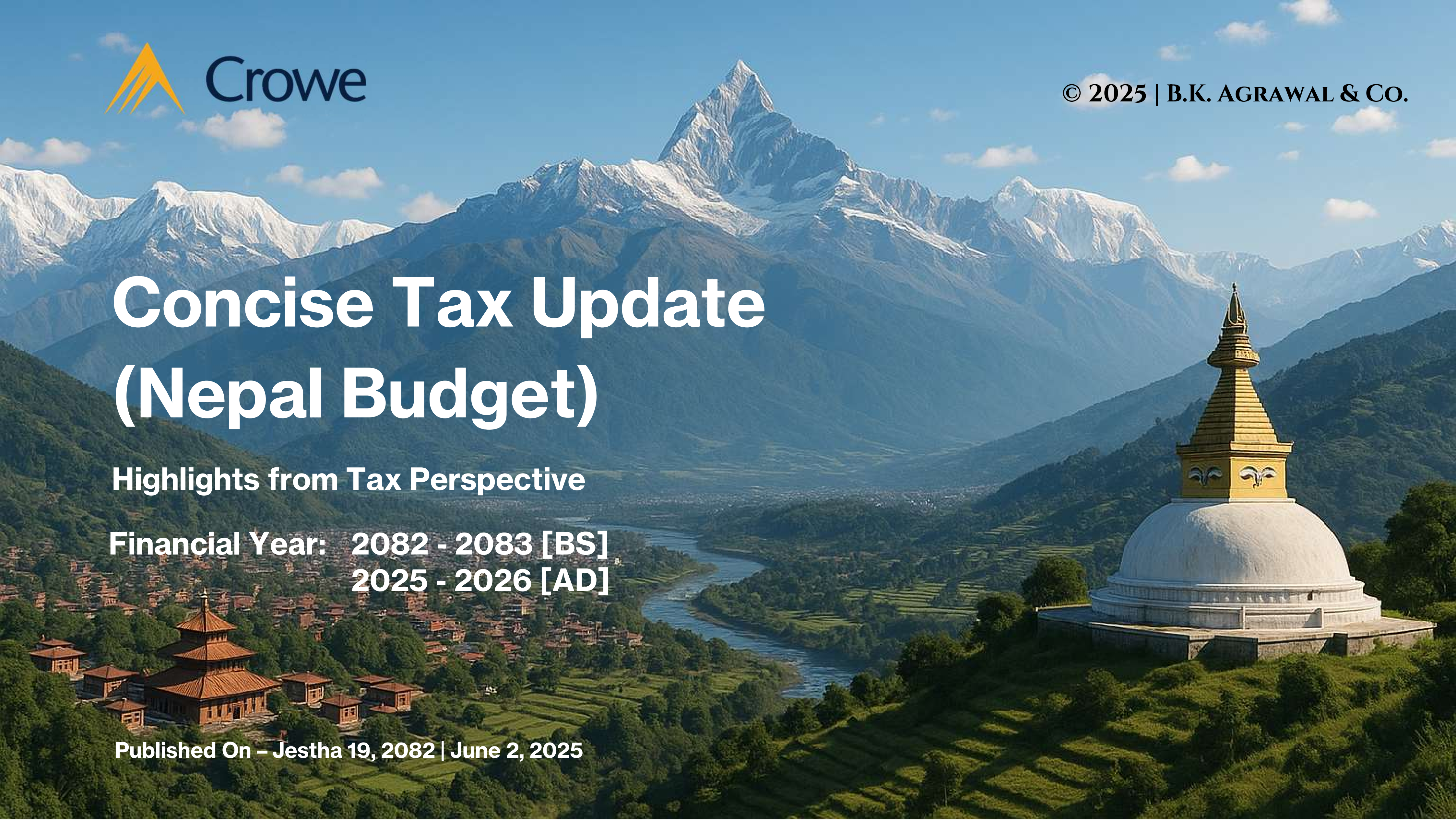

Crowe

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Concise Tax Update (Nepal Budget)

Highlights from Tax Perspective

Financial Year: 2082 - 2083 [BS]
2025 - 2026 [AD]

Published On – Jestha 19, 2082 | June 2, 2025

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(green)	Effective Immediately
(peach)	Effective - Shrawan 1, 2082

Foreword

B.K. Agrawal,
Managing Partner
B.K. Agrawal & Co.
(Crowe Nepal)

As we present the Budget Highlights for FY 2025-26, Nepal's economy is showing encouraging signs of steady recovery and resilience. The economy grew by an estimated 4.4%–4.6% in FY 2024-25, supported by strong remittance inflows, a revival in tourism and services, and improved agricultural productivity driven by better irrigation and mechanization. Inflation has moderated to manageable levels, fiscal discipline is strengthening, and foreign exchange reserves remain robust, providing a solid foundation for sustained growth.

Looking ahead, the Asian Development Bank and World Bank project an acceleration in growth to around 5.1% in FY 2025-26, with some forecasts even suggesting up to 5.4% in subsequent years. This optimism is underpinned by ongoing government reforms aimed at improving capital budget execution, increased private sector activity, and expansion in key sectors such as manufacturing, construction, hydropower, and agriculture. The easing of monetary policy and declining interest rates have also improved credit availability, further fueling economic activity.

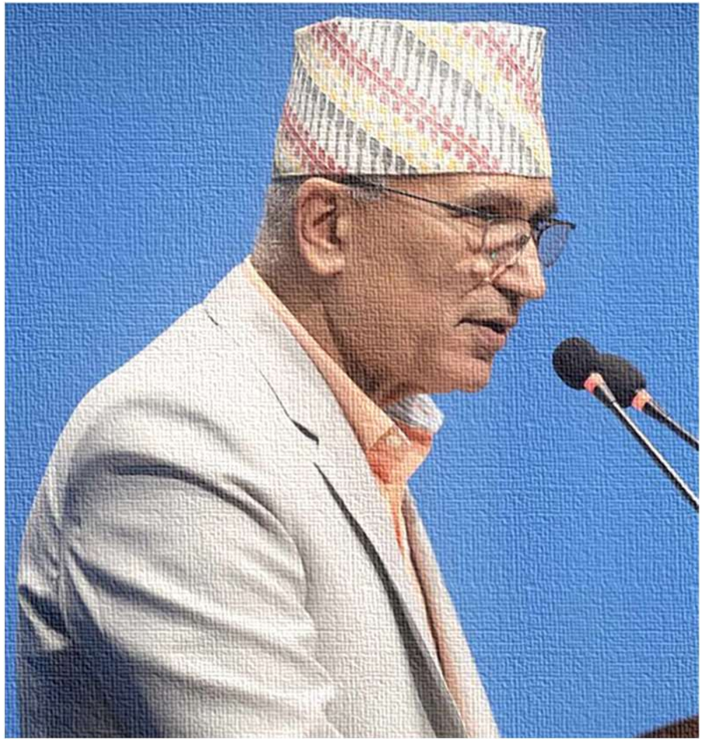
However, challenges remain. Risks include external shocks from geopolitical tensions and trade uncertainties, potential financial sector vulnerabilities due to rising non-performing loans, and delays in infrastructure projects caused by budget execution inefficiencies. Effective policy implementation and structural reforms will be critical to overcoming these hurdles and sustaining the growth momentum.

Our firm remains committed to supporting clients through this dynamic economic environment by providing timely insights and strategic guidance. We believe this Budget Highlights report will be an essential tool for policymakers, business leaders, and stakeholders to make informed decisions that align with Nepal's growth trajectory and development goals.

Foreword (1/3)

➢ Address of the FM:

- ❑ The Honorable Deputy Prime Minister & Finance Minister, Bishnu Prasad Poudel presented annual budget of **NPR 1,964 billion** **[PY NPR 1,860 billion]** on May 29th, 2025, for the FY 2082-83 (2025-26) through Finance Bill, 2082.



➢ Objectives of this budget:

- ❑ To eradicate poverty by fostering high, sustainable, & broad-based economic growth.
- ❑ To create jobs through entrepreneurship development & increased public-private investment.
- ❑ To boost productivity by promoting the use of modern technology.
- ❑ To uphold social justice through targeted social protection and inclusive development.
- ❑ To improve the quality of public services and ensure good governance.

➢ Priorities of this budget:

- ❑ Promote entrepreneurship, employment, production, and productivity.
- ❑ Expand investment in high-return and sustainable physical infrastructure.
- ❑ Achieve qualitative improvements in the social sector.
- ❑ Ensure balanced regional development and strengthen social security.
- ❑ Provide citizen-friendly services, control corruption, & implement governance reforms.

Foreword (2/3)

Nepalese Economy in FY 2024–25: - Current Situation

Nepal's economy in Fiscal Year 2024–25 is undergoing a phase of moderate recovery. According to major forecasting agencies, real GDP growth is projected to range between 4.4% and 4.61%, marking a notable improvement from the previous fiscal years where growth remained subdued at 1.98% in FY 2022–23 and 3.67% in FY 2023–24. Despite the government's ambitious target of achieving 6% growth, the actual performance fell short, with official estimates finalizing at 4.61%.

Key economic indicators for FY 2024–25 reflect this transitional phase. The estimated GDP stands at NPR 6.107 trillion, with sectoral contributions comprising Agriculture (25.16%), Industry (12.83%), and Services (62.01%). Per capita Gross National Income (GNI) reached USD 1,517.

Inflation has shown signs of moderation, averaging between 4.7% and 5.2%. Remittance inflows registered a healthy growth of 9.4%, amounting to NPR 1.051 trillion. On the external trade front, exports rose significantly by 57.2% year-on-year, while imports saw a more modest increase of 11.2%. Foreign exchange reserves reached a record high, now sufficient to cover 14.3 months of imports.

On the fiscal side, public debt is recorded at NPR 2.676 trillion, representing 43.8% of GDP, while the fiscal deficit sharply narrowed to NPR 16.19 billion from NPR 70.36 billion in the previous year.

In terms of infrastructure, electricity access now extends to 99% of the population, with total generation capacity standing at 3,602 MW.

Sectoral Performance and Growth Drivers

The services sector continues to be the main engine of growth, buoyed by revived trade and tourism activities. However, temporary constraints in tourism capacity due to ongoing airport upgrades have posed some limitations. The industrial sector is expected to rebound on the back of expanded electricity generation and supportive construction policies. The agriculture sector is also expected to perform positively, supported by favorable monsoons and productivity improvements, with a projected growth of 3.2%.

Challenges and Risks

Despite these encouraging signs, several structural and institutional challenges remain. Public enterprises have seen profits decline by 12.88%, while net losses have increased by 8.65%. Investment and infrastructure development have faced mixed outcomes due to underutilization and delays in budget execution. Risks to the economic outlook include trade and geopolitical uncertainties, financial sector vulnerabilities, and policy inconsistency stemming from frequent changes in government leadership.

***Source: World Bank & ADB Reports**

Foreword (3/3)

Prospects for FY 2025–26

The outlook for FY 2025–26 is cautiously optimistic. Both the Asian Development Bank and World Bank forecast Nepal's GDP growth to accelerate to around 5.1%, contingent on improved capital budget execution and sustained momentum in tourism and services. Other key growth drivers include expansion in manufacturing and construction sectors and continued gains in agricultural productivity, provided weather conditions remain favorable.

Inflation is expected to moderate further, averaging between 4.4% and 5%. The fiscal deficit is projected to remain around 2.5% of GDP, while public debt is anticipated to be sustainable at approximately 43.4% of GDP. Foreign exchange reserves are expected to remain at prudent levels.

However, risks persist. Economic growth remains sensitive to potential external shocks, fluctuations in remittance inflows, trade imbalances, and delays in policy execution. Addressing these risks will be key to ensuring a stable recovery.

Policy Focus and Reforms

The government has placed strategic emphasis on youth employment generation, governance reforms, and infrastructure development. Public-private partnerships and international investment summits are being prioritized to attract capital and boost economic confidence. Crucially, the effective implementation of structural reforms and enhanced capital expenditure are deemed vital to sustain higher growth and to realize long-term development aspirations.

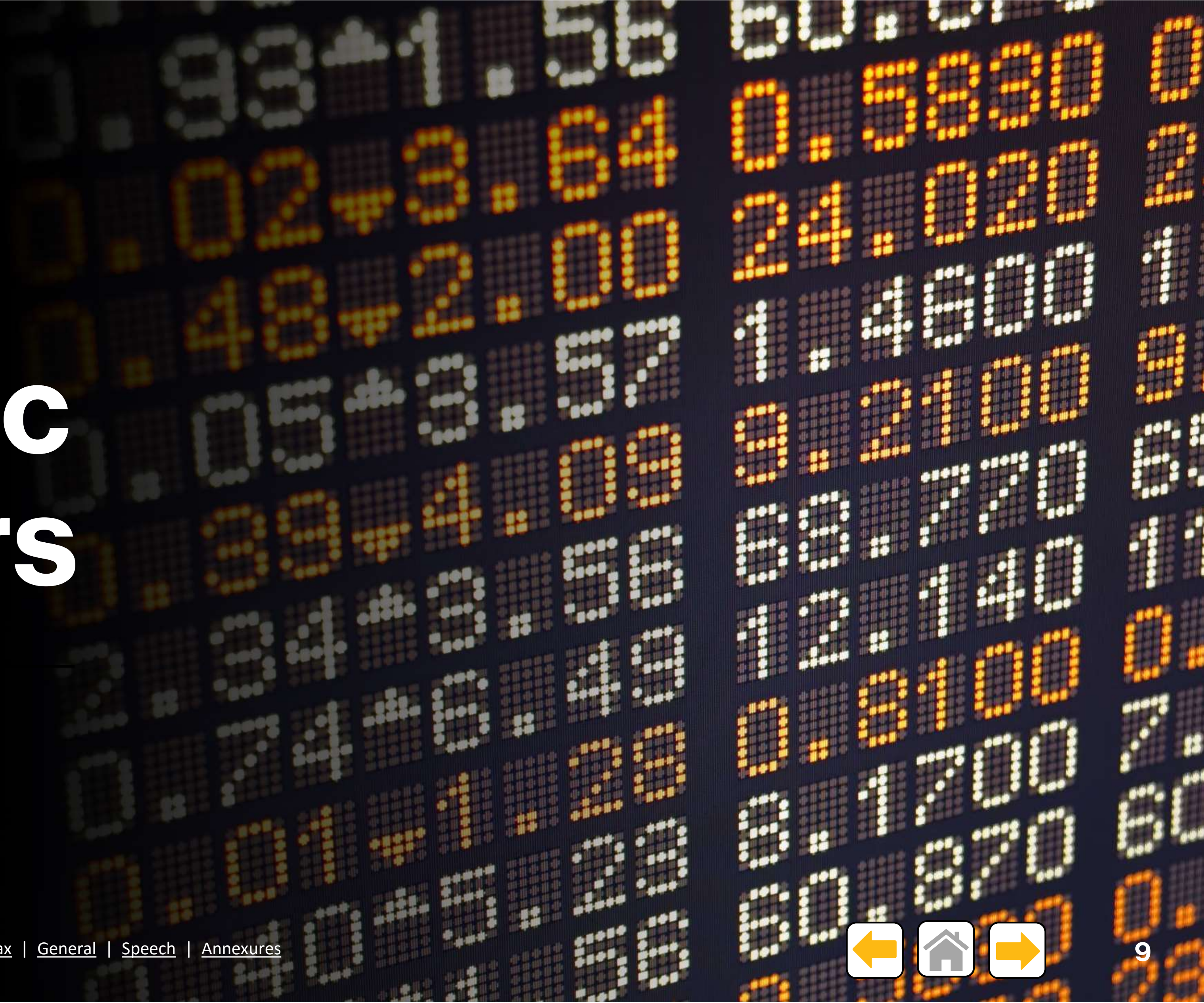
Conclusion

Nepal's economy is on a recovery path in FY 2024–25, supported by resilient remittance flows, expansion in the services sector, and improving macroeconomic fundamentals. The prospects for FY 2025–26 appear more promising, contingent upon the timely implementation of reforms and stability in external conditions. Nevertheless, continued policy vigilance and strong institutional execution will be essential to mitigate existing vulnerabilities and steer the economy toward sustainable and inclusive growth.

Indicators	FY 2024–25 (Provisional)	FY 2025–26 (Forecast)
GDP Growth	4.4%–4.61%	5.1%
Inflation	4.7%–5.2%	4.4%–5%
Fiscal Deficit (% of GDP)	~2.5%	~2.5%
Public Debt (% of GDP)	43.8%	~43.4%
Foreign Reserves	14.3 months import	Prudent levels

***Source: World Bank & ADB Reports**

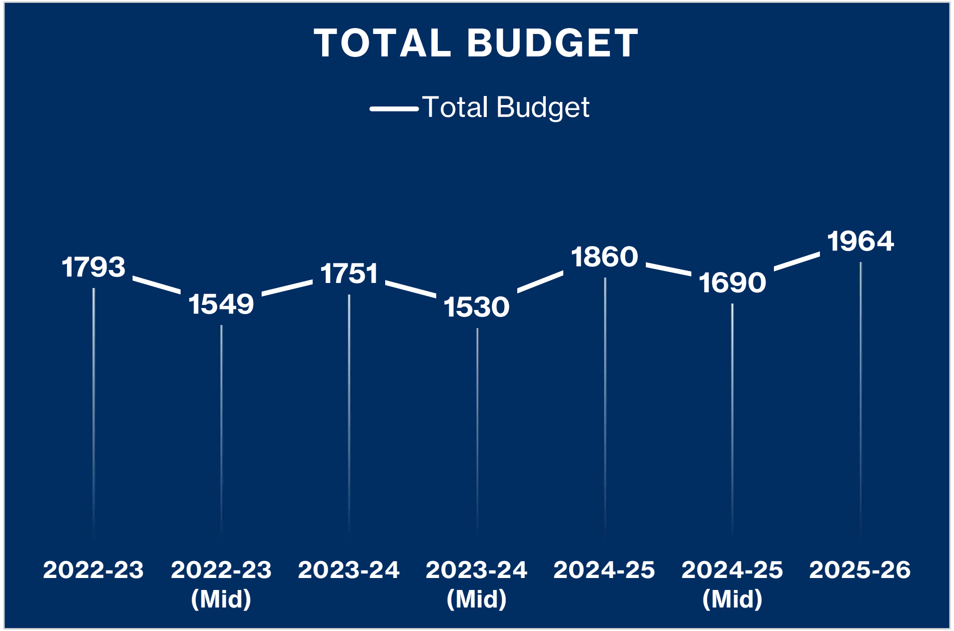
Economic Indicators



Economic Indicators (1/5)

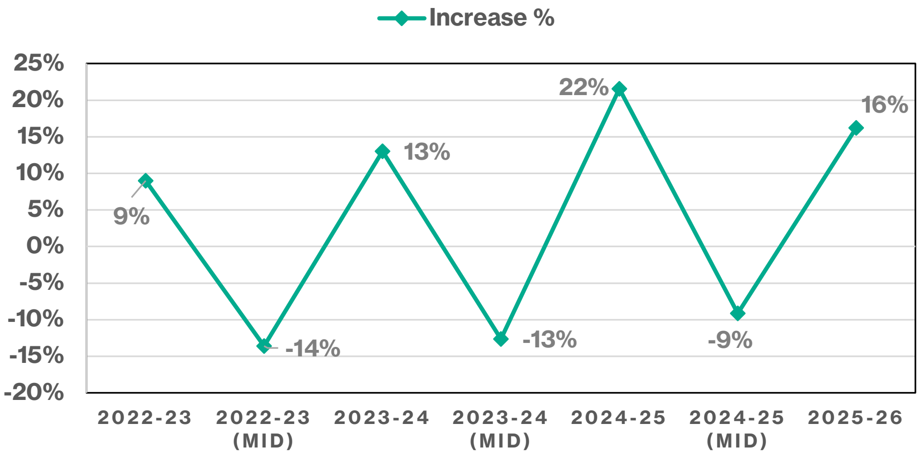
Size of the Budget [2022 to 2026]:

Figures in Billions (NPR)



*Source: Ministry of Finance, Nepal

- The government has announced the budget size of **NPR 1,964 billion** for FY 2082-83 (2025-26).
- There is an increase of **NPR 274 billion** from the mid-year revised budget size of FY 81-82. In terms of percentage, we can see **16%** growth in the size of the budget.

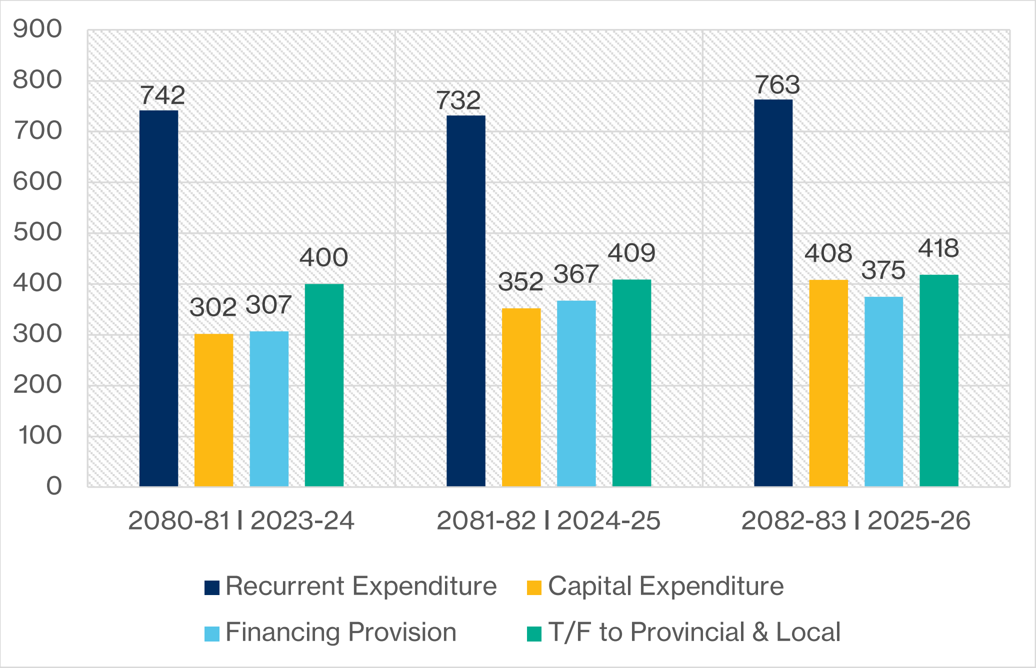


*Source: Ministry of Finance, Nepal

Economic Indicators (2/5)

Application of Annual Budget:

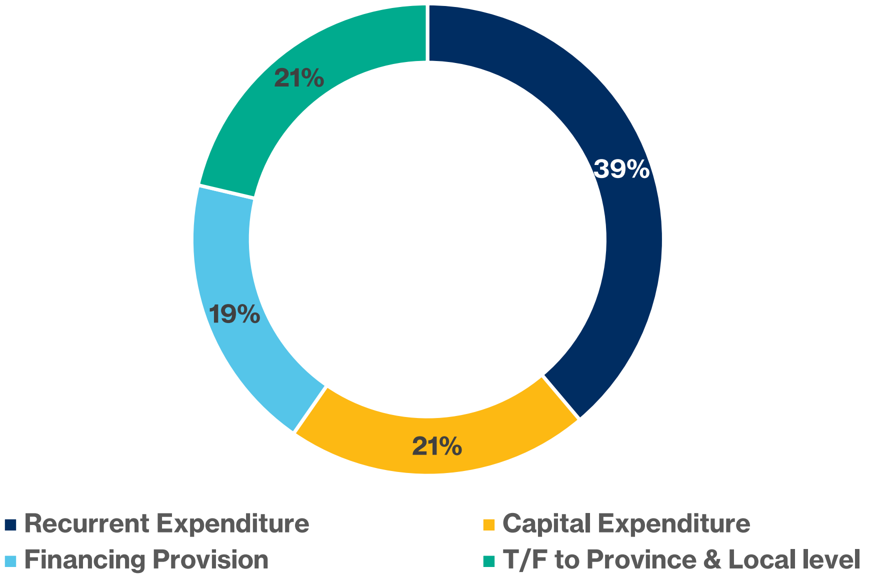
Figures in Billions (NPR)



Note: Initial Budgets announced for each year have been considered above.

*Source: Ministry of Finance, Nepal

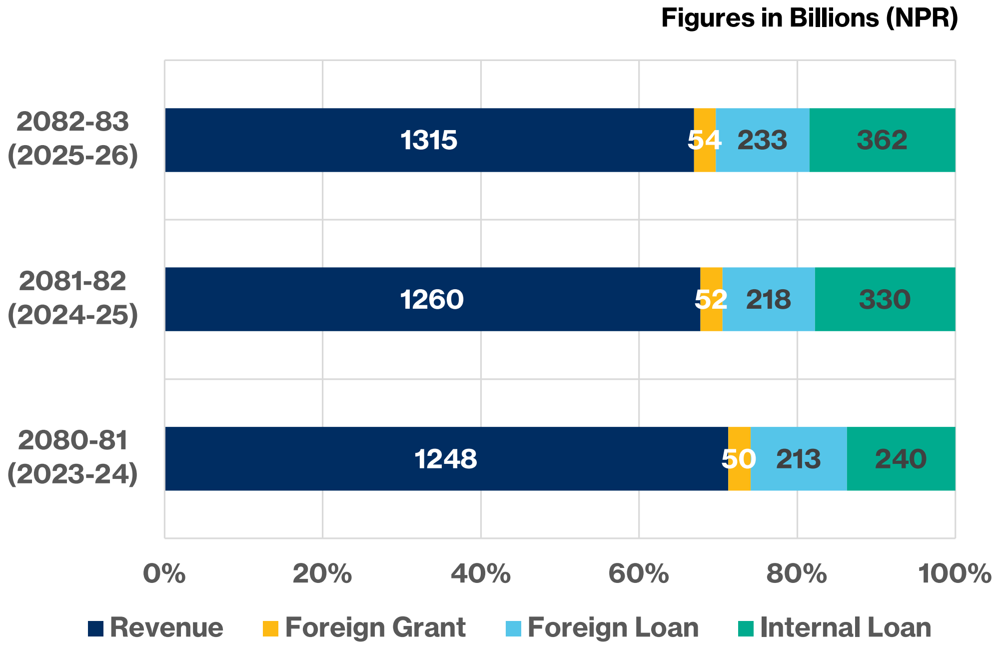
Application of Budget in % for FY 2082-83 (2025-26)



*Source: Ministry of Finance, Nepal

Economic Indicators (3/5)

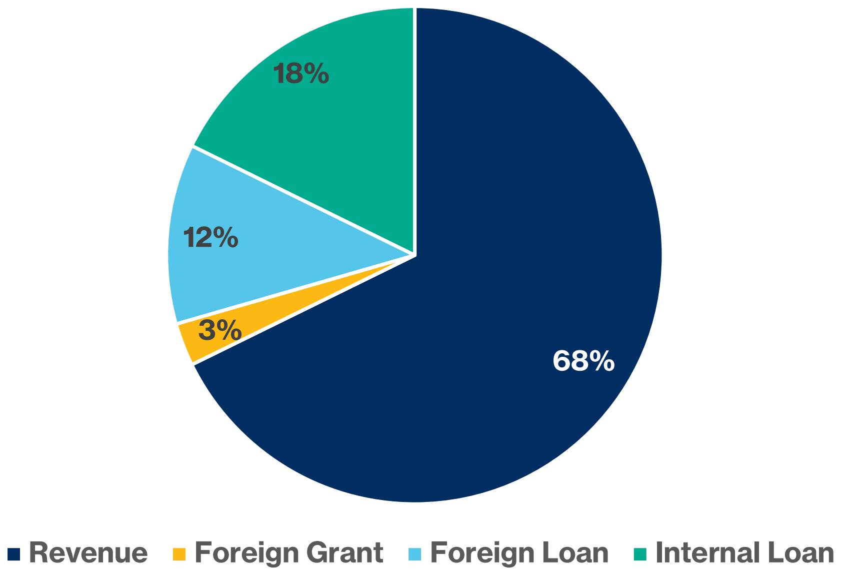
Sources of Budget:



Note: Initial Budgets announced for each year have been considered above.

*Source: Ministry of Finance, Nepal

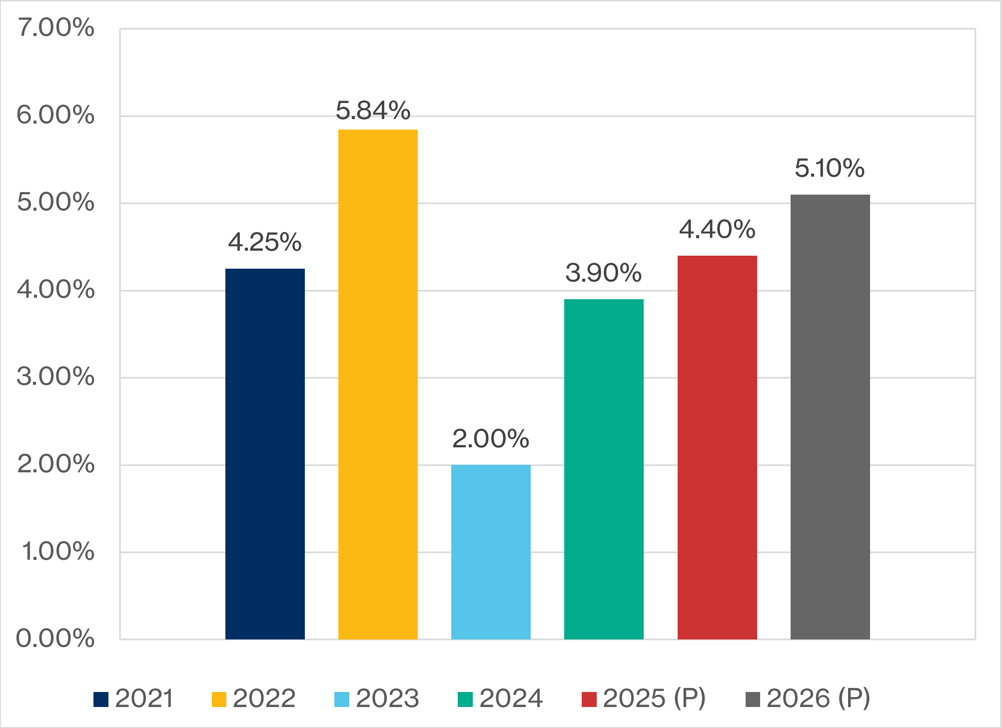
Sources of Budget in % for FY 2081-82 (2024-25)



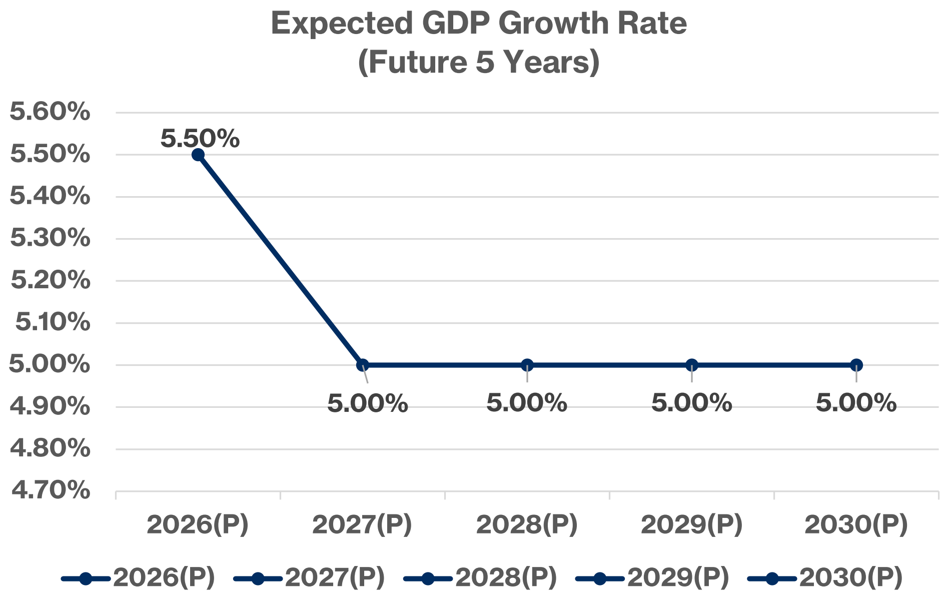
*Source: Ministry of Finance, Nepal

Economic Indicators (4/5)

GDP Growth Analysis:



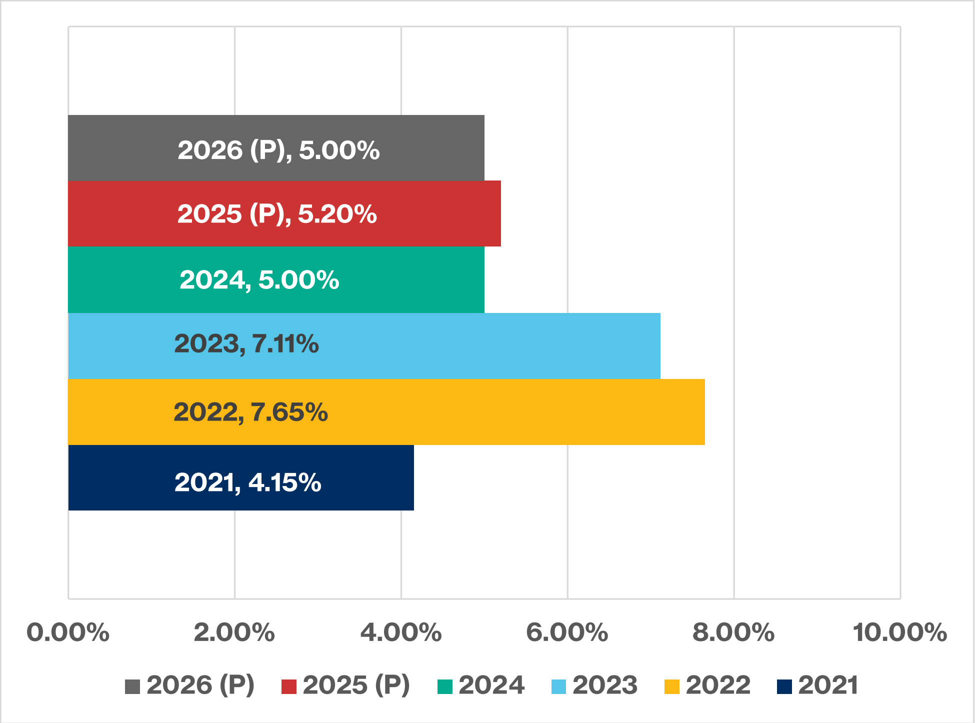
*Source: ADB



*Source: IMF

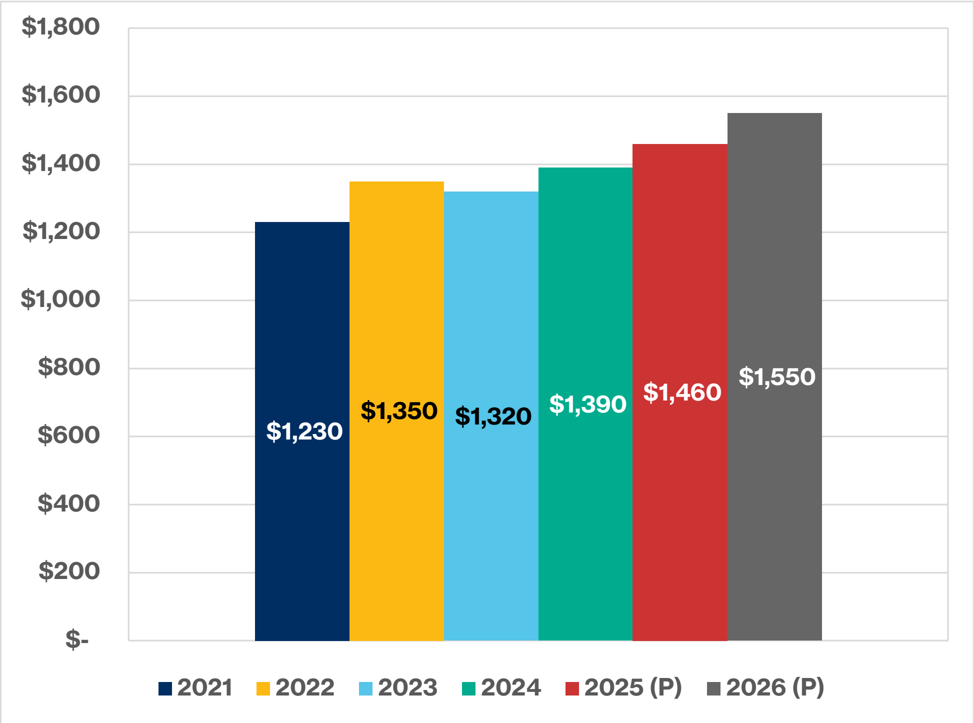
Economic Indicators (5/5)

Inflation Analysis:



*Source: NRB & IMF

Per Capita GDP in $ (Current Prices):



*Source: IMF

Tax Waivers

Tax Waivers (1/5)

Finance Act	Applicable:	Pre-Condition	Compliances to be met			Waiver	
			Particulars	Year	Due Date	Particulars	Year
Section 24 **Exemption for associations who have not paid assessed taxes**	**Nature:** Value Added Tax & Income Tax Waiver **Whom:** Community Hospitals, Health Institutions, and Transport-Related associations registered under Association Registration Act, 2034	The tax has been assessed or reassessed before Jestha 15, 2082 but such tax is in arrears.	- Deposit Assessed Tax (100%)	Relevant Assessed FY's	Poush, 2082	- Interest: 100% - Fees: 100% - Additional Fees: 100% - Penalty - 100%	Relevant Assessed FY's
Section 25 (1) **Exemption for taxpayers who have not filed VAT Returns nor paid VAT dues**	**Nature:** Value Added Tax Waiver **Whom:** VAT Registered Taxpayer	The person has registered under VAT but has not filed VAT Returns and has not paid VAT dues of upto Chaitra 2081 till the budget pronouncement date.	- Submit VAT Returns - Deposit Value Added Tax (100%) - Interest (25%)	Upto Chaitra 2081	Poush, 2082	- Interest: 75% - Additional Fees: 100% - Penalty: 100%	Upto Chaitra 2081
Section 25 (2) **Exemption for taxpayers who have filed VAT Returns but not paid VAT dues**	**Nature:** Value Added Tax Waiver **Whom:** VAT Registered Taxpayer	The person has registered under VAT and has filed VAT Returns but has not paid VAT dues of upto Chaitra 2081 till the budget pronouncement date.	- Deposit Value Added Tax (100%) - Interest (25%)	Upto Chaitra 2081	Poush, 2082	- Interest: 75% - Additional Fees: 100% - Penalty: 100%	Upto Chaitra 2081

Tax Waivers (2/5)

Finance Act	Applicable:	Pre-Condition	Compliances to be met			Waiver	
			Particulars	Year	Due Date	Particulars	Year
Section 26 (1) **Exemption for taxpayers who have not filed Excise Returns nor paid Excise dues**	**Nature:** Excise Duty Waiver **Whom:** Excise Registered Taxpayer	The person has registered under Excise and is required to assess and collect excise duties u/s 10A but has not filed Excise Returns and has not paid Excise dues of upto Chaitra 2081 till the budget pronouncement date.	- Submit Excise Returns - Deposit Excise Duty (100%) - Late Fees (50%)	Upto Chaitra 2081	Poush, 2082	- Late Fees: 50% - Penalty: 100%	Upto Chaitra 2081
Section 26 (2) **Exemption for taxpayers who have filed Excise Returns but not paid Excise dues**	**Nature:** Excise Duty Waiver **Whom:** Excise Registered Taxpayer	The person has registered under Excise and has filed the Excise Returns but has not paid Excise dues of upto Chaitra 2081 till the budget pronouncement date.	- Deposit Excise Duty (100%) - Late Fees (50%)	Upto Chaitra 2081	Poush, 2082	- Late Fees: 50% - Penalty: 100%	Upto Chaitra 2081
Section 27 (1) **Exemption for International Air Transport Service Providers**	**Nature:** Value Added Tax Waiver **Whom:** International Air Transport Service Providers	The International Air Transport Service Provider has not registered itself under VAT.	- Register in VAT - Submit VAT Returns - Deposit VAT (100%) whether collected or to be collected	From Kartik 1, 2080 till date	Ashoj, 2082	- Interest: 100% - Additional Fees: 100% - Penalty: 100%	From Kartik 1, 2080 till date

Tax Waivers (3/5)

<table>
<tr><th rowspan="2">Finance Act</th><th rowspan="2">Applicable:</th><th rowspan="2">Pre-Condition</th><th colspan="3">Compliances to be met</th><th colspan="2">Waiver</th></tr>
<tr><th>Particulars</th><th>Year</th><th>Due Date</th><th>Particulars</th><th>Year</th></tr>
<tr><td>Section 27 (2)

Exemption for persons dealing in purchase/sale of International Air Tickets</td><td>Nature: Value Added Tax Waiver

Whom: Persons dealing in purchase/sale of International Air Tickets</td><td>The persons dealing in purchase/sale of International Air Tickets has registered/not registered under VAT.</td><td>- Register in VAT (if not registered)

- Submit VAT Returns

- Deposit VAT (100%) whether collected or to be collected</td><td>From Kartik 1, 2080 till date</td><td>Ashoj, 2082</td><td><u>After Kartik 1, 2080:</u>
- Interest: 100%
- Additional Fees: 100%
- Penalty: 100%

<u>Before Kartik 1, 2080:</u>
-Tax: 100%
- Interest: 100%
- Additional Fees: 100%
- Penalty: 100%</td><td>From Kartik 1, 2080 till date</td></tr>
<tr><td>Section 28 (1)

Exemption for persons who are Non-Filers of Income Tax but have been re-assessed by IRD</td><td>Nature: Income Tax Waiver

Whom: Persons who are Non-Filers of Income Tax but have been re-assessed by IRD</td><td>The persons who are Non-Filers of Income Tax but have been re-assessed by IRD.

Post 'Best Judgement' assessment, such persons have filed/not filed the Income Tax Returns or paid/not paid the Income Tax Dues.</td><td>- Submit Income Tax Returns (if not filed)

- Deposit Income Tax Dues as per submitted ITR (100%) (if not deposited)</td><td>Upto FY 80-81</td><td>Poush, 2082</td><td>Additional Tax Liability as per Re-assessed Tax over and above Self Assessed Tax</td><td>Upto FY 80-81</td></tr>
<tr><td>Section 28 (2)</td><td colspan="7">The concerned tax office may conduct a tax audit and reassess the revised tax related to the ITR's submitted or to be submitted under sub-section (1) by Ashadh, 2083. In such cases, the usual time limits for tax assessment under the Value Added Tax Act, 2052 BS, and the Income Tax Act, 2058 BS, shall not apply.</td></tr>
<tr><td>Section 28 (3)</td><td colspan="7">Furthermore, where ITR's have been submitted under sub-section (1) and revised assessment has been made under sub-section (2), then any previously best judgement assessed orders by IRD shall not be implemented.</td></tr>
</table>

Tax Waivers (4/5)

Finance Act	Provisions
Section 29: Exemption for non-residents providing Digital Services in Nepal	The provisions of sub-clause (5) of clause (aab) of section 2 of the Income Tax Act, 2058 (Definition of PE), shall not apply to persons outside Nepal who provide 'Digital Services' in Nepal, provided they are registered in accordance with Section 16 of the Finance Act, 2081, and Section 10B1 of the Value Added Tax Act, 2052, and comply with the applicable tax requirements accordingly.

Finance Act	Applicable:	Pre-Condition	Compliances to be met			Waiver	
			Particulars	Year	Due Date	Particulars	Year
Section 30 **Exemption for resident entity who is owned/partially owned by other resident entity**	**Nature:** Income Tax Waiver **Whom:** Resident entity who is owned/partially owned by other resident entity	Change in control of the resident parent company triggered Section 57 in the resident subsidiary, leading to tax liability assessment by the Income Tax Department.	- Deposit Assessed Tax (100%)	Assessed Year	Ashad, 2082	- Interest: 100% - Fees: 100%	Assessed Year
Section 31 **Exemption for Public & Private Vehicle Owners**	**Nature:** Income Tax Waiver **Whom:** Public & Private Vehicle Owners	Public or Private Vehicles that are more than 20 years old or are no longer operable and want to de-register from Transport Department.	- Deposit Tax (100%)	FY 2081-82 & FY 2082-83	Poush, 2082	- Tax: 100% - Interest: 100%	Before FY 2081-82

Tax Waivers (5/5)

Finance Act	Applicable:	Pre-Condition	Compliances to be met			Waiver	
			Particulars	Year	Due Date	Particulars	Year
Section 32 (1) **Exemption for industries who have imported marble/granite**	**Nature:** Custom Waiver **Whom:** Industries who have imported marble/granite	Deposits made with the Department of Customs or court due to misclassification of marble/granite imports as industrial raw materials under HSN 2515.12/2516.12 as 2515.11/2516.11.	- Withdraw request/appeal	---	Mangsir, 2082	- Duty Deposited under dispute will be returned	---
Section 32 (2) **Exemption for industries who have imported under BG or Passbook Facility**	**Nature:** Custom Waiver **Whom:** Industries who have imported under BG or Passbook Facility	Industries that have imported raw materials for export production either under a bank guarantee through a BW facility or under a Passbook Facility without a BW, and whose cash deposit or BG has not been released to date due to various reasons.	- Submit evidence for such refund	---	Mangsir, 2082	- Deposits will be returned or BG's will be released	---
Section 32 (3) **Exemption for Domestic or Foreign Shipping Company**	**Nature:** Custom Waiver **Whom:** Domestic or Foreign Shipping Company	The shipping container must have been used for the transportation of goods and must currently be in the custody of the Department of Customs, either seized under prevailing customs law or held without clearance.	- Submit application	---	Mangsir, 2082	- Container Released - Fees: 100% - Demurrage: 100%	---

Legend for this Section:

Blue – Added by Finance Bill, 2082

Green – Amended by Finance Bill, 2082

Yellow – Deleted by Finance Bill, 2082

Direct Tax Proposal

Tax Rates: Natural Person (1/2)

No change in the tax rates

Individual/ Natural Person	Tax Rate	
	FY 2082-83 (2025-2026)	FY 2081-82 (2024-2025)
Resident		
➢ **Couple Status** - • Up to NPR 6 Lacs (Includes Widow & Widower) ➢ **Single Status**- • Up to NPR 5 Lacs	**1%**	**1%**
• Next - NPR 2 Lacs	**10%**	**10%**
• Next - NPR 3 Lacs	**20%**	**20%**
• Upto - NPR 20 Lacs	**30%**	**30%**
• NPR 20 Lacs to NPR 50 Lacs	**36%**	**36%**
• **Above NPR 50 Lacs**	**39%**	**39%**
Non-Resident		
• Any amount earned	**25%**	**25%**

Particulars	Tax Rate	
	FY 2025-26	FY 2024-25
• **Sale of Land & Building**		
➢ Held for More than 5 Years	**5%**	**5%**
➢ Held for Less than 5 Years	**7.5%**	**7.5%**
• **Sale of Unlisted Entity Shares**		
➢ Held for any amount of Days	**10%**	**10%**
• **Sale of Listed Entity Shares**		
➢ Held for More than 365 Days	**5%**	**5%**
➢ Held for Less than 365 Days	**7.5%**	**7.5%**
• **Natural persons not involved in business & providing below services**		
• Export of Software, Other Digital Services, Consultancy Services, Uploading audio-visual content in Social Media by a natural person & receiving payment in foreign currency	**5%**	**5%**
• **Natural persons involved in Industry [Assuming ATR is 30%]**		
Individual in Special Industry	**20%**	**20%**
Individual & Export Business	**15%**	**15%**
Individual in Manufacturing Industry & Export	**15%**	**15%**

Tax Rates: Natural Person (2/2)

Notes to the taxation of Natural Person:

- 1% tax mentioned above (**Social Security Tax** | SST) is not applicable for:

  (i) Proprietorship Firms;

  (ii) Pension Income and ;

  (iii) Natural person participating to Contributory Pension Fund Scheme & Contributory Social Security Fund (SSF).

- Deduction for **retirement fund contribution** is available @ 1/3rd of assessable income or NPR 500,000 whichever is lower. 10% tax rebate to **resident woman** earning remuneration income only.
- Deduction of **health insurance premium** paid to resident insurer up to Rs. 20,000 is allowed.
- Deduction of **life insurance premium** paid to resident or non-resident companies up to Rs. 40,000 is allowed.
- Deduction of **personal building insurance premium** paid to resident or non-resident companies up to Rs. 5,000 or the premium amount, whichever is lower shall be allowed.

Notes (Continued)

- In case of **resident disabled natural person**, an additional 50% of exemption limit shall be allowed to be deducted.
- Deduction for **Remote Area Allowance.**
  a) Class A – NPR 50,000
  b) Class B – NPR 40,000
  c) Class C – NPR 30,000
  d) Class D – NPR 20,000
  e) Class E – NPR 10,000
- **Foreign Allowance** Income of an employee posted outside Nepal for Diplomatic Mission of Nepal will get 75% rebate of such allowance.
- Additional Deduction of '25% of Standard Threshold' available to the assessee having only **pension income.**
- **Husband and wife** having **separate income source** are given choice to adopt either to get assessed separately or jointly.
- **Income Tax Return** filling is not required for natural person who is engaged in only exporting software, other digital services, consultancy services, uploading of Audio/visual Content in Social Media.

Tax Rates: Small & Medium Scale Business

No change in the tax rates

Presumptive Taxation – Section 4(4) (Small-Scale Businessperson)

The amount of presumptive tax for natural person having income up to NPR 3 Lacs or turnover up to NPR 30 Lacs shall be calculated based on rates mentioned below:

Presumptive Tax Rates (Normal):

Particulars	Tax Rate (FY 82-83)	Tax Rate (FY 81-82)
• Metropolitan & Sub-Metropolitan	7,500	7,500
• Municipalities	4,000	4,000
• Anywhere else in Nepal	2,500	2,500

Note: Any person who is registered or non-registered under VAT and has an annual turnover up to NPR 30 Lacs or income up to NPR 3 lacs may opt for Presumptive Tax Rates.

Turnover Taxation – Section 4(4A) (Medium-Scale Businessperson)

While computing tax on turnover, tax up to NPR 30 Lacs shall be computed as per Section 4(4A) of IT Act and on the excess turnover above NPR 30 lacs up to NPR 1 crore, tax shall be calculated as mentioned below:

Turnover Tax Rates (Normal):

Individuals	Tax Rate (FY 82-83)	
	30 to 50 lacs	50 lacs to 1 Cr
• Engaged in sales of cigarette, gas, etc. by adding commission or profit up to 3%	0.25%	0.30%
• Engaged in the transactions (Other than above)	1.00%	0.80%
• Engaged in Service Sector	2.00%	2.00%

Note: The assessee who is registered or non-registered under VAT and has an annual turnover up to NPR 1 Crore may opt for Turnover Tax Rates.

Tax Rates: Entities (1/2)

No change in the tax rates

Entities	Tax Rate FY 2082-83 (2025-2026)	Tax Rate FY 2081-82 (2024-2025)
Normal Tax Rates		
❑ **General Tax Rate** ➢ Private Limited ➢ Limited ➢ Partnership Firm (Not specifically mentioned below)	**25%**	**25%**
❑ **Service Sector:** • Banking & Finance Company • General Insurance Company • Engaged in Financial Transactions • Telecom & Internet • Money Transfer, Capital Market, Stock Exchange, Merchant Banking, Commodity Future Market, Stock-Brokers ❑ **Manufacturing Sector:** • Petroleum Entities, Cigarette, Beer, Liquor, Khaini, Guthka, Pan Masala	**30%**	**30%**

Entities	Tax Rate FY 2082-83 (2025-2026)	Tax Rate FY 2081-82 (2024-2025)
Normal Tax Rates		
• Co-operative Institutions registered under Co-operative Act, 2074 (Except Tax Exempt Transactions under Section 11 (2))		
A. Operating in Municipality Area	**5%**	**5%**
B. Operating in Sub-Metropolitan Area	**7%**	**7%**
C. Operating in Metropolitan Area	**10%**	**10%**
• Co-operative engaged in the business of accepting deposits and providing loans		
A. Operating in Municipality Area	**10%**	**10%**
B. Operating in Sub-Metropolitan Area	**15%**	**15%**
C. Operating in Metropolitan Area	**20%**	**20%**

Entities	Tax Rate FY 2082-83 (2025-2026)	Tax Rate FY 2081-82 (2024-2025)
Normal Tax Rates		
Life Insurance Company	**25%**	**25%**
Casual Income	**25%**	**25%**

Tax Rates: Entities (2/2)

No change in the tax rates

Entities	Tax Rate FY 2082-83 (2025-2026)	Tax Rate FY 2081-82 (2024-2025)
Rates after application of Section 11 (Business Rebates)		
• Special Industries (Manufacturing, Forest, Agriculture and Mining Industries; **except** Liquor, Cigarette, Khaini, Guthka and Pan-Parag as defined in Section 11)	**20%**	**20%**
• **Export income of**		
➢ Manufacturing Special Industries	**16%**	**16%**
➢ Non-Manufacturing Special Industries • Mines • Agro-Based • Forestry	**16%**	**16%**
➢ Manufacturing Industries – (Non-Special Industries - AR/TR of 30%)	**24%**	**24%**
➢ Other Export Entities	**20%**	**20%**
➢ Resident person engaged in Business process outsourcing (BPO), Software programming, Cloud computing & providing services based on information technology & earning foreign currency	**12.5%**	**12.5%**

Entities	Tax Rate FY 2082-83 (2025-2026)	Tax Rate FY 2081-82 (2024-2025)
Rates after application of Section 11 (Business Rebates)		
Entities operating • Tram, Trolley Bus	**15%**	**15%**
Entities constructing & operating • Ropeway, Cable Car & Over Bridge	**15%**	**15%**
Entities constructing and operating • Road & Bridge, Underpass, Tunnel Railways & Airport	**12.5%**	**12.5%**
• Entities wholly engaged in the projects conducted to build public infrastructure under Build, Operate and Transfer model (BOT) to GON & in Power Generation, Transmission or Distribution Sector.	**20%**	**20%**

Tax Rates: Non-Resident

No change in the tax rates

Particulars	Tax Rate	
	FY 2082-83 (2025-2026)	FY 2081-82 (2024-2025)
• Income earned from normal transactions.	**25%**	**25%**
• Income earned from providing shipping, air transport or telecommunication services, postage, satellite, optical fiber projects.	**5%**	**5%**
• Income earned from providing shipping, air transport or telecommunication services within the territory of Nepal.	**2%**	**2%**
• Repatriation by Foreign Permanent Establishment	**5%**	**5%**
• Capital Gain tax on sale of shares (WHT 25% subject to tax treaties)	**25%**	**25%**
• Transaction from Digital Services Digital Service Tax (DST) (Transactions > NPR 3 Million)	**2%**	**2%**

Double Taxation Avoidance Agreements (DTAA):

To avoid double taxation, Government of Nepal has entered tax treaties with **11 countries** namely:

- ❑ **India**
- ❑ **Sri Lanka**
- ❑ **Mauritius**
- ❑ **Thailand**
- ❑ **Qatar**
- ❑ **Pakistan**
- ❑ **Norway**
- ❑ **South Korea**
- ❑ **Austria**
- ❑ **China**
- ❑ **Bangladesh**

Note:

Taxpayer have right to opt the provisions contained in either Nepal Income Tax Act, 2002 or Treaty whichever is beneficial to them.

Tax Rates: Public Vehicle Owners

No change in the tax rates

SN.	Type of Vehicle	FY 2082-83 (2025-2026)	FY 2081-82 (2024-2025)	Remarks
1	Car, Jeep, Van & Micro-Bus			No change in the rates for the FY 82-83
	Upto 1300 CC	5,500	5,500	
	1301 to 2000 CC	6,000	6,000	
	2001 to 2900 CC	6,500	6,500	
	2901 to 4000 CC	8,000	8,000	
	more than 4000 CC	9,000	9,000	
2	Minitruck, Minibus & Water Tanker	8,000	8,000	
3	Mini Tripper	9,000	9,000	
4	Truck & Bus	10,500	10,500	
5	Dozer, Excavator, Loader, Roller Crane and other such equipment	15,500	15,500	
6	Oil Tanker, Gas Bullet & Tripper	15,500	15,500	
7	Tractor	2,500	2,500	
8	Power Tiller	2,000	2,000	
9	Auto-Rickshaw, Three-Wheeler & Tempo	2,500	2,500	
10	Electric Public Vehicle			
	Upto 50 KW	3,000	3,000	
	50 to 125 KW	4,000	4,000	
	125 to 200 KW	6,000	6,000	
	more than 200 KW	7,500	7,500	

Tax Rates: Withholding Tax (1/3)

No change in the tax rates

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
❑ Section 87			
• Remuneration	Slab Rate	Slab Rate	
❑ Section 88			
Interest			
• Interest Income from deposit up to NPR 25,000 - 'Micro Finance Program', 'Rural Development Bank', 'Postal Saving Bank' & Co-Operative u/s 11(2) in Rural Areas	Exempt	Exempt	
• Interest on Deposits/Debentures from Resident Bank, Cooperative, Finance Companies or Listed Co's and on Govt. Bonds to Individuals not related to business.	6%	6%	**Yes**
• Interest payment by resident bank and financial institutions to the Investment Insurance companies [Life Insurance]	5%	5%	
• Interest paid by Resident BFI to Foreign Banks & Financial Institutions in Forex where purpose of the loan is to finance prescribed sectors approved by NRB	5%	5%	**Yes**
• Interest to Others - Not Stated Above	15%	15%	

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
Interest (Continued)			
• Interest paid by hydropower projects of > 200 MW capacity with reservoir & semi reservoir concluding financial closure by Chaitra, 2082 to Foreign Banks & Financial Institutions in Forex	5%	5%	**Yes**
Rent			
• Rent to Natural Person (Taxed by Local Government)	-	-	**Yes**
• Rent to Vehicle Rental Service Provider (VAT Regd.)	1.5%	1.5%	
• Transportation/ Freight or Hire of Means of Transportation (VAT)	1.5%	1.5%	
• Transportation/ Freight or Hire of Means of Transportation (Non- VAT) **[Only for Natural Person who files tax pursuant to Schedule-1 (1) (13)]**	2.5%	2.5%	**Yes**
• Hire Charges	10%	10%	**Yes**
• Rent to Others	10%	10%	
• Lease Rental of Aircraft	10%	10%	**Yes**
• Payment against use of Satellite, Bandwidth, Optical Fiber, Telecom Related Equipment or Electric Transmission Line	10%	10%	

Tax Rates: Withholding Tax (2/3)

No change in the tax rates

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
Service Fees			
• Service Fees paid to Service Oriented Resident person regd. under VAT or Entity dealing in VAT Exempt Transaction	1.5%	1.5%	
• Service Fees	15%	15%	
Commission			
• Commission paid by Resident Employment Co's to Non-Residents	5%	5%	**Yes**
• Commission	15%	15%	
• Bonus on Sales/ Target Bonus	15%	15%	
Dividend			
• Dividend distributed by Resident Companies to Residents	5%	5%	**Yes**
• Dividend distributed by Resident Companies to Non-Residents	5%	5%	**Yes**
• Dividend distributed by Partnership Firm	5%	5%	**Yes**
Gain from Investment Insurance			
• Gain from Investment Insurance – Claim in case of death	Exempt	Exempt	
• Gain from Investment Insurance – Claim in any other case	5%	5%	**Yes**

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
Mutual Fund			
• Income distributed by Mutual Fund to Natural Person	5%	5%	**Yes**
• Income distributed by Mutual Fund to Other Person (Entity)	15%	15%	
Retirement Benefits			
• Gain on Retirement Payment from Unapproved fund	15%	15%	**Yes**
• Lumpsum Retirement Payment from Approved Fund & GoN under Sec 65 (1b)	5%	5%	**Yes**
Others			
• Registration Fee, Tuition Fee & Exam Fee paid to foreign college or university	5%	5%	**Yes**
• Verification of Answer Sheet and Preparation of Question Paper	15%	15%	**Yes**
• Teaching on Part time Basis	15%	15%	**Yes**
• Meeting Allowance (up to NPR 20,000 per meeting)	15%	15%	**Yes**
• Natural Resource Payments	15%	15%	
• Casual Income | Windfall Income (Includes Award > NPR 5 Lacs on culture, art etc.)	25%	25%	**Yes**

Tax Rates: Withholding Tax (3/3)

No change in the tax rates

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
Royalty			
• Royalty Paid to Resident person for literary article or composition	1.5%	1.5%	
• Royalty	15%	15%	
❑ **Section 89**			
Contract Payments			
• Payment under **Contract*** greater than NPR 50,000	1.5%	1.5%	
• Work done through Consumer Committee (Up-Bhokta Samiti) if Amount > NPR 50 Lacs	1.5%	1.5%	
Payment to Non-Resident Person under a Contract			
• Premium paid to Non-resident Insurance Company & Commission Paid on Reinsurance Premium received from Non-resident Insurance Company	1.5%	1.5%	**Yes**
• Payment under Other Contracts/Agreements	5%	5%	**Yes**
• Payment under Service Contract to Non-resident	15%	15%	**Yes**

❑ * Explanation for the word 'Contract':

For the purposes of this section, "contract or agreement" shall mean any contract or agreement entered into for the **supply of goods** or **labor** or **for the construction, installation** or **establishment of tangible property** or **structures**, and any **work specified by the Department** as a contract or agreement. If such contract or agreement also includes services related to construction, installation, or establishment, then the payment for such services shall also be considered as payment under the contract.

❑ No TDS is required to be deducted on the following:

- Remuneration to the writer of articles published in Newspaper & Magazines.
- Inter-Regional interchange charges paid to a bank issuing Credit Cards.
- Payment of Interest to a Resident Bank or Other Resident Financial Institution.
- Payments that are exempt from tax.
- Interest paid or received between cooperative banks and cooperative societies.
- Payment made by natural person un-related to any business activities.
- Payment made to Natural Person for house rent.
- Incentive amount for consumer who have paid their bill through electronic payment instruments like payment card, e-money(wallet), mobile banking.

Tax Rates: Advance Tax (1/2)

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
❑ Section 95 (A)			
Gain on Sale of Shares of Listed Entity to:			
• Natural Person (Held > 365 Days)	5%	5%	
• Natural Person (Held < 365 Days)	7.5%	7.5%	
• Resident Entity	10%	10%	
• Others	25%	25%	
Gain on Sale of Shares of Unlisted Entity to:			
• Natural Person	10%	10%	
• Resident Entity	15%	15%	
• Others	25%	25%	
Capital Gain on Sale of Land or Building to:			
• Natural Person (Held > 5 Years)	5%	5%	
• Natural Person (Held < 5 Years)	7.5%	7.5%	
• Others (Rate applied on Sale Value)	1.5%	1.5%	

Particulars	Rate of TDS 2025-26	Rate of TDS 2024-25	Final WHT u/s 92
Others			
• Resident electronic business operator (e-commerce operators) shall collect advance tax while paying the consideration received from end-consumer to the persons listed on its platform for sale of goods, services or goods & services.	1%	1%	
• Natural Person involved in Export of Software, Other Digital Services, Consultancy Services, Uploading audio-visual content in Social Media (BFI to deduct TDS on receipt of FCY)	5%	5%	
• Gain From Commodities Future Market	10%	10%	
• Language Proficiency Examination Fees paid in Foreign Currency by BFIs on behalf of students going abroad for further education.	15%	15%	

Tax Rates: Advance Tax (2/2)

Chapter (Customs)	Section 95A (7) – Removed		
	Inclusions	2025-26 Advance Tax	2024-25 Advance Tax
1	All items under Chapter -01	---	10%
2	All items under Chapter -02	---	10%
3	All items under Chapter -03	---	10%
4	All items under Chapter -04	---	2.5%
6	All items under Chapter -06	---	10%
7	All items under Chapter -07	---	10%
8	All items under Chapter -08	---	10%
10	Items under Chapter -10 excluding below Sub-Headings: 1001.11.00, 1001.91.00, 1002.10.00, 1003.10.00, 1004.10.00, 1005.10.00, 1006.10.10, 1007.10.00, 1008.21.00	---	2.5%
11	All items under Chapter -11	---	2.5%
12	Items under Chapter -12 including below Headings & Sub-Headings: 12.10 & 12.11, 1212.91.00, 1212.92.00, 1212.93.00, 1212.94.00, 1212.99.00 (Herbs & Sugarcane)	---	2.5%
14	All items under Chapter -14	---	2.5%
---	All items above if subject to VAT	---	1.5%

Installment Tax:

Particulars	Tax Rate	
	2025-26	2024-25
• Up to mid of January (Poush end)	40%	40%
• Up to mid of April (Chaitra end)	70%	70%
• Up to mid of July (Ashad end)	100%	100%

- "Income Tax on Current Year's Income" shall be paid in 3 installments.
- Where an installment of tax paid by a person is less than 90% of tax payable, the person shall be liable to pay an interest @ 15% p.a. for each month & part of month from the date of first installment on the amount to the excess of 90% of the installment that would have been paid over the installment paid.
- The presumptive tax-payers need not pay any installment tax as above. If the tax amount is less than Rs 7,500 no installment is required to be paid.
- Penalty of Rs. 5,000 or 0.01% of the assessable income whichever is higher, shall be imposed for non submission of installment tax return.

Tax Exemptions & Donations

Exempt Income (Section 10)

Particulars of Income
a) Bilateral/Multilateral agreements with GoN
b) Employee of foreign government
c) Received from foreign state fund by the relative of the employee mentioned above
d) Service under GoN by a Non-Nepali Citizen under condition of tax exemption
e) Social Security Allowances provided by GoN, provincial **government** & local levels
f) Gifts, Inheritance or Scholarship
g) Donations, Gifts or Contribution obtained by Tax-Exempt Entity
h) Pension received by Nepali citizen from foreign government
i) Income of Central, State of Local government
j) Income earned by Nepal Rastra Bank
l) Income of Mutual Fund (Approved by SEBON)
m) Income of Educational Institution (Agreement with GoN & Non-Profit)

Deductible Donations under Income Tax Act (Section 12):

Section	Description
Donation to Tax Exempt Entities (Section 12)	▪ Donation paid to any tax-exempt entity shall be deductible as expenses equivalent to - Lower of Rs 1 Lac or 5% of Adjusted Taxable Income (ATI)
Preservation of National Heritage/Sports Infrastructure (Section 12A)	▪ Rs 1 Million or 10 % of Assessable Income shall be allowed as expenses if incurred for preservation of national, religious and cultural heritage sites in Nepal and development of sports infrastructure, with prior approval from the Inland Revenue Department.
Contribution to PM Relief Fund & National Relief Fund (Section 12B)	▪ Any contribution made to the said fund shall be allowed as deduction from the taxable income of the person.
Donation to Startup Business (Section 12C)	▪ Any person donating seed capital to unassociated persons for Startup Business shall be eligible to claim such deductible expenses up to 5 lakh rupees. (1 Lakh per Startup Business)

Note for Tax Exempt Organizations:

- The time limit for renewal of Tax-Exempt Certificate is 1 year from the end of the FY. (Rule 5A of IT Rules)

Tax Concessions and Rebates (1/7)

AR = Applicable Rate / TR = Taxable Rate

Sec.	Type of Industry	Rebate & Concession	
		FY 2025-26	FY 2024-25
11 (1)	▪ Earnings from the agriculture by any registered firm, company, partnership or corporate body	50% of the AR/TR	100% of the AR/TR
11 (3) (A)	▪ Special industry (Manufacturing), **Hotels, Resorts** and IT Industry providing direct employment to:		
	➢ >100 Nepalese citizen during the entire year	10% of the AR/TR	10% of the AR/TR
	➢ >300 Nepalese citizen during the entire year	20% of the AR/TR	20% of the AR/TR
	➢ >500 Nepalese citizen during the entire year	25% of the AR/TR	25% of the AR/TR
	➢ >1000 Nepalese citizen during the entire year	30% of the AR/TR	30% of the AR/TR
	(Additional 10% concession : Direct employment >= 100 Nepalese & 33% of Women/Dalits/Disabled Persons)		
11 (3) (B)	▪ Special Industry, **Hotels & Resorts** operating in following regions have following tax rates:		
	➢ Underdeveloped Regions – For the first 10 years	90% of AR/TR	90% of AR/TR
	➢ Undeveloped Regions – For the first 10 years	80% of AR/TR	80% of AR/TR
	➢ Partly developed Regions – For the first 10 years	70% of AR/TR	70% of AR/TR
	▪ Special Industry, **Hotels & Resorts** established in Karnali Province & Far Western hilly districts providing employment to >100 Nepalese citizen ➢ For the first 15 years	100% of AR/TR	100% of AR/TR
11 (3) (C)	▪ Special Industry, **Hotels. Resorts** & Tourism Industry (except Casino) with: ✓ Capital Investment of Rs. 1 billion & Direct Employment of 500 persons during the whole year.		
	➢ For the first 5 years	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 3 years	50% of the AR/TR	50% of the AR/TR
	▪ Further, if existing Special Industry, **Hotels, Resorts** & Tourism Industry (except Casino) increases its installed capacity by 25% or more to reach the capital of Rs. 2 billion and 300 persons during the whole year.		
	➢ For the first 5 years – Profit earned on the Increased Capacity	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 3 years – Profit earned on the Increased Capacity	50% of the AR/TR	50% of the AR/TR

Tax Concessions and Rebates (2/7)

AR = Applicable Rate / TR = Taxable Rate

Sec.	Type of Industry	Rebate & Concession	
		FY 2025-26	FY 2024-25
11 (3A) (A)	▪ Industries established in Special Economic Zone ▪ Situated in Mountainous Districts and Hilly Districts prescribed by GoN.		
	➢ For the first 10 years	100% - Tax Exempt	100% - Tax Exempt
	➢ After such period	50% of the AR/TR	50% of the AR/TR
11 (3A) (B)	▪ Industries established in Special Economic Zone ▪ Situated in Other Regions		
	➢ For the first 5 years	100% - Tax Exempt	100% - Tax Exempt
	➢ After such period	50% of the AR/TR	50% of the AR/TR
11 (3A) (C)	▪ Dividend distributed by industries in Special Economic Zone		
	➢ For the first 5 years	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 3 years	50% of the AR/TR	50% of the AR/TR
11 (3A) (D)	▪ Income from Foreign Technology, Management Service Fee & Royalty of Foreign Investor in Special Economic Zone	50% of the AR/TR	50% of the AR/TR
11 (3B)	▪ Persons involved in Exploration & Extraction of Petroleum, Natural Gases, Fuel & Mining - Will start its operation within Chaitra end 2080 BS (2023 AD)		
	➢ For the first 7 years	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 3 years	50% of the AR/TR	50% of the AR/TR
11 (3C)	▪ IT industry established within IT Park, Biotech Park, Zoological Park, Geological Park and Technology Park as specified in the Gazette	**75% of the AR/TR**	50% of the AR/TR

Tax Concessions and Rebates (3/7)

AR = Applicable Rate / TR = Taxable Rate

Sec.	Type of Industry	Rebate & Concession	
		FY 2025-26	FY 2024-25
11 (3D)	▪ Hydropower Projects, Solar Energy Projects, Waste-To-Energy and Wind Turbine Projects that have commercially started generation of electricity by Chaitra, 2084		
	➢ For the first 10 years	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 5 years	50% of the AR/TR	50% of the AR/TR
11 (3D)	▪ Hydroelectricity project having reservoir or semi-reservoir of more than 40MW (PY 200 MW) which has completed its financial closure by 2085 Chaitra End and operating a lower coastal hydropower project in tandem with the above project, shall be provided with tax exemption as below;		
	➢ For the first 15 years	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 6 years	50% of the AR/TR	50% of the AR/TR
11 (3E)	▪ Tax exemption on income earned from export in any income year from a source in Nepal shall be as follows:		
	➢ (a) Natural Person whose Tax is chargeable @ 20%	25% of the AR/TR	25% of the AR/TR
	➢ (a) Natural Person whose Tax is chargeable @ 30%	50% of the AR/TR	50% of the AR/TR
	➢ (b) Entity	20% of the AR/TR	20% of the AR/TR
	➢ (c) Resident person engaged in Business process outsourcing (BPO), Software programming, Cloud computing & providing services based on IT & earning foreign currency up to FY 84-85	50% of the AR/TR	96% of the AR/TR
11 (3F)	▪ Entities in the following sectors:		
	➢ Operating - Tram/Trolley Bus	40% of the AR/TR	40% of the AR/TR
	➢ Constructing and Operating - Ropeway/Cable Car/Over Bridge	40% of the AR/TR	40% of the AR/TR
	➢ Constructing and Operating - Road/Bridge/Underpass/Tunnel/Railways/Tunnel/Railways/Airport	50% of the AR/TR	50% of the AR/TR
11 (3G)	▪ Following Entities listed in Stock Exchange		
	➢ Manufacturing/Tourism/Production, Distribution & Transmission of Hydropower/Entities in 11 (3C)	15% of the AR/TR	15% of the AR/TR

Tax Concessions and Rebates (4/7)

AR = Applicable Rate / TR = Taxable Rate

Sec.	Type of Industry	Rebate & Concession	
		FY 2025-26	FY 2024-25
11 (3H)	▪ Manufacturers of - Brandy based on Fruits, Cider & Wine in: ✓ Remote Area ✓ Undeveloped Area		
	➢ For the first 10 years – Remote Area	40% of the AR/TR	40% of the AR/TR
	➢ For the first 10 years – Undeveloped Area	25% of the AR/TR	25% of the AR/TR
11 (3I)	▪ Royalty Income earned from Export of Intellectual Assets	25% of the AR/TR	25% of the AR/TR
11 (3J)	▪ Income earned from the Disposal of Intellectual Assets	50% of the AR/TR	50% of the AR/TR
11 (3K)	▪ Tourism Industry or Aviation Industry operating International Flights with: ✓ Capital Investment of Rs. 2 billion		
	➢ For the first 5 years – From the Date of Commencement	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 3 years	50% of the AR/TR	50% of the AR/TR
11 (3L)	▪ Special Industry, Information Technology Industry, Industry based in Tourism Sector which capitalizes its profit (i.e., Issues Bonus Shares) for the purpose of capacity enhancement ▪ ~~**Explanation of IT Industry has been removed**~~	100% - Tax Exempt	100% - Tax Exempt
11 (3M)	▪ Conversion of Private to Public Company (Paid up capital > Rs. 500 Million) ✓ This rebate shall not be applicable for companies mandated to be registered as public under Section 12 of the Companies Act		
	➢ For the first 3 years – From the Date of Conversion	10% of the AR/TR	10% of the AR/TR
11 (3N)	▪ Tea Production and Processing, Dairy Industry & Textile Industry	50% of the AR/TR	50% of the AR/TR
11 (30)	▪ Community Hospital	20% of the AR/TR	20% of the AR/TR

Tax Concessions and Rebates (5/7)

AR = Applicable Rate / TR = Taxable Rate

Sec.	Type of Industry	Rebate & Concession FY 2025-26	Rebate & Concession FY 2024-25
11 (3P)	▪ Small Scale Industry (Laghu Udhyam) having: ✓ Fixed capital up to Rs. 5 lacs (except land and building) ✓ Total Annual Turnover below Rs. 50 Lacs ✓ Employing up to 9 employees (including proprietor)		
	➢ For the first 7 years – From Date of Commencement – Male	100% - Tax Exempt	100% - Tax Exempt
	➢ For the first 10 years – From Date of Commencement – Female	100% - Tax Exempt	100% - Tax Exempt
11 (3Q)	▪ Entities engaged in Public Infrastructure Development operating under Build/Operate/Transfer model & Development of Power Houses engaging in Generation & Transmission.	20% of the AR/TR	20% of the AR/TR
11 (3R)	▪ Special Industry established or relocated to Industrial Zone/Industrial Village		
	➢ For the first 3 years	50% of the AR/TR	50% of the AR/TR
	➢ For the subsequent 5 years	25% of the AR/TR	25% of the AR/TR
11 (3S)	▪ Industry manufacturing raw materials or subsidiary raw materials locally and sells such materials to special industries	20% of the AR/TR	20% of the AR/TR
11 (3T)	▪ Startups using revolutionary knowledge, thought, skill, technology, behavior and technique which have been prescribed by the IRD and have turnover up to **ten crore** ~~one crore~~ rupees:		
	➢ For the first 5 Years from the date of commencement	100% - Tax Exempt	100% - Tax Exempt
11 (3U)	▪ Relocation of Special Industry operating in Kathmandu Valley to outside the valley		-
	➢ For the first 3 years from the date of commencement	100% - Tax Exempt	100% - Tax Exempt
	➢ For the subsequent 2 years	50% of the AR/TR	50% of the AR/TR
11 (3V)	▪ Industry producing goods using only 'Used Materials' as raw materials that has direct impact on the environment		
	➢ For the first 3 years from the date of commencement	50% of the AR/TR	50% of the AR/TR
	➢ For the subsequent 2 years	25% of the AR/TR	25% of the AR/TR

Tax Concessions and Rebates (6/7)

AR = Applicable Rate / TR = Taxable Rate

Sec.	Type of Industry	Rebate & Concession	
		FY 2025-26	FY 2024-25
11 (3W)	Industries producing immunization vaccine, oxygen gas & sanitary pads		
	➢ For First 5 Years	100% - Tax Exempt	100% - Tax Exempt
	➢ For Subsequent 2 Years	50% of the AR/TR	50% of the AR/TR
11 (3X)	Industry Established till Ashad 2082 for manufacturing & assembling of Electric Vehicles		
	For 5 Years from the date of operation.	40% of the AR/TR	40% of the AR/TR
11 (3Y)	Industry Established till Ashad 2082 for manufacturing of agriculture tools & equipment		
	For 5 Years from the date of operation.	100% - Tax Exempt	100% - Tax Exempt
11 (3Z)	Industries producing 'Green Hydrogen'		
	For 5 Years from the date of operation.	100% - Tax Exempt	---
11 (3AA)	Industries involved in manufacturing & assembling of Electronic Vehicle (EV) Charging Machines		
	For 5 Years from the date of operation.	100% - Tax Exempt	---
11 (3AB)	Person involved in Construction & Operation of Industrial Area or Industrial Village		
	For 10 Years from the date of operation.	100% - Tax Exempt	---
	For the subsequent 5 years	50% - Tax Exempt	---

Explanation for IT Industry added under Section 11 (6)(e):

"Information Technology Industry" means technology parks, information technology parks, biotech parks, software development, data processing, digital mapping, business process outsourcing, data mining, and cloud computing related industries.

Tax Concessions and Rebates (7/7)

AR = Applicable Rate / TR = Taxable Rate

Other Clarifications for Section 11 of Income Tax Act:

[A] Definition of ‘Special Industry’:

- Special Industries means ”Manufacturing, Agricultural, Forestry and Mining Industries as defined u/s 3 of Industrial Enterprises Act, 2076 except Cigarette, Bidi, Cigar, Tobacco, Gutkha, Pan-Masala and other similar nature products consuming tobacco as main raw material, Alcohol, Beer and other identical products.”

[B] Tax Rebate to ‘Special Industry’, Hotels, Resorts & IT Industry:

Section 11 (2b):

The following exemptions shall be granted in respect of income tax arising from a special industry, **hotel, resort and IT industry** that is fully operational throughout the year in any income year:

(a) One-third of the tax, if the income of a resident natural person is taxed at the rate of thirty percent,
(b) Twenty percent of the tax levied on the income of the entity.

[C] Additional Note to Section 11:

- If any entity is entitled to more than one benefit under Section 11 of the Income Tax Act, 2058 only one benefit shall be availed. However, in case of special industries, they can avail the concession of 20% provided in the Section 11 (2b) as well as any one of the other benefits available u/s 11.

Income Tax Act – Amendments (1/6)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section (2) (x)	Definition of Entity	(x) "Entity" means the following organization or body: (1) A partnership, trust or company, (2) ~~Rural Municipality, Municipality or~~ District Coordination Committee, (3) Government of Nepal, Provincial Government or Local Level, (4) Any foreign government or provincial or local government under that government or a public int'l organization established by any treaty, or (5) A permanent establishment of the organization or body referred to in clauses (1), (2) (3) and (4), which is not situated in a country of which it is a resident.	(x) "Entity" means the following organization or body: (1) A partnership, trust or company, (2) Rural Municipality, Municipality or District Coordination Committee, (3) Government of Nepal, Provincial Government or Local Level, (4) Any foreign government or provincial or local government under that government or a public int'l organization established by any treaty, or (5) A permanent establishment of the organization or body referred to in clauses (1), (2) (3) and (4), which is not situated in a country of which it is a resident.	Removes "Rural Municipality" and "Municipality" from the definition of "Entity," thereby narrowing the scope of entities subject to income tax provisions.
Section (2) (ai1)	Definition of Contribution-based retirement payment	**'Contribution-based retirement payment' refers to the payment made from the amount deposited by a natural person into an approved retirement fund, including any additional amount accrued thereon, which was originally included in the person's income."**	~~**"Contribution-based retirement payment" means the total amount comprising the monthly deductions from the remuneration of an employee or worker, the amount deposited by the employer into an approved retirement fund in addition to the retirement contribution, and any amount accrued on such contributions.**~~	The definition has been broadened to include any kind of deposits made into an approved retirement fund of a natural person, whether by the person or the employer, along with any accrued amounts.

Income Tax Act – Amendments (2/6)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section (2) (aab) (5)	**Definition of Permanent Establishment**	---	**~~(5) A place where a person who has been residing outside Nepal but having significant digital presence in Nepal or a place having server outside Nepal and engaged in business activities in Nepal for at least ninety days within the past twelve months.~~**	Earlier provision forced non-resident digital service providers to create PE; its deletion now corrects this, allowing continued DST compliance without PE.
Section 4 (4B)	**Calculation of Tax & Rate of Tax**	**(4b) Notwithstanding anything contained in sub-sections (4) and (4a), the person must have elected to apply this provision in the relevant income year.**	---	Introduces clarity that opting for the presumptive tax scheme under Section 4 or turnover scheme under Section 4A must be done for the respective fiscal year.
Section 21 (1)(b)	**Expenses not allowed for deduction**	The following expenses or amounts shall not be deducted: (B)Tax payable under this Act and a fine or similar other fee paid to the government of any country or any local body thereof for a violation of any law or regulation, byelaw framed thereunder. Provided that **~~tax collected but not reconciled in the same year as per sub-section (7) of Section 95A~~**, the tax paid to the Provincial Government and Local Level shall be deducted as expenses.	The following expenses or amounts shall not be deducted: (B)Tax payable under this Act and a fine or similar other fee paid to the government of any country or any local body thereof for a violation of any law or regulation, byelaw framed thereunder. Provided that tax collected but not reconciled in the same year as per sub-section (7) of Section 95A, the tax paid to the Provincial Government and Local Level shall be deducted as expenses.	The provision for Advance Tax under Section 95A for importers of goods classified under various chapters between 1 to 14 of Customs Act has been removed. Consequently, this redundant provision has been deleted.

Income Tax Act – Amendments (3/6)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 21 (1)(f)	**Expenses not allowed for deduction**	Any other amounts not provided for in this Chapter or Chapters 6, 7, 10, 11, 12 or 13, notwithstanding that clauses (a), (b), (c), (d), **(d1), (d2)**, (e) **and (e1)** do not provide for deduction of expenses.	Any other amounts not provided for in this Chapter or Chapters 6, 7, 10, 11, 12 or 13, notwithstanding that clauses (a), (b), (c), (d) and (e) do not provide for deduction of expenses.	The law has been made clearer by specifically listing all clauses where expense deductions are not allowed.
Section 33	**Transfer Pricing**	**Heading:** **Transfer Pricing** & Other Arrangements between Related Persons	**Heading:** **~~Pricing Transfer~~** & Other Arrangements between Related Persons	Incorrect reference to “Pricing Transfer” has now been corrected to “Transfer Pricing” for accuracy.
Section 63	**Retirement Fund**	**Heading:** **~~Approval of~~** Retirement Fund	**Heading:** Approval of Retirement Fund	The concept of IRD approved retirement fund has been abolished.
Section 63 (1)	**Retirement Fund**	---	**~~If a resident intends to operate a retirement fund and applies to the Department for its approval, the Department shall grant approval as prescribed.~~** —— **~~However, no such approval shall be required for retirement funds operated by the Citizens Investment Fund established under the Citizens Investment Fund Act, 2047; the Social Security Fund established under the Contribution-Based Social Security Fund Act, 2074; the Employees Provident Fund established under the Employees Provident Fund Act, 2019; and the Pension Fund established under the Pension Fund Act, 2075.~~**	

Income Tax Act – Amendments (4/6)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 63 (2)	**Retirement Fund**	A natural person who is a beneficiary of an approved retirement fund may claim a deduction for the retirement contributions made to that fund in any income year while computing his taxable income. **“Explanation: For the purpose of this section, “approved retirement fund” means the Employees Provident Fund established under the Employees Provident Fund Act, 2019; the Citizens Investment Fund established under the Citizens Investment Fund Act, 2047; the retirement fund operated by the Social Security Fund established under the Contribution-Based Social Security Fund Act, 2074; and the retirement fund operated by the Pension Fund established under the Pension Fund Act, 2075.”**	A natural person who is a beneficiary of an approved retirement fund may claim a deduction for the retirement contributions made to that fund in any income year while computing his taxable income.	The concept of IRD approved retirement fund has been abolished. Now all the funds lying in the IRD approved funds shall have to be transferred to the mentioned funds under the explanation to Section 63.
Section 67 (Explanation) (b)	**Source of Income, Losses, Profits & Payment**	**"Liabilities incurred in Nepal" means liabilities incurred by a resident person as a result of activities carried out in Nepal."**	~~**“Liabilities incurred in Nepal” means the liabilities of a resident person.**~~	Provides greater clarity by linking liabilities to activities carried out in Nepal, rather than just to the residency status of the person.

Income Tax Act – Amendments (5/6)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 95A (8)	**Advance Tax**	Even if the person or body required to collect advance tax pursuant to Sub-sections (1), (2), (5), (6), **(6a), (6b), (6c), (6d) and (6e)** has not collected the advance tax, it shall be deemed to have collected the tax at the time it was due.	Even if the person or body required to collect advance tax pursuant to Sub-sections (1), (2), (5) and (6) has not collected the advance tax, it shall be deemed to have collected the tax at the time it was due.	The law has been made clearer by specifically listing all clauses where advance tax is collection is mandatory.
Section 96 (2) (c) (3a)	**Income Tax Return**	**Information on selection, if any, made pursuant to sub-section (4b) of Section 4.**	---	Information to be provided on opting for the presumptive tax scheme under Section 4 or turnover scheme under Section 4A for the respective fiscal year.
Section 97 (3)	**Income Tax Return - Not Required**	However, it will not be mandatory to include **retirement payments**, meeting allowances and interest income.	However, it will not be mandatory to include meeting allowances and interest income.	Natural persons earning over NPR 40 lakhs annually are required to file the ITR and for the purpose of calculating the limit of NPR 40 lacs, retirement payments can be excluded.
Section 113 (8)	**Tax refund & adjustment of amount**	---	**~~(8) Any amount collected under subsection (7) of section 95A in a fiscal year cannot be refunded or carried forward to the next fiscal year as an advance income tax payment.~~**	The provision for Advance Tax under Section 95A for importers of goods classified under various chapters between 1 to 14 of Customs Act has been removed. Consequently, this redundant provision has been deleted.

Income Tax Act – Amendments (6/6)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 117 (1)	**Fees to be charged in event of failure to maintain documents or to submit return or income return**	**(d) If the income statement for any income year is not submitted pursuant to sub-section (2) of Section 97, an amount equal to 0.1% of Assessable Income per annum (after deduction of income related to final withholding) or twelve hundred rupees per statement or one hundred rupees per month if the period is less than one year, whichever is higher.**	---	Penalty has been levied on the natural persons having annual income greater than NPR 40 Lacs and have defaulted in the submission of their Income Tax Return.
Schedule 1 Section 1 (17)	**Tax Rates for Natural Person**	(17) **Turnover Tax:** While calculating the tax on the transaction amount pursuant to sub-section (4A) of **Section 4** **~~Section 4A~~** of the Act, the tax pursuant to sub-section (4) of Section 4 of the Act shall be levied on the transaction amount up to thirty lakh rupees and the tax shall be levied at the following rates on the transaction amount exceeding that ---	(17) **Turnover Tax:** While calculating the tax on the transaction amount pursuant to sub-section (4A) of **~~Section 4A~~** of the Act, the tax pursuant to sub-section (4) of Section 4 of the Act shall be levied on the transaction amount up to thirty lakh rupees and the tax shall be levied at the following rates on the transaction amount exceeding that ---	Incorrect reference to “Section 4A” has now been corrected to “Section 4” for accuracy.
Schedule 2 Section 3 (2)	**Depreciation Rates**	The projects referred to in sub-section (2) of Section 19 of this Act, and the entities referred to in sub-sections (2b), (3f), and (3q) of Section 11 of the Act, shall be entitled to a depreciation deduction rate that is one-third higher than the rate applicable to depreciable assets classified under categories “A”, “B”, “C”, and “D” as mentioned in sub-section (1) of this Schedule.	The projects referred to in sub-section (2) of Section 19 of this Act, and the entities referred to in sub-sections (2b), (3f), and (3q) of Section 11 of the Act, as well as **~~sub-section (3) of Section 2 of Schedule-1~~**, shall be entitled to a depreciation deduction rate that is one-third higher than the rate applicable to depreciable assets classified under categories “A”, “B”, “C”, and “D” as mentioned in sub-section (1) of this Schedule.	Additional 1/3rd depreciation is not available to the Co-operatives registered under Co-operative Act, 2074.

Indirect Tax Proposal

Legend for this Section:

Blue – Added by Finance Bill, 2082

Green – Amended by Finance Bill, 2082

Yellow – Deleted by Finance Bill, 2082

Value Added Tax

VAT – Significant Provisions (1/3)

Significant Provisions of Value Added Tax:

❑ VAT Rate & Payment:

- The rate under VAT Act remain unchanged at 13%.
- VAT payment above Rs. 10 lacs should be made compulsorily through cheque, draft or electronically.

❑ VAT Registration:

- **Turnover Threshold**:
  - For Goods : NPR 50 Lacs
  - For Services : NPR 30 Lacs
  - For Both : NPR 30 Lacs
  - For Digital Service Provider : NPR 30 Lacs
- **Import Threshold**:
  - Imports above NPR 10K (Except self-consumption)

❑ Jurisdiction:

- Any supply of goods or services within the territory of Nepal:

Particulars	Collection By:
• Supply of goods/services within Nepal	IRD
• Export Supply of goods/services	Custom Office
• Import Supply of goods/services	Custom Office

❑ Place of Supply

Particulars	Place of Supply
• Movable Goods	Where such goods are **SOLD**
• Immovable Goods	Where such goods are **LOCATED**
• Imported or Exported Goods	**CUSTOM POINT**
• Self-consumption	Where the producer/vendor **RESIDES**
• Service	Where the benefit is **RECEIVED**

❑ Time of Supply:

Goods – Earliest of	Services – Earliest of
• Date of Invoice	• Date of Invoice
• Date of Possession/Removal	• Date of Rendering of Services
• Date of Payment (Except Advances)	• Date of Payment (Except Advances)

❑ Reverse Charge:

Section	Prevailing Provision
• Section 8 (2)	• Import of Service
• Section 8 (2a)	• Goods Carriage Service
• Section 8 (3)	• Commercial Construction > NPR 50 Lacs (Transactions with an Unregistered Person)

VAT – Significant Provisions (2/3)

Significant Provisions of Value Added Tax:

❑ Accounts & Records:

➢ Any registered or unregistered person with transaction of taxable goods or services shall keep purchase book and sales book for every financial year verified by himself/herself (who haven't got approval to keep the VAT records electronically). Tax Officer may inspect such book at any time.

➢ Such records shall be kept for at least **6 Years.**

❑ Due Date for submission of VAT Return & Amount:

➢ A registered person is required to submit the return along with the amount within 25th of the subsequent month after the completion of tax period.

Offence	Amount
• **VAT Return (Defaulted)**	Penalty: Higher of – ▪ 0.05% per day of applicable VAT or ▪ NPR 1,000
• **VAT Amount (Defaulted)**	Penalty: 10% per annum
	Interest: 15% per annum

❑ Schedule 1 of VAT Act [Exempt-VAT]

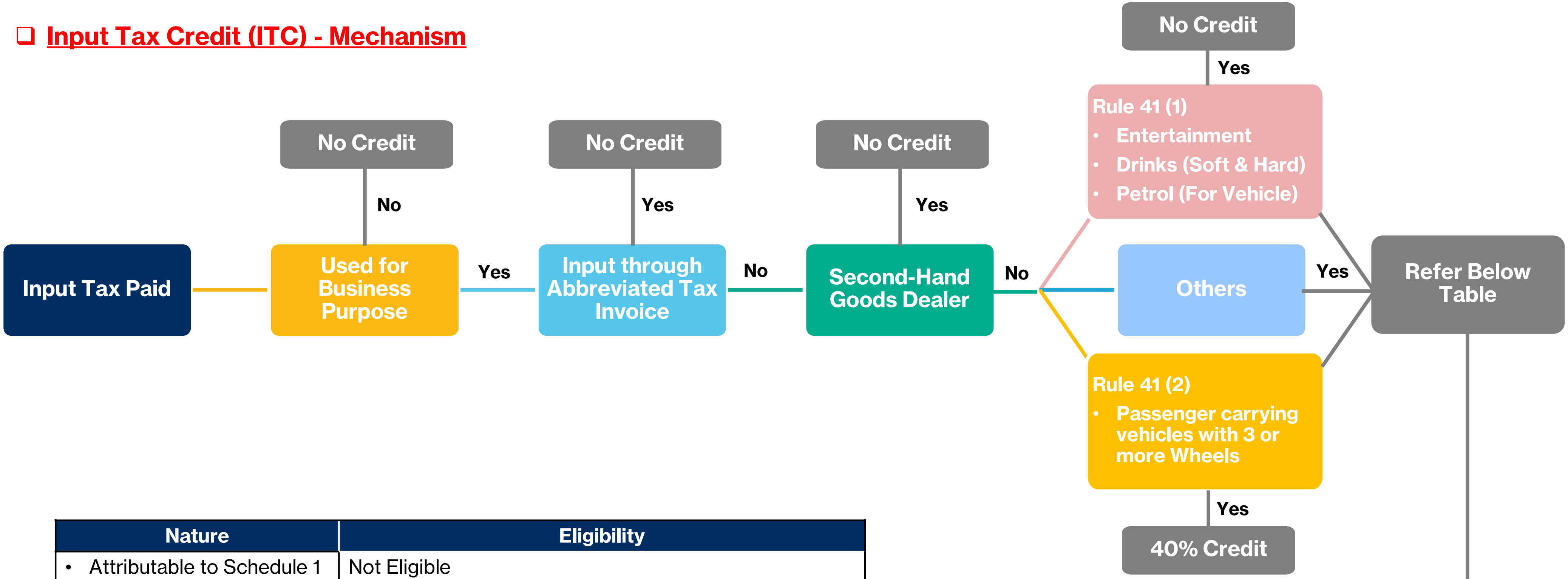
Group	Items
• Group 1	Basic Agricultural Products
• Group 2	Basic Need Items
• Group 3	Animals & their products
• Group 4	Agricultural Inputs
• Group 5	Medical Items, Health & Similar Services
• Group 6	Basic Educational Needs
• Group 7	Books, Magazines & Printing Materials
• Group 8	Artistic & Sculpturing Devices
• Group 9	Passenger Transport & Services
• Group 10	Artists/Sportsman/Writer/Designer/Translator/Manpower
• Group 11	Others
• Group 12	Sale of Land & Building / Rent from Building
• Group 13	Betting, Casino & Lottery

❑ Schedule 2 of VAT Act [Zero Rated-VAT]

➢ Various Provisions as prescribed in the Act.

VAT – Significant Provisions (3/3)

❑ **Input Tax Credit (ITC) - Mechanism**



Nature	Eligibility
• Attributable to Schedule 1	Not Eligible
• Attributable to Schedule 2	100% Eligible
• Others	Eligible ITC = ITC x (Taxable Output/Total Output)

VAT Act – Amendments (1/2)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 2(k2)	**Definition of Digital Services**	"Digital service" means the following services that are delivered to consumers using information technology and are provided automatically over the Internet with minimal human involvement: **(a) Paid personal advertising services,** **(b) Targeted online advertising services,** **Explanation: For the purposes of this section, "targeted online advertising" refers to any form of commercial digital communication that is directed through a digital interface (such as an electronic platform, website, application, or other similar medium) to promote a product, service, or brand, or to convey information or ideas in any form, based on data generated or collected through a user's direct or indirect interaction with the digital interface.** **-Other Clauses Remain Same-**	"Digital service" means the following services that are delivered to consumers using information technology and are provided automatically over the Internet with minimal human involvement: ~~(a) **Advertising services,**~~ (b) Film, television, music, over-the-top (OTT), and other similar subscription-based services, (c) Data collection services, (d) Cloud services, (e) Gaming services, (f) Mobile application-related services, (g) Internet marketplace services (online marketplaces) and services provided through them, (h) Supply and updating of software, (i) Download services, including statistics, images, and similar content, (j) Consultancy, skill development, and training services, (k) Other similar services in addition to those mentioned in clauses (a) to (j).	The definition of digital services has been broadened and clarified by specifically including paid personal advertising services and targeted advertising services.

VAT Act – Amendments (2/2)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 17 (8)	**Input VAT Credit**	---	~~**(8) Notwithstanding anything contained elsewhere in this Section, the name of a taxpayer who fails to submit tax returns for six consecutive months may be made public, the amount of tax due to be deducted from such taxpayer may be withheld, if any, and his registration may also be suspended.**~~	The suspension provision has been shifted from Section 17 (Input Tax Credit) to a more appropriate and specific Section 30 relating to suspension of business.
Section 21 (1)(e)	**Recovery of Tax**	If any taxpayer fails to pay the tax due within the time limit as per this Act, the concerned tax officer may recover the tax by adopting any or all of the following methods:- (e) By requiring deductions from the amount received by the taxpayers from the Government of Nepal or any corporate body owned by the Government of Nepal **or provincial government** or local levels.	If any taxpayer fails to pay the tax due within the time limit as per this Act, the concerned tax officer may recover the tax by adopting any or all of the following methods:- (e) By requiring deductions from the amount received by the taxpayers from the Government of Nepal or any corporate body owned by the Government of Nepal or local levels.	The law has been made clearer by specifically listing provincial government which was not mentioned earlier.
Section 25(1b)	**VAT Refund**	If any consumer, while purchasing goods and services determined by the Department by publishing a notice, pays the purchase price electronically in accordance with the prevailing law, ten percent of the tax paid to him as a cash incentive will be refunded ~~**to his bank account**~~ **immediately** in accordance with the procedure prescribed by the Department.	(1b) If any consumer, while purchasing goods and services determined by the Department by publishing a notice, pays the purchase price electronically in accordance with the prevailing law, ten percent of the tax paid to him as a cash incentive will be refunded to his bank account in accordance with the procedure prescribed by the Department.	The amendment ensures faster processing by mandating immediate refund of the incentive for electronic payments.

VAT Act – Amendments (2/2)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 25(1c)	VAT Refund	**The amount deposited pursuant to Sub-section (6) of Section 31A shall be refunded if the taxpayer requests a refund after the revised tax assessment is made as per the implementation of the decision by the court.**	---	Introduces a refund mechanism for deposits made under Section 31A(6) upon taxpayer request after court-ordered revised tax assessment.
Section 30	Suspension of Business	**Suspension of business:** (1) If a registered person commits any offence referred to in Section 29 twice or more times, the Director General may issue an order to the Tax Officer to suspend such person from carrying on business at his place of business for a maximum period of seven days. **(2) Notwithstanding anything contained elsewhere in this Section, the name of a taxpayer who fails to submit a tax return for a period of six consecutive months may be made public, the amount of tax due to such taxpayer may be withheld, if any, and his registration may also be suspended.**	**Suspension of business:** If a registered person commits any offence referred to in Section 29 twice or more times, the Director General may issue an order to the Tax Officer to suspend such person from carrying on business at his place of business for a maximum period of seven days.	The suspension provision has been shifted from Section 17 (Input Tax Credit) to a more appropriate and specific Section 30 relating to suspension of business.
Section 33 (2)	Deposit to be made	(2) While calculating the amount of deposit or bank guarantee as per Sub-section (1), **~~twenty-five percent~~** **one-fourth** of the tax amount submitted for administrative review to the Department shall also be considered.	(2) While calculating the amount of deposit or bank guarantee as per Sub-section (1), twenty-five percent of the tax amount submitted for administrative review to the Department shall also be considered.	The change replaces numerical expression with a fractional term, providing clarity without altering the deposit requirement.

Excise Duty

Excise Duty Act – Significant Provisions

Significant Provisions of Excise Duty:

❑ **Applicability:**

➢ The excise duty is applicable on excisable items under Excise Tariff.
- On Removal after manufacturing
- On Import

❑ **Responsibility of Collection of Excise Duty:**

Particulars	Collection By:
• On removal of excisable goods/services	Producer
• On import	Custom Office

❑ **Non-Applicability of Excise Duty:**

➢ No excise duty shall be collected on the excisable items if:
- Items Exported
- Items sold to Duty Free Shops (Except Cigarette/Alcohol)
- Sale of Cigarette/Alcohol by Bonded W/H to diplomats/duty facility.

❑ **Excise Duty Return:**

➢ Submission of Excise return should be within 25 days from respective month end for both Physical Control/Self Control.

❑ **Time of Collection**

Particulars	Time of Collection
• Physical Control Removal System	On Removal
• Self-Removal System (With Control)	On Removal
• Self-Removal System (Without Control)	25th of next month
• Import	On Import

❑ **Input Credit of Excise:**

➢ Excise Duty paid at custom point on auxiliary raw materials, packing materials, spare parts and duty-free raw materials are not eligible for claim as input credit.

➢ However, excise duty paid on raw materials are eligible as input excise and can be adjusted with excise payable on sale of excisable goods.

❑ **Refund of Excise Duty:**

➢ If any Industry exports excisable goods, they shall get refund of excise duty paid on RM consumed for production of such exported quantity.

➢ The claim for refund should be lodged within 1 year from the due date of filing. At least 15% value addition should be made in case of export of tobacco, liquors & Pan Masala.

Excise Act – Amendments (1/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 2(o1)	**Definition of Liquor**	“Liquor" means any alcoholic substance prepared from grains, fruits or any other starch substance by fermenting the same through biochemical process or any other manner, and this term also includes raksi, jaad, chhyang, whisky, rum, gin, brandy, vodka, beer, wine, sherry, champagne, cider, perry, mead, malt, **sake, soju, vermouth, mixed alcoholic drinks,** industrial alcohol, rectified sprit, malt sprit, silent sprit, denatured sprit and heads sprit;	“Liquor" means any alcoholic substance prepared from grains, fruits or any other starch substance by fermenting the same through biochemical process or any other manner, and this term also includes raksi, jaad, chhyang, whisky, rum, gin, brandy, vodka, beer, wine, sherry, champagne, cider, perry, mead, malt, industrial alcohol, rectified sprit, malt sprit, silent sprit, denatured sprit and heads sprit;	The definition of liquor has been expanded to include sake, soju, vermouth, and mixed alcoholic beverages.
Section 4C(2)(a)	**Exemption from Excise Duty**	When foreign missions and donor organizations import vehicles not exceeding ten years old in their first production year imported under diplomatic or tariff facilities and transfer them to the project itself in accordance with the approved annual program of a project and change them to government number plates, or when vehicles imported under full or partial tariff facilities (except for those imported under cost or bank guarantee) and transfer them to a **local level** **~~local body~~**, community school, community hospital or government body after the completion of the project, with the approval of the Ministry of Finance.	When foreign missions and donor organizations import vehicles not exceeding ten years old in their first production year imported under diplomatic or tariff facilities and transfer them to the project itself in accordance with the approved annual program of a project and change them to government number plates, or when vehicles imported under full or partial tariff facilities (except for those imported under cost or bank guarantee) and transfer them to a local body, community school, community hospital or government body after the completion of the project, with the approval of the Ministry of Finance.	Replaces “local body” with “local level” to align with federal governance terminology under the Constitution.

Excise Act – Amendments (2/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 9(1)	**Licensing Provisions**	No one shall produce, import, sell or store goods subject to excise duty or provide services subject to excise duty without obtaining a license in accordance with this Act. Provided that it is not required to obtain a license to import goods subject to excise duty under diplomatic privilege on the recommendation of the Ministry of Foreign Affairs, Government of Nepal, and to **import, export,** sell or store goods **except tobacco products** under the self-release system.	No one shall produce, import, sell or store goods subject to excise duty or provide services subject to excise duty without obtaining a license in accordance with this Act. Provided that it is not required to obtain a license to import goods subject to excise duty under diplomatic privilege on the recommendation of the Ministry of Foreign Affairs, Government of Nepal, and to sell or store goods under the self-release system.	Clarifies that under the self-release system, importing and exporting goods – except tobacco products – also does not require an excise license.
Section 9(5)	**Licensing Provisions**	The licensee ~~**who intends**~~ to renew the license shall, after the expiry of the period referred to in sub-section (4), shall pay the prescribed fee and renew the license within the month of Shrawan.	The licensee who intends to renew the license shall, after the expiry of the period referred to in sub-section (4), shall pay the prescribed fee and renew the license within the month of Shrawan.	Removes the requirement of intent, making license renewal mandatory for all licensees within the month of Shrawan.

Excise Act – Amendments (3/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 9(6)	**Licensing Provisions**	A licensee, other than a manufacturing or importing licensee, who fails to renew the license within the period referred to in Sub-section (5), shall pay a fine of twenty-five percent of the renewal fee within the first three months of the expiration of such period, fifty percent within the next three months, seventy-five percent within the next three months and one hundred percent **~~for the period up to the end of Ashad.~~** **for the remaining period of that financial year and for each period of the license thereafter.**	A licensee, other than a manufacturing or importing licensee, who fails to renew the license within the period referred to in Sub-section (5), shall pay a fine of twenty-five percent of the renewal fee within the first three months of the expiration of such period, fifty percent within the next three months, seventy-five percent within the next three months and one hundred percent for the period up to the end of Ashad.	Extends the penalty provision to apply not just until Ashad but for the entire remaining financial year and for each subsequent license period.
Section 9(6a)	**Licensing Provisions**	A licensee involved in manufacturing and importation who does not make renewal within the period referred to in subsection (5) shall, for making renewal, pay a fine of fifty percent of the renewal fee if it is within first three months of the expiration of such period and **~~one hundred percent if it is within three months thereafter.~~** **one hundred percent within the second three months, and thereafter at the rate of two hundred percent for the remaining period of that financial year and for each period of the license thereafter.**	A licensee involved in manufacturing and importation who does not make renewal within the period referred to in subsection (5) shall, for making renewal, pay a fine of fifty percent of the renewal fee if it is within first three months of the expiration of such period and hundred percent if it is within three months thereafter.	Extends and increases the penalty provision to apply not just until 6 months but for the entire remaining financial year and for each subsequent license period.

Excise Act – Amendments (4/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 9(6b)	**Licensing Provisions**	---	~~**The license of a licensee who fails to renew it within the period specified in sub-section (5) or (6) shall automatically be revoked.**~~	Eliminates automatic license cancellation, with cumulative penalties applicable.
Section 16(2)(c2)	**Punishment**	**If the production, bottling, packaging, sale and distribution of alcohol and tobacco products is carried out in violation of this Act or the regulations made under this Act, or the conditions prescribed by the Department.**	---	These activities shall now attract penalty at 200% of the amount or NPR 100,000, whichever is higher, or imprisonment for a term of up to one year, or both.
Section 16(5)	**Punishment**	**The Excise Officer shall seize any utensils or tools, machinery, equipment and vehicles used to produce goods or services that are directly or indirectly, used in connection with an offence under this Act.**	~~**Any utensils or tools, machines, equipment and motor vehicle used to manufacture or make goods or provide service and are directly or indirectly related to an offense, shall also be confiscated.**~~ ~~**Provided that if the person committing such offense uses a motor vehicle on hire and uses it in such act without permission of the owner of the vehicle, such vehicle shall not be confiscated, but the owner of the vehicle shall be punished with a fine of twenty-five thousand rupees and the driver shall be punished with imprisonment for a term not exceeding three months or with a fine of up to fifteen thousand rupees or with both, having regard to the nature of the offence.**~~	Transfers confiscation authority to the Excise Officer and removes specific penalties for vehicle owners and drivers, simplifying the enforcement provision.

Excise Act – Amendments (5/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 19(1)	**Administrative Review and Appeal Provisions**	Provided that, an appeal may be filed with the Revenue Tribunal within thirty-five days against the decision of the Excise Officer to impose imprisonment for the offence referred to in sub-sections (1), (2), **~~(3) and (4)~~** **and (5)** of Section 16.	Provided that, an appeal may be filed with the Revenue Tribunal within thirty-five days against the decision of the Excise Officer to impose imprisonment for the offence referred to in sub-sections (1), (2), (3) and (4) of Section 16.	The law has been made clearer by removing the sub-sections where there is no reference to imprisonment.
Section 25A	**Power to make rules**	The word '**standards**' has been added in all the places after the word 'directives' in this section.	---	The law has been made clearer.
All Sections	**Excise Act**	In this Act, the word "दण्ड" is substituted for the word "सजाय" in various places.	---	The law has been made clearer.

Customs Duty

Customs Duty – Significant Provisions

Significant Provisions of Custom Duty:

❑ **Applicability:**

➢ The rate of Customs Duty on import prevailing as per Schedule-1 of Finance Ordinance 2082 shall be applicable with immediate effect (Jestha 15, 2082).

❑ **Custom Deposit Facility:**

➢ Industries export its goods through letter of credit or banking channel in convertible foreign currency but not having Bonded House Facility, can import its raw materials, auxiliary raw materials & packing materials (if packing material is not manufactured in Nepal) under Custom Deposit Facility.

❑ **Diplomatic Facility / Duty Facility:**

Particulars	Diplomatic	Duty
• Maintaining Records	Yes	Yes
• Examination	No	Yes/No
• Collecting Custom Duty	No	No

❑ **Customs Service Fees**

Particulars	Fee
• On Import of Goods	NPR 500
• On Export of Goods	NPR 100

❑ **Exceptions to applicability of Customs Duty:**

➢ Custom Duty shall be applicable on exports & imports/re-imports except in the following cases:

- Having been exported through parcel by post but could not be delivered to the concerned person and thus returned.
- Having been returned because the concerned person has refused to take delivery after clearance made by the customs office or after having arrived abroad.
- Having been returned because of being unable to meet standard quality due to an accident or natural calamity.

❑ **Penalty:**

➢ The custom officer can recheck the custom cleared goods whether at custom premise or outside custom premise and if found that the declared name, specifications, character, physical description, qualitative description, size, weight & qualities are different, 300% penalty in addition to applicable custom duty or confiscation of goods along with 200% penalty in addition to the applicable custom duty shall be attracted.

➢ Undeclared imported goods shall attract fine of 5% of custom duty. The fine may be waived off if such goods are undeclared due to unavoidable reason.

Customs Act – Amendments (1/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 2(s)	**Definition of Duty**	**Duty means all types of taxes, fees or charges levied on goods to be exported or imported in accordance with the prevailing law and this term also refers to customs duties.**	~~**Duty means the customs duty levied on goods to be exported or imported pursuant to this Act and the term also refers to taxes, fees or service charges levied pursuant to this Act.**~~	Broadens the definition of "duty" to include all taxes, fees, and charges under prevailing laws, not just those under the Customs Act.
Section 4(5)	**Classification of goods**	The Government of Nepal may, as required, change the ~~**heading or subheading**~~ **other numbers after the starting 6 digits of the subheading** of the commodity classification or the description of the commodity by publishing a notification in the Nepal Gazette on the basis of the harmonized system. However, such changes may not be made in a manner that would result in a difference in the rate or amount of duty levied on goods to be exported or imported.	The Government of Nepal may, as required, change the heading or subheading number of the commodity classification or the description of the commodity by publishing a notification in the Nepal Gazette on the basis of the harmonized system. However, such changes may not be made in a manner that would result in a difference in the rate or amount of duty levied on goods to be exported or imported.	Restricts the government's power to amend only the digits beyond the initial 6 digits of the HS code, ensuring alignment with international classification standards.

Customs Act – Amendments (2/5)

Section	Sub-Heading	Amended Provision
Section 10	Duty will be levied if an exported item is re-imported	(1) When importing such goods, the same duty shall be levied on them as on goods of the same type or value or manufactured in a foreign country. (2) Notwithstanding anything contained in sub-section (1), if any exported goods are re-imported as follows, the customs duty paid on such goods shall be refunded as prescribed by giving exemption from customs duty: (a) It was removed from the parcel by post but returned without being delivered to the concerned person, (b) After being inspected by the customs office or after reaching abroad, the person concerned refuses to accept it and returns it, (c) Returned due to an accident or natural disaster that could not maintain its quality, or **(d) The goods are defective or do not conform to the details mentioned in the agreement between the exporter and the importer.** **(3) Notwithstanding anything contained in sub-section (2), if the following circumstances arise, customs duty paid on such goods shall not be exempted from customs duty or refunded:** **(a) Any repair or use of the goods other than that which is not necessary to determine whether they are defective or not in accordance with the details specified in the contract,** **(b) It is not certain whether the goods that were exported were actually imported, and** **(c) No re-importation within one hundred and eighty days of export.** **(4) If the importer cannot re-import within the period referred to in clause (c) of sub-section (3) and makes a written request for an extension of the time limit, stating the reasons, the customs officer may extend the time limit for up to ninety days.** **(5) The importer may submit an application to the office to release the goods re-imported pursuant to sub-section (1). If the goods so released are in a condition that they cannot be sold at auction, the Customs Officer may grant permission to render them commercially worthless or destroy them in the presence of a Customs officer at the expense of the importer.** (6) If the raw materials used in the production of the goods re-imported pursuant to Sub-section (1) were imported without paying duty, the duty applicable to such raw materials shall be recovered.

Customs Act – Amendments (3/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 12 (C)	**Calculation of customs duties on imported goods**	In calculating value added tax and other duties, taxes, fees, or charges, other than those specified in clauses (a) and (b), the duty, tax, fee, or charge shall be applied at the rate applicable to the customs value of the goods, **after addition of values calculated amounts under clauses (a) and (b).**	In calculating value added tax and other duties, taxes, fees or charges other than those in clauses (a) and (b), the duty, tax, fee or charge shall be applied at the rate applicable to the customs value of the goods.	The law now clearly specifies that VAT shall be calculated on the landed cost inclusive of all applicable duties, including customs, excise, and other fees or charges.
Section 14 (3)	**Imports may be allowed under bank guarantee**	If the goods produced from raw materials imported under bank guarantee pursuant to Sub-section (2) are not exported in accordance with the prescribed conditions or are not sold domestically in convertible foreign currency, fifteen percent shall be collected in addition to the **~~customs duty~~** **duty and customs duty or agricultural reform fee** applicable on the day such raw materials were imported.	If the goods produced from raw materials imported under bank guarantee pursuant to Sub-section (2) are not exported in accordance with the prescribed conditions or are not sold domestically in convertible foreign currency, fifteen percent shall be collected in addition to the customs duty applicable on the day such raw materials were imported.	Expands the scope of additional charges by including applicable duties and agricultural reform fees, in addition to customs duty.
Section 14 (6)	**Imports may be allowed under bank guarantee**	If goods imported under bank guarantee pursuant to Sub-section (5) are not sold domestically in convertible foreign currency in accordance with the prescribed conditions, fifteen percent shall be collected in addition to the **~~customs duty~~** **duty and customs duty or agricultural reform fee** applicable on the day of importation of such goods.	If goods imported under bank guarantee pursuant to Sub-section (5) are not sold domestically in convertible foreign currency in accordance with the prescribed conditions, fifteen percent shall be collected in addition to the customs duty applicable on the day of importation of such goods.	Expands the scope of additional charges by including applicable duties and agricultural reform fees, in addition to customs duty.

Customs Act – Amendments (4/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 14 (7)	**Imports may be allowed under bank guarantee**	While granting the facility of importation pursuant to this Section, the Customs Officer shall also obtain a bank guarantee for the additional duty amount that may be levied on him pursuant to Sub-section (3) or (6) in addition to the **~~customs~~** duty levied on such importation.	While granting the facility of importation pursuant to this Section, the Customs Officer shall also obtain a bank guarantee for the additional duty amount that may be levied on him pursuant to Sub-section (3) or (6) in addition to the customs duty levied on such importation.	Clarifies that the bank guarantee must cover all applicable duties – not just customs duty.
Section 15 (1)	**Raw materials can be imported by depositing cash**	Any industry may import raw materials by depositing cash. If the product is to be exported for payment through the banking system or sold domestically in convertible foreign currency, the importation of raw materials required for the production of such goods may be done by depositing a cash deposit as prescribed for the **~~duty~~** **customs duty or agricultural improvement fee** levied on the importation of such goods.	Any industry may import raw materials by depositing cash. If the product is to be exported for payment through the banking system or sold domestically in convertible foreign currency, the importation of raw materials required for the production of such goods may be done by depositing a cash deposit as prescribed for the duty levied on the importation of such goods.	Expands the scope of additional charges by including custom duties and agricultural reform fees..
Section 15 (3)	**Raw materials can be imported by depositing cash**	From the raw materials imported by depositing cash pursuant to Sub-section (1) If the manufactured goods are not exported as prescribed or are not sold domestically in convertible foreign currency, the deposit amount will be deposited in the relevant revenue account and an additional fifteen percent of the customs duty **or agricultural improvement fee** applicable on the day such raw materials are imported into such goods will be recovered.	From the raw materials imported by depositing cash pursuant to Sub-section (1) If the manufactured goods are not exported as prescribed or are not sold domestically in convertible foreign currency, the deposit amount will be deposited in the relevant revenue account and an additional fifteen percent of the customs duty applicable on the day such raw materials are imported into such goods will be recovered.	Expands the scope of additional charges by including agricultural reform fees, in addition to customs duty.

Customs Act – Amendments (5/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 19 (2)	**Customs Duty not to be charged**	The Government of Nepal may use the goods released pursuant to Sub-section (1) itself or sell them at auction in accordance with the prevailing customs law. **If such use or auction cannot be made, the customs officer may order the importer concerned to take the goods in return or destroy them or cause them to be destroyed at his own expense.**	The Government of Nepal may use the goods released pursuant to Sub-section (1) itself or sell them at auction in accordance with the prevailing customs laws.	Adds provisions for return or destruction of goods at the importer's expense if government use or auction is not feasible, enhancing disposal flexibility.
Section 20 (2)	**Obligation to pay customs duty and fine**	The amount of the fee determined pursuant to this Act shall be paid by the declarant within seven days from the date of determination of such fee. If the fee is not paid within such period, interest shall be calculated and recovered at the rate of 0.042% per day on the determined fee with effect from the date of determination of the fee. ~~**and the period for payment of such interest shall not exceed thirty days from the date of determination of the fee.**~~	The amount of the fee determined pursuant to this Act shall be paid by the declarant within seven days from the date of determination of such fee. If the fee is not paid within such period, interest shall be calculated and recovered at the rate of 0.042% per day on the determined fee with effect from the date of determination of the fee and the period for payment of such interest shall not exceed thirty days from the date of determination of the fee.	Removes the 30-day cap on interest recovery, allowing interest to accrue beyond thirty days until the fee is paid.
Section 24 (2)	**Refund of duty or fine**	Notwithstanding anything contained in sub-section (1), such fees **shall not be refunded** in the following circumstances: (a) If an application for refund of such duty is not submitted to the concerned customs office within sixty days of the release of the goods, or (b) If the amount claimed for refund is less than five hundred rupees. **(c) If the duty exemption facility is not claimed at the time of declaration of goods & is claimed later.**	Notwithstanding anything contained in sub-section (1), such fees shall not be refunded in the following circumstances: (a) If an application for refund of such duty is not submitted to the concerned customs office within sixty days of the release of the goods, or (b) If the amount claimed for refund is less than five hundred rupees.	Adds a new condition disallowing refund if the duty exemption is not claimed at the time of goods declaration, promoting timely compliance.

Legend for this Section:

Blue – Added by Finance Bill, 2082

Green – Amended by Finance Bill, 2082

Yellow – Deleted by Finance Bill, 2082

General Tax Updates

General Tax Updates (1/17)

Finance Act	FY 2025-26	FY 2024-25
Section 5 **Foreign Employment Service Fee** **(No change)**	(1) A person licensed to operate a foreign employment business in accordance with the prevailing federal law shall charge a fee equivalent to **one percent** of the amount collected from an individual going for foreign employment. The sum collected shall be utilized for the benefit of the individual going for foreign employment. (2) The licensed person shall deposit the amount specified in Sub-section (1) into the revenue account by the twenty-fifth day of the following month and submit the related details to the Department of Foreign Employment. (3) If the fee is not paid within the period specified in Sub-section (2), interest at the rate of fifteen percent per annum shall be charged and recovered. (4) The administration of the foreign employment service fee shall be as prescribed by the Department of Foreign Employment.	(1) A person licensed to operate a foreign employment business in accordance with the prevailing federal law shall charge a fee equivalent to **one percent** of the amount collected from an individual going for foreign employment. The sum collected shall be utilized for the benefit of the individual going for foreign employment. (2) The licensed person shall deposit the amount specified in Sub-section (1) into the revenue account by the twenty-fifth day of the following month and submit the related details to the Department of Foreign Employment. (3) If the fee is not paid within the period specified in Sub-section (2), interest at the rate of fifteen percent per annum shall be charged and recovered. (4) The administration of the foreign employment service fee shall be as prescribed by the Department of Foreign Employment.

General Tax Updates (2/17)

Finance Act	FY 2025-26	FY 2024-25
Section 6 **Education Service Fee** **(No change)**	**3% Education Service Fee** to be deducted by BFIs on tuition fees paid in Foreign Currency on behalf of the students going abroad for further education. Interest shall be charged to the BFI at the rate of 15% per annum for non-deposit of ESF by the due date. In case the student does not go abroad for his/her studies due to any circumstances, and the amount is refunded by the foreign educational institution, then ESF collected on such amount shall be refunded.	**3% Education Service Fee** to be deducted by BFIs on tuition fees paid in Foreign Currency on behalf of the students going abroad for further education. Interest shall be charged to the BFI at the rate of 15% per annum for non-deposit of ESF by the due date. In case the student does not go abroad for his/her studies due to any circumstances, and the amount is refunded by the foreign educational institution, then ESF collected on such amount shall be refunded.
Section 7 **Infrastructure Development Tax** **(No change)**	On import of Petrol and Diesel, Infrastructure Development Tax will be levied at the custom point as follows: 1) Petrol (Per Litre): Rs. 10 /- 2) Diesel (Per Litre): Rs. 10 /-	On import of Petrol and Diesel, Infrastructure Development Tax will be levied at the custom point as follows: 1) Petrol (Per Litre): Rs. 10 /- 2) Diesel (Per Litre): Rs. 10 /-

General Tax Updates (3/17)

Finance Act	Sub-Heading	FY 2025-26	FY 2024-25
Section 8	**Green Tax**	Green Tax shall be levied and collected at the customs point as per Schedule 1 of the Finance Bill, 2082 on imported goods.	Green Tax shall be levied and collected at the customs point as per Schedule 1 of the Finance Bill, 2081 on imported goods.

Green Tax Tariff:

Heading	Sub-Heading	Description of Items	FY 2025-26	FY 2024-25	Change
27.01		**Produced From Coal; Sub-Bituminous Products, Anthracite Products, And Similar Solid Fuels**			
		Unprocessed Coal			
	2701.11.00	Anthracite	Per Kg - NPR 0.50	Per Kg - NPR 0.50	
	2701.12.00	Sub-Bituminous Coal	Per Kg - NPR 0.50	Per Kg - NPR 0.50	
	2701.19.00	Other Coal	Per Kg - NPR 0.50	Per Kg - NPR 0.50	
	2701.20.00	Sub-Bituminous Products, Anthracite Products, and Similar Solid Fuels	Per Kg - NPR 0.50	Per Kg - NPR 0.50	
27.04	**2704.00.00**	**Tar Coal, Lignite, & Peat; Agglomerated or Non-Agglomerated Coke, Semi-Coke, & Retort Carbon**	**Per Kg - NPR 0.50**	**Per Kg - NPR 0.50**	
27.10		**Petroleum Oils and Oils Obtained From Bituminous Minerals (Excluding Crude)**			
	2710.12.10	-- Motor Spirit (Petrol)	Per Litre - NPR 1	Per Litre - NPR 1	
	2710.12.20	-- Hexane (Food Grade)	Per Litre - NPR 1	Per Litre - NPR 1	
	2710.12.90	-- Other	Per Litre - NPR 1	Per Litre - NPR 1	
		-- Other:			
	2710.19.30	-- High-Speed Diesel	Per Litre - NPR 1	Per Litre - NPR 1	
	2710.19.50	**-- Fuel Oil (Furnace Oil)**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.60	**-- Base Oil (Used In The Manufacture Of Lubricants)**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.70	**-- Jute Batching Oil, Textile Oil**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.80	**-- Lubricating Oil**	**Per Litre - NPR 1**	**1%**	**Changed**

General Tax Updates (4/17)

Green Tax Tariff (Continued):

Heading	Sub-Heading	Description of Items	FY 2025-26	FY 2024-25	Change
27.10		**Petroleum Oils and Oils Obtained From Bituminous Minerals (Excluding Crude)**			
		-- Other			
	2710.19.91	**-- Spindle Oil**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.92	**-- Transformer Oil**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.93	**-- Mineral Turpentine Oil**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.94	**-- Oil For Use In Rubber Processing**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.95	**-- Liquid Paraffin Oil**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.96	**-- White Oil**	**Per Litre - NPR 0.5**	**0.50%**	**Changed**
	2710.19.99	**-- Other**	**Per Litre - NPR 1**	**1%**	**Changed**
	2710.20.00	Petroleum Oils and Oils Obtained From Bituminous Minerals (Excluding Crude); Preparations Not Elsewhere Specified or Included, Containing by Weight 70% or More of Petroleum Oils or Oils Obtained from Bituminous Minerals, These Oils being the Basic Constituents Of The Preparations; Containing Bio-Diesel, Excluding Waste Oils:	1%	1%	
		Waste Oils:			
	2710.91.00	-- Polychlorinated Biphenyls (Pcbs), Polychlorinated Terphenyls (Pcts) And Polybrominated Biphenyls (Pbbs)	1%	1%	
	2710.99.00	-- Other	1%	1%	
27.13		**Petroleum Coke/ Bitumen & Other Residues of Petroleum Oils or of Bituminous Minerals Oils**			
		-- Petroleum Coke:			
	2713.11.00	**-- Not Calcined**	**Per Kg - NPR 0.5**	**0.50%**	**Changed**
	2713.12.00	**-- Calcined**	**Per Kg - NPR 0.5**	**0.50%**	**Changed**

General Tax Updates (5/17)

Finance Act	Sub-Heading	FY 2025-26	FY 2024-25
Section 9	**Road Development Fees**	Road Development Fees shall be levied on the vehicles imported or manufactured in Nepal **(incl. Goods Transportation Vehicles)** as per Schedule 2 of the Finance Act.	Road Development Fees shall be levied on the vehicles imported or manufactured in Nepal.

*** Misprint in the Finance Act, clarification is awaited.**

Heading	Sub-Heading	Description of Items	FY 2025-26	FY 2024-25	Change
87.04		**Motor Vehicles For The Transport Of Goods**			
		Other, with only an electric motor for pushing:			
	8704.60.31	Primarily for transporting goods with seating for driver & 2 persons only – single cab pickup	2.5%	---	**Added**
	8704.60.32	Primarily for transporting goods with seating for > 2 persons including driver – double cab pickup	2.5%	---	**Added**
	8704.60.41	Lorry, truck, tipper, dumper and other goods transporting vehicles	2.5%	---	**Added**
	8704.60.42	Container-attached trucks	2.5%	---	**Added**
	8704.60.49	Others	2.5%	---	**Added**
	8704.60.50	Compactors (with compressed design), garbage collection and dumping vehicles	2.5%	---	**Added**
	8704.60.61	Specially designed insulated vehicles for milk transport	2.5%	---	**Added**
	8704.60.62	Specially designed insulated bullet tankers for transporting liquid petroleum gas (LPG)	2.5%	---	**Added**
	8704.60.69	Others	2.5%	---	**Added**
	8704.60.70	Delivery van	2.5%	---	**Added**
87.11		**Motorcycles (with Mopeds) with or without side-cars, Motorized Cycles, Side Cars;**			
	8711.60.20	Motorcycle	*	---	**Added**
	8711.60.31	Moped Scooters with pedals	NPR 10,000 per Gota	---	**Added**
	8711.60.32	Moped Scooters without pedals	*	---	**Added**
	8711.60.39	Others	NPR 10,000 per Gota	---	**Added**

General Tax Updates (6/17)

Finance Act	FY 2025-26	FY 2024-25
Section 10 **Road - Repair & Improvement Fee** **(No Change)**	On import of Petrol and Diesel, Road Repair & Improvement Fee will be levied at the custom point as follows: 1) Petrol (Per Litre): NPR 4/- 2) Diesel (Per Litre): NPR 2/-	On import of Petrol and Diesel, Road Repair & Improvement Fee will be levied at the custom point as follows: 1) Petrol (Per Litre): NPR 4/- 2) Diesel (Per Litre): NPR 2/-
Section 11 **Film Development Fee** **(No Change)**	A film development fee will be collected as per Schedule-3 of the Finance Act on the admission fee of foreign films screened by cinema houses in Nepal.	A film development fee will be collected as per Schedule-3 of the Finance Act on the admission fee of foreign films screened by cinema houses in Nepal.
Section 12 **Pollution Control Fee** **(No Change)**	On local sales of Petrol and Diesel, Pollution Control Fee will be levied as follows: 1) Petrol (Per Litre): Rs. 1.50 /- 2) Diesel (Per Litre): Rs. 1.50 /-	On local sales of Petrol and Diesel, Pollution Control Fee will be levied as follows: 1) Petrol (Per Litre): Rs. 1.50 /- 2) Diesel (Per Litre): Rs. 1.50 /-

General Tax Updates (7/17)

Finance Act	FY 2025-26	FY 2024-25
Section 13 Telephone Ownership Fee	• A sum of Rs. 500 shall be collected as Telephone Ownership Fee for installing new Fixed land line or on transfer of ownership of such land line. • In case of cell phone (Prepaid & Postpaid) a sum equivalent to 2% of the value of Sim Card and Recharge Card shall be collected as Telephone Ownership Fee. • Telecom ownership Tax is required to be paid within 25th of next month otherwise interest @ 15% p.a. shall be levied. • The administration of Telephone Ownership Fees shall be as determined by **Nepal Telecom Authority** ~~**Inland Revenue Department**~~.	• A sum of Rs. 500 shall be collected as Telephone Ownership Fee for installing new Fixed land line or on transfer of ownership of such land line. • In case of cell phone (Prepaid & Postpaid) a sum equivalent to 2% of the value of Sim Card and Recharge Card shall be collected as Telephone Ownership Fee. • Telecom ownership Tax is required to be paid within 25th of next month otherwise interest @ 15% p.a. shall be levied. • The administration of Telephone Ownership Fees shall be as determined by Inland Revenue Department.
Section 14 Telecommunication Service Charges (TSC)	• Telecom Companies (Communication Service Providers, Internet Service Providers) need to collect a Telecom Service Charge @ 10% from its customers and deposit the same ~~**along with the monthly Value Added Tax**~~ i.e., on the 25th of the next month. • In case of delay in the deposit of TSC, an additional fee of 5% on the outstanding amount shall be levied. • The above charges shall not be levied on the following: ➢ Inter-connection charges ➢ Repair & Maintenance charges up to 50% of the Fixed Broadband Service Fees. • The administration of TSC shall be as determined by **Nepal Telecom Authority** ~~**Inland Revenue Department**~~.	• Telecom Companies (Communication Service Providers, Internet Service Providers) need to collect a Telecom Service Charge @ 10% from its customers and deposit the same along with the monthly Value Added Tax i.e., on the 25th of the next month. • In case of delay in the deposit of TSC, an additional fee of 5% on the outstanding amount shall be levied. • The above charges shall not be levied on the following: ➢ Inter-connection charges ➢ Repair & Maintenance charges up to 50% of the Fixed Broadband Service Fees. • The administration of TSC shall be as determined by Inland Revenue Department.

General Tax Updates (8/17)

Finance Act	FY 2025-26	FY 2024-25
Section 15 Casino Royalty	• Annual Royalty of Rs. 5 Crores. In case if the casino operates gaming only by modern machinery & equipment, then Annual Royalty of Rs. 1 Crore. The amount of royalty has to be paid in three instalments as follows: - Within Poush – 40% - Within Chaitra – 70% - Within Ashad – 100% • Fine @ 15% p.a. shall be charged in case of non-deposit of royalty on time (within 3 months) and 30% p.a. shall be charged if unpaid for further period. • **The administration of Casino Royalty shall be as determined by Tourism Department.**	• Annual Royalty of Rs. 5 Crores. In case if the casino operates gaming only by modern machinery & equipment, then Annual Royalty of Rs. 1 Crore. The amount of royalty has to be paid in three instalments as follows: - Within Poush – 40% - Within Chaitra – 70% - Within Ashad – 100% • Fine @ 15% p.a. shall be charged in case of non-deposit of royalty on time (within 3 months) and 30% p.a. shall be charged if unpaid for further period.

General Tax Updates (9/17)

Finance Act	FY 82-83 (Amended Provision)	FY 81-82 (Prevailing Provision)	Impact
Section 16 Digital Service Tax	**(1) A digital service tax (DST) of 2% shall be levied on the transaction value of digital services provided by non-resident to individuals users in Nepal, as well as, on the transaction value of data sold by non-resident that has been collected from users in Nepal.** **Provided that the tax under this section shall not be levied on the following transactions:** **(a) Transactions with annual turnover up to NPR 30 Lacs** **(b) Sales made through a digital interface for commercial purposes to commercial users located in Nepal.** **(2) Non-residents providing digital services in Nepal must submit the details of their transactions and the corresponding tax liability for each financial year through electronic means (online), as prescribed by the Department of Inland Revenue, within three months from the end of the fiscal year.** (3), (4) & (5) – No change	**~~(1) Non-resident person providing digital services to Nepalese Consumers shall be charged Digital Service Tax at 2% of the total transaction value. However, such service tax shall not be charged if the transaction value is below NPR 30 Lacs.~~** **~~(2) Person providing such digital services are required to submit return and pay taxes on the transaction value.~~** (3) Non-submission of return within the due date shall attract fee amounting to 0.1% of the transaction value. Similarly, on late payment of tax, interest shall be charged at 15% per annum. On under payment or evasion of tax, penalty at the rate of 50% of Digital Service Tax shall be levied. (4) No Income Tax shall be levied if the assessee has paid Digital Service Tax under this section. (5) Digital Service Tax shall be administered by Inland Revenue Department.	(1) The amended provision provides clarity on the scope of Digital Service Tax by explicitly covering both: - Digital services provided by non-residents to individual users in Nepal and - Sales of data collected by the users of Nepal. (2) It also specifies time limits for return filing.

General Tax Updates (10/17)

Finance Act	Particulars	FY 2025-26	FY 2024-25
Section 17 Luxury Fees	**Rate of Fee**	**2%**	**2%**
	Goods/Services on which fee shall levy	a) **Selling Price of Services** provided by five stars and above graded hotels and luxury resorts b) Imported Liquor **(Value incl. Custom & Excise)** c) **On sales price of Gold and** Gold Ornaments ~~**or Diamonds, Pearls, Stones studded in Gold Ornaments**~~	a) Services provided by five stars and above graded hotels and luxury resorts b) Imported Liquor c) Gold Ornaments or Diamonds, Pearls, Stones studded in Gold Ornaments
	Persons who shall levy	a) Five stars and above graded hotels and luxury resorts at the time of provision of service b) Imported Liquor at the customs point c) Jeweler selling **gold & gold ornaments** ~~**Diamonds, Pearls, Gold Studded Stones or Precious Metals worth more than NPR 10 Lacs**~~ at the time of sale	a) Five stars and above graded hotels and luxury resorts at the time of provision of service b) Imported Liquor at the customs point c) Jeweler selling Diamonds, Pearls, Gold Studded Stones or Precious Metals worth more than NPR 10 Lacs at the time of sale
	Time of Deposit & Time of Filing Return	25th of Subsequent Month	25th of Subsequent Month
	Default in Payment within Due-Date	15% interest p.a.	15% interest p.a.
	Default in Filing Return within Due-Date	2.5% fee per annum shall be levied (From: Due date till the date of submission)	2.5% fee per annum shall be levied (From: Due date till the date of submission)
	Default in Collection of the Fee	25% fee of the luxury fee	25% fee of the luxury fee
	Administration of the Fee	IRD	IRD

General Tax Updates (11/17)

Finance Act	FY 2025-26
Section 17 Luxury Fees **(Continued)**	**All the following provisions have been added by the Finance Act, 2081:** (4) If fraudulent activity related to luxury tax is identified, the Tax Officer may assess & impose the applicable luxury tax. (5) While determining the luxury tax under Clause 4, the concerned person shall be granted a period of 15 days to submit their defense. (9) A person dissatisfied with the tax assessment made by the Tax Officer under Clause 4 may file an application for administrative review with the Director General within 30 days of receipt of the assessment order. (10) If the time limit for filing an application under Clause 9 has lapsed, the person may submit an application to the Director General within 7 days of such expiry, stating the reasons for the delay. If the reasons are deemed valid, the Director General may extend the time limit by up to 30 days from the original expiry date. (11) The Director General shall make a decision on the application within 60 days from the date of submission under Clause 9. (12) If, upon reviewing the application submitted under Clause 9, the Director General finds the claim to be justified, a written order with reasons shall be issued, and the luxury tax may be reassessed accordingly. (13) The applicant under Clause 9 shall be required to pay the undisputed portion of the luxury tax, associated fees, and interest, and shall additionally deposit one-fourth of the disputed luxury tax, fees, and interest in cash. (14) If the Director General fails to make a decision within the timeframe provided under Clause 11, or if the applicant is dissatisfied with the decision rendered, an appeal may be filed with the Revenue Tribunal within 35 days from the date of receiving such decision or from the expiry of the period. (15) A copy of any application for administrative review or appeal under this section must be registered with the relevant office within 15 days. (16) The filing of a review application under Clause 9 or an appeal under Clause 14 shall not affect the enforcement of the tax assessment made under Clause 4.

General Tax Updates (12/17)

<table>
<tr><th>Finance Act</th><th>FY 2025-26</th></tr>
<tr><td>Section 18
Power to reduce, increase or discount rates</td><td><u>All the other sub-clauses have no change except sub-clause (3) listed below:</u>

Schedule–5: (Pursuant to Sub-section (3) of Section 18)

<u>Duty Exemption for Project Imports</u>

(1) When recommending to the Ministry of Finance, Government of Nepal, for duty exemption on goods to be consumed in projects operated under foreign loan or grant assistance, or projects undertaken pursuant to agreements entered into with the Government of Nepal or the Investment Board Nepal, such recommendation shall only be made upon approval of a master list by a Gazetted Special Category Officer of the concerned authority or the Chief Executive Officer of the Investment Board Nepal. The master list shall contain details of the goods along with the following particulars:

(a) The tax exemption provisions as stipulated in the foreign loan, aid, or investment agreement, approved by the Investment Board Nepal, must be explicitly stated.
(b) The tax-exclusive prices of the items included in the master list must be reflected in the project's rate analysis & cost estimates.
(c) The value of goods to be imported under the contract must be disclosed.
(d) A clear indication must be provided as to which items in the master list are to be procured domestically/imported.
(e) In the event of any amendment to the approved master list, the basis & justification must be clearly disclosed.
(f) The master list must include the item name, unit, unit price, gross price (CIF, CIP, F.O.B., ex-works, or other as applicable), currency, subheading under customs classification, country of origin, project name, name of the importer, and the expected date of project completion.</td></tr>
</table>

General Tax Updates (13/17)

Finance Act	FY 2025-26
Section 18 **Power to reduce, increase or discount rates** **(Continued)**	(2) If the unit price of any item listed in the approved master list differs from the listed amount, the master list must be amended accordingly to reflect the adjusted price. Provided that, a reduction in unit price of up to twenty-five percent from the price stated in the approved master list shall be accepted without requiring amendment. (3) Goods imported under concessional tariff arrangements shall be used solely for the designated project. If such goods are found to have been used in any project other than the one for which they were imported – except where the Government of Nepal has granted specific approval – the applicable customs duty along with a penalty equal to that duty shall be levied. (4) In cases where the concerned authority enters into an agreement for tariff exemption for a project without obtaining prior approval from the Ministry of Finance, Government of Nepal, such tariff exemption shall be deemed inapplicable and unenforceable.
Section 19 **Simplification of Procedures or Removal of Obstacles** **(No Change)**	If, during the implementation of this Act, any serious disturbance to public peace and order occurs, public movement is obstructed, a disaster prevents the enjoyment of any facility provided under this Act, or if any complication or obstacle arises in its implementation, the Government of Nepal, Ministry of Finance, may, by publishing a notification in the Nepal Gazette, extend the prescribed period, simplify the applicable procedures, or take necessary measures to remove such obstacles for the effective implementation of this Act.

General Tax Updates (14/17)

Finance Act	FY 2025-26	FY 2024-25
Section 20 Health Hazard Tax	(1) On import or domestic production of the following items, Health Hazard Tax will be levied as follows: a) Beedi (Per Piece) – NPR 0.30 Paisa b) Cigarette/Cigar (Per Piece) – NPR 0.60 Paisa **c) Heated Tobacco intended for inhalation without burning (electrically chargeable or not) – 10% of Value** **d) E-Cigarette with or without nicotine intended for inhalation without burning (electrically chargeable or not) or Vape (per Piece) – NPR 30** **e) Substances with or without nicotine used for Smoking/Chewing/Keeping in Mouth/ Ready to eat Surti/Khaini/Gutkha/Pan Masala/Flavored Betel Nut/ Mouth-Fresheners /Hookah Flavor (Per Kg) – NPR 60**	On import or domestic production of the following items, Health Hazard Tax will be levied as follows: a) Beedi (Per Piece) – NPR 0.30 Paisa b) Cigarette/Cigar (Per Piece) – NPR 0.60 Paisa c) Surti/Khaini/Gutkha/Pan Masala (Per Kg) – NPR 60

Finance Act	FY 2025-26
Section 20 Health Hazard Tax (Continued)	**All the following provisions have been added by the Finance Act, 2081:** (2) The tax specified in Clause 1 shall be collected at the customs point in the case of imports, and at the time of removal from the premises in the case of domestic production. (3) Every person liable to pay health risk tax must include the tax details in the monthly excise return and submit it by the 25th of the following month. (4) If evasion of health risk tax is identified, the Excise Officer shall assess the tax accordingly. (5) When assessing the tax under Clause 4, the Excise Officer must provide a 15-day period to the concerned party to submit a written explanation. (6) If the health risk tax is unpaid or underpaid as per Clause 2, a late fee of 0.05% per day shall be levied on the outstanding amount.

General Tax Updates (15/17)

Finance Act	FY 2025-26
Section 20 Health Hazard Tax **(Continued)**	**All the following provisions have been added by the Finance Act, 2081:** (7) Failure to pay the health risk tax as per Clause 1 shall result in a fine equal to 100% of the unpaid tax amount. (8) A person aggrieved by the Excise Officer's assessment under Clause 4 may submit an application for administrative review to the Director General within 30 days from the date of receiving the tax assessment order. (9) If the deadline for submitting the application under Clause 8 has lapsed, the applicant may, within 7 days of expiry, submit a request stating the reason for the delay. If found valid, the Director General may grant an extension of up to 30 days from the original deadline. (10) The Director General shall make a decision on the application submitted under Clause 8 within 60 days from the date of submission. (11) If, upon review of the application under Clause 8, the Director General finds the claims justified, they shall issue a written order with reasons and may reassess the health risk tax. (12) An applicant under Clause 8 must first pay any undisputed health risk tax, penalties, and fees, and also deposit one-fourth of the disputed amount in cash. (13) If the Director General fails to issue a decision within the period stated in Clause 10, or if the applicant is dissatisfied with the decision, an appeal may be filed with the Revenue Tribunal within 35 days from the date of receiving notice or expiry of the time limit. (14) A copy of the application or appeal filed under Clause 13 must be submitted to the relevant office within 15 days. (15) Filing an application or appeal under Clause 8 or 13 shall not stay the execution of the assessment made under Clause 4.

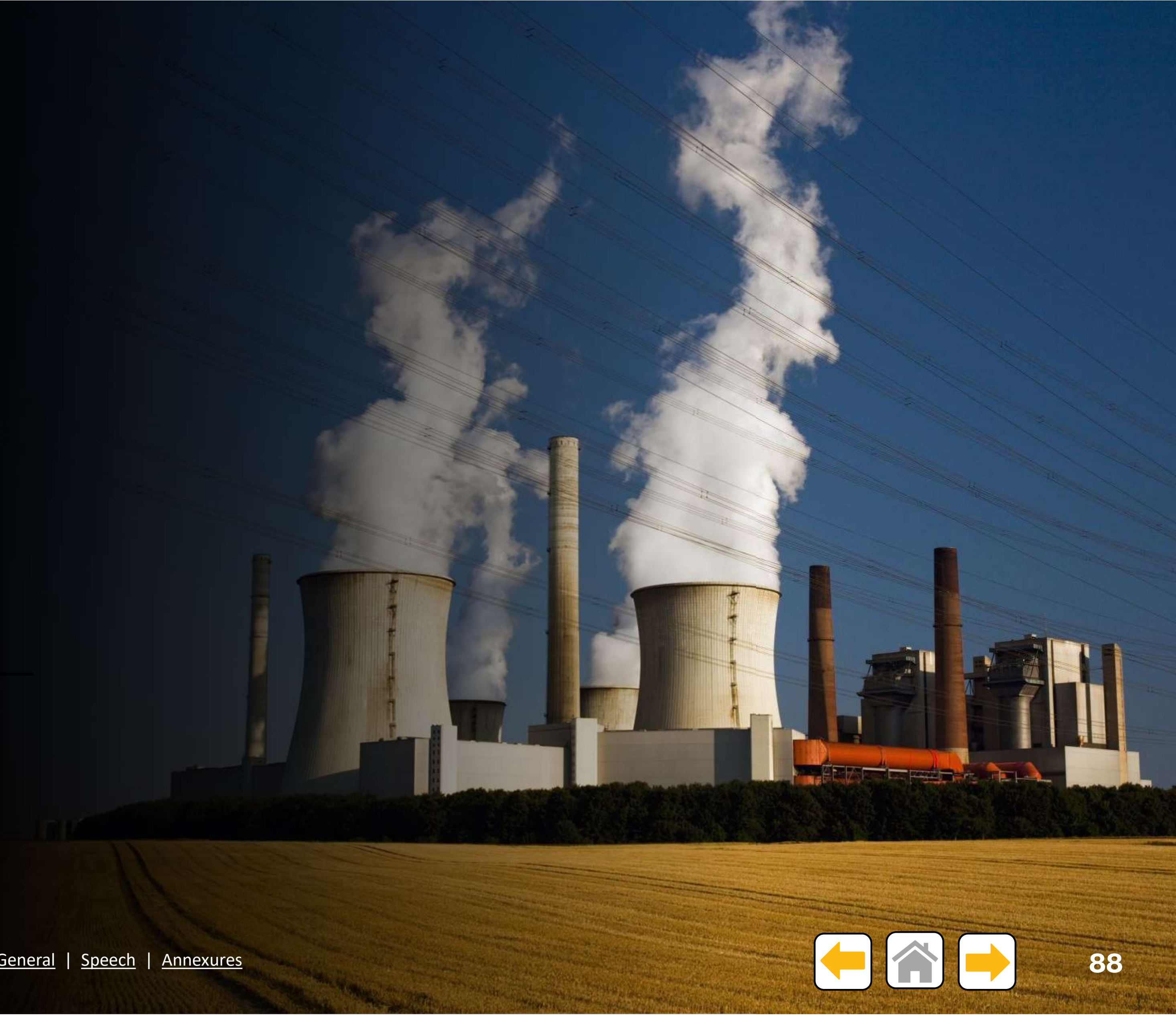
General Tax Updates (16/17)

Finance Act	FY 2025-26
Section 21 **Hydropower Projects May Import Under Bank Guarantee**	(1) A hydropower project, its contractor, or project promoter, having obtained an in-principle approval for capacity enhancement or design modification of the project, may import construction equipment, machinery and their parts, **explosives, penstock pipes, and steel plates** required for the production, transmission, and distribution of electricity under a bank guarantee facility, upon recommendation of the Department of Electricity Development. The applicable customs duty and value-added tax on such imports may be secured by bank guarantee instead of immediate payment. (2) Upon approval of the capacity enhancement or design modification as referred to in Sub-section (1), **the project, contractor, or promoter shall submit an application for the release of the bank guarantee to the concerned Customs Office, accompanied by a recommendation from the Department of Electricity Development.** (3) Upon receipt of the application under Sub-section (2), the Customs Office shall conduct necessary verification and, thereafter, recover one percent customs duty from the bank guarantee deposited at the time of import, exempt the remaining customs duty and value-added tax, and release the bank guarantee accordingly.
Section 22 **Special provisions regarding deduction of expenses for the rental of 'means of transport'**	**A transportation service provider who rented a transport vehicle from a natural person not holding a PAN for the purpose of operating their business during the fiscal years 2078/79, 2079/80, and 2080/81, and who deducted withholding tax in accordance with clause (8) of the proviso to sub-section (1) of Section 88 of the Income Tax Act, 2058, shall be allowed to deduct the amount of rent paid as an expense while computing the taxable income of the respective income year, even in the absence of a PAN-based invoice for such expense.**

General Tax Updates (17/17)

Finance Act	FY 2025-26
Section 23 **Special Provisions Regarding Transfer of Amount for Retirement Contribution**	**(1) Retirement funds previously approved by the Inland Revenue Department under the Income Tax Act, 2058 shall be mandatorily affiliated with one of the following: the Employees Provident Fund established under the Employees Provident Fund Act, 2019; the Citizens Investment Fund established under the Citizens Investment Fund Act, 2047; the retirement fund operated by the Social Security Fund established under the Contribution-Based Social Security Fund Act, 2074; or the retirement fund operated by the Pension Fund established under the Pension Fund Act, 2075.** **(2) If the retirement contributions deposited by contributors in the previously approved retirement fund, along with the accumulated amount, are transferred to any of the funds specified in Sub-section (1) within the prescribed period, no withholding tax shall be deducted from the transferred amount in accordance with the Income Tax Act, 2058.**
Section 33 **Interim Administration of House and Land Registration Fee** **(No Change)**	Until the provincial or local level is equipped with the necessary means, resources, technology, human resources, and office management to collect house and land registration fees in accordance with the Intergovernmental Financial Management Act, 2074, the concerned office of the Government of Nepal shall collect such fees at the rate determined by the respective provincial or local level and deposit the collected amounts into the concerned provincial or local consolidated fund as provided by the said Act.
Section 34 **Amendments in Liquor Act, 2031**	**Section (2) (A) of Liquor Act** - **Definition of Liquor – Refer Excise Duty under Indirect Tax Proposal** **Section 5 of Liquor Act** - The words '**~~manufacture, export or import or store~~**' has been replaced with '**export or import**'.

Budget Speech



Budget Speech Highlights (1/2)

Agriculture and Livestock

- Promote commercialization & mechanization, financial support for irrigation, fertilizers, seeds, & technology.
- Introduce off-season paddy cultivation in 22 Terai & Madhesh districts & promote value crops in 80 hilly areas.
- Ensure fertilizer availability, encourage organic farming, and establish a fertilizer plant.
- Declare minimum support prices before planting; facilitate government procurement during surplus.
- Expand crop and livestock insurance; launch "Krishak App" for farmer information.

Land Management, Cooperatives, and Poverty Alleviation

- Provide land ownership certificates to 500,000 landless Dalit and squatter households.
- Establish and digitize Land Banks and land records for commercial agriculture.
- Reform and consolidate cooperatives, introduce deposit insurance, and set up a debt recovery tribunal.
- Revise and integrate national identity numbers for social security.
- Coordinate multi-tiered poverty alleviation programs across government levels.

Industry, Commerce, and Investment Promotion

- Promote industrialization through policy stability and improved business environment.
- Support MSMEs, startups, and Dalit entrepreneurs via concessional loans and incubation centers.
- Offer rent exemptions and relocation incentives in special economic zones.
- Reform laws for land acquisition and simplify company procedures via one-stop centers.
- Sign investment treaties, simplify repatriation, and attract foreign direct investment in priority sectors.

Infrastructure and Physical Development

- Expand highways, bridges, ring roads, and all-weather rural roads; prioritize strategic routes.
- Complete hydropower projects; expand transmission/distribution systems & encourage solar energy adoption.
- Improve urban infrastructure through smart city initiatives and affordable housing.
- Complete urban/rural drinking water and sanitation projects.
- Implement large and small-scale irrigation schemes to boost year-round farming.

Budget Speech Highlights (2/2)

Health
- ❑ Broaden health insurance coverage; upgrade hospitals and health posts.
- ❑ Strengthen disease control and diagnostic services.
- ❑ Train and deploy health professionals, with incentives for remote areas.

Education
- ❑ Improve education quality with curriculum reform & teacher training.
- ❑ Expand technical/vocational education and digital learning.
- ❑ Support university research and innovation.

Social Security and Inclusion
- ❑ Better target social security allowances for vulnerable groups.
- ❑ Promote gender equality, prevent violence, & support youth.

Labor, Employment, and Social Welfare
- ❑ Create jobs through entrepreneurship and investment.
- ❑ Provide skills training to youth and returnee migrants.
- ❑ Strengthen labor market systems and ensure worker social protection.

Governance, Public Service, and Federalism
- ❑ Enhance anti-corruption measures and public financial management.
- ❑ Expand e-governance and online services.
- ❑ Clarify federal, provincial, and local government roles.
- ❑ Implement performance-based civil service reforms.

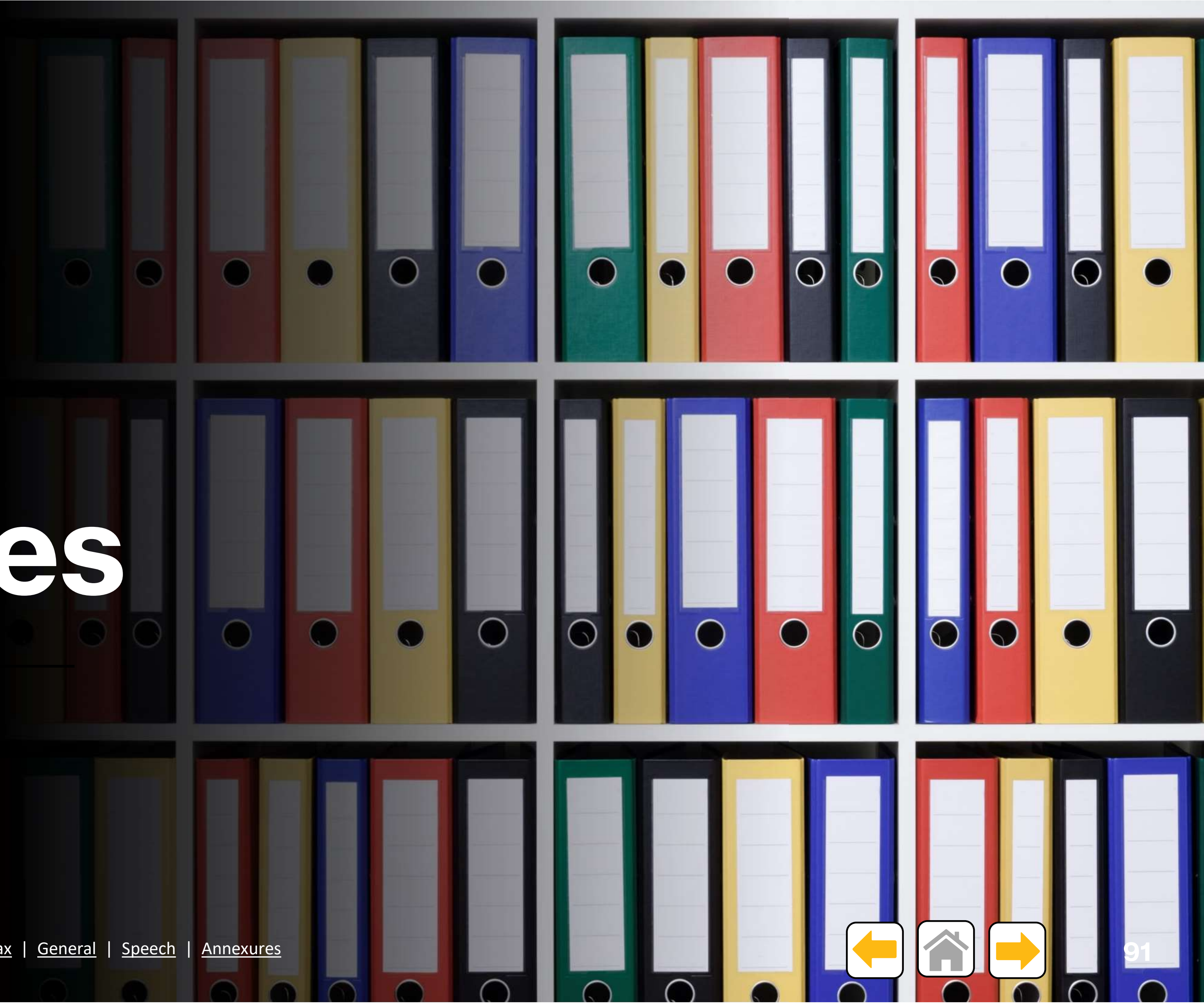
Environment, Disaster Management, and Climate Change
- ❑ Strengthen early warning systems and disaster resilience.
- ❑ Promote climate-resilient agriculture and green infrastructure.
- ❑ Reduce pollution and conserve biodiversity.
- ❑ Encourage green transport and waste management.

Tourism, Culture, and Heritage
- ❑ Provide incentives to tourism entrepreneurs and develop new destinations.
- ❑ Preserve cultural heritage sites and promote local festivals.
- ❑ Support film, music, and creative industries.

Science, Technology, and Innovation
- ❑ Expand broadband and digital literacy.
- ❑ Support ICT startups and innovation hubs.
- ❑ Invest in research and satellite technology for mapping and communication.

Defense, Public Order, and Foreign Affairs
- ❑ Modernize security agencies and enhance disaster response capacity.
- ❑ Strengthen border control and crime prevention.
- ❑ Promote Nepal's interests abroad and support the diaspora.
- ❑ Expand diplomatic outreach and international cooperation.

Annexures



Amendments in VAT- Schedules

VAT - Schedules (1/3)

Exhaustive List

Heading	HSN Code	Product Description	Change
		Group 3: Animals & their products	
02.07		**Fresh, chilled or frozen meat and edible meat**	
	0207.12.00	Uncut (whole), Frozen	**Added**
	0207.14.00	Pieces and offal, Frozen	**Added**
	0207.25.00	Uncut (whole), Frozen	**Added**
	0207.27.00	Pieces and offal, Frozen	**Added**
	0207.42.00	Uncut (whole), Frozen	**Added**
	0207.45.00	Other, Frozen	**Added**
	0207.52.00	Whole, Frozen	**Added**
	0207.55.00	Other, Frozen	**Added**
04.03		**Yogurt; buttermilk, curdled milk and cream**	
	0403.90.00	Other	**Added**
04.06		**Cheese and curd**	
	0406.90.10	Churpi	**Added**
		Group 4: Agricultural Inputs	
31.02		**Nitrogenous mineral or chemical fertilizers (Urea)**	
	3102.10.10	Diesel Exhaust Fluid	**Removed**
		Group 5: Medical Items, Health & Similar Services	
30.04		**Medicaments for therapeutic or prophylactic uses**	
	3004.50.00	Containing other vitamins or products of 29.36	**Added**
	3004.90.41	'Jeevan Dashmularishta, Ashokrista, Kalpasundari Samet'	**Removed**
90.21		**Devices used for hearing or physical compensation.**	
	9021.40.00	Hearing aids (excluding parts/accessories)	**Added**

Group 5: Medical Items, Health & Similar Services - Notes

(5) Added - Under heading 90.21, the words "Base Metal Caps falling within Sub-heading 8309.90.00

(10) Replaced - Hemodialysis Machines, Dialysis Reprocessors, Dialyzers and their Tubing Falling Under Subheading 9018.90.90 used In Kidney Treatment, Imported By Health Institutions Approved By The Government of Nepal; Dialysis Beds Falling Under Subheading 9402.90.20 and Chairs Falling Under Subheading 9402.90.90; Echocardiographs Falling Under Subheading 9018.11.00 Used In The Diagnosis and Treatment of Heart Diseases; Videoscopes, Cathlabs, Heart/lung Machines and Defibrillators Falling Under Subheading ~~9018.90.90~~ **9018.19.90;** Positron Emission Tomography (PET) Scan Machines, Computed Tomography (CT) Scan Machines, Mammography Falling Under Subheading 9022.12.00 Used In The Diagnosis and Treatment of Cancer Diseases; Brachytherapy and Linear Accelerators Falling Under Subheading 9022.21.00; Flow Cytometers, Next Generation Sequencers and Protein Microarray Platforms of Subheading **9018.19.90** ~~9018.90.30;~~ Multiplex Real-Time PCR of Subheading 9018.90.30~~;~~ ~~**Hematology Analyzers, Blood Chemistry Analyzers, Clinical Chemistry Analyzers and Immunochemistry Analyzers of Subheading 9027.80.10;**~~ Magnetic Resonance Imaging (MRI) Machines of Subheading 9018.13.00.

VAT - Schedules (2/3)

Exhaustive List

Heading	HSN Code	Product Description	Change
		Group 11: Other Goods & Services	
14.04		**Plant products not elsewhere specified or included**	
	1404.90.50	Rudraksh Seeds	**Added**
71.02		**Diamonds (polished or not, but not mounted or set)**	
	7102.10.00	Type not differentiated	**Removed**
		Industrial diamonds	
	7102.21.00	Unrefined/simply cut, split, or shaped / others	**Removed**
	7102.29.00	Others	**Removed**
		Non-industrial diamonds	
	7102.31.00	Unfinished/simply split or shaped	**Removed**
	7102.39.00	Others	**Removed**
71.03		**Precious and semi-precious stones**	
	7103.10.00	Unrefined or generally cracked/rough	**Removed**
		Other ways refined	
	7103.91.00	Ruby, Sapphire, and Emerald	**Removed**
	7103.99.00	Others	**Removed**
71.05		**Dust & powder of natural/synthetic precious stones**	
	7105.10.00	Diamond	**Removed**
	7105.90.00	Other	**Removed**
		Precious metals and metals clad with precious metals	
84.79		**Devices & mechanical appliances not specified**	
	8479.89.92	Machines for producing natural and organic fertilizers	**Added**

Group 11: Other Goods & Services
(4) Replaced - Financial Services, Life Insurance Services, Accident Insurance, Health Insurance, Reinsurance Services, Agricultural Crop Insurance, Fruit Insurance, Bee Insurance, Livestock Insurance, Bird Insurance, Fishery Insurance, Small Insurance, **Clearing House Services,** Money Transfer, Money Exchange, Swift Services, Hire Purchase Transactions, Deposit And Loan Security Services, Capital Market Business, Securities Business, Merchant Banking Business, Commodity Futures Market And Securities And Commodity Brokerage Business.
(6) Replaced - (a) Goods used to generate electricity from imported solar energy on the recommendation of the Alternative Energy Promotion Center. (b) Goods falling under the following subheadings, which operate solely on **solar energy** and are used in the production of solar thermal energy: 7410.21.00, 7607.19.00, 8403.10.00, 8403.90.00, 8412.80.00, 8419.34.00, 8516.60.11, 8516.60.12, 8516.60.19,. (c) **Lithium-ion batteries** falling under subheading 8507.60.00 ~~**with a voltage of less than 12 volts and current capacity of less than 10 ampere-hours, used in solar lamps.**~~ **and battery boxes, battery packs and separators falling under subheading 8507.90.00.**
(11) Replaced - In the case of projects approved by the Investment Board, projects approved by the Alternative Energy Promotion Center, and other projects – including those operated by the Nepal Electricity Authority – the concerned project, its contractor, or project promoter shall be exempted from VAT on the import and supply of construction equipment, machinery, tools, **high-capacity batteries,** steel sheets, and related parts and raw materials used for **electricity generation, distribution, and transmission based on water, solar, or wind energy,** upon recommendation of the DOED.

VAT - Schedules (3/3)

Exhaustive List

Group 11: Other Goods & Services
(20) Added - Value Added Tax exemption shall be granted when the person **constructing or establishing such an industrial zone or industrial village** or its contractor imports equipment, machinery, spare parts and construction materials required for the construction or establishment of such an industrial zone or industrial village, on the recommendation of the Investment Board. Provided that, while making a recommendation pursuant to this point, the recommendation shall be made in accordance with the quantities mentioned in the detailed engineering design report for the construction or establishment of the industrial area or industrial village.
(21) Added - Industries that manufacture or assemble **electric vehicle charging machines** will be granted a value-added tax exemption when importing them upon the recommendation of the Department of Industry.
(22) Added - Value-added tax exemption will be granted on the import of **mill machinery** required for the industry of **seasoning wood and wood-based materials**, upon the recommendation of the Department of Industry.
(23) Added - Value-added tax exemption will be granted when importing **machines, equipment and tools** required for the construction of **infrastructure for football, cricket and multi-purpose stadiums**, upon the recommendation of the Ministry of Youth and Sports.
(24) Added - Value-added tax exemption will be granted on the import of machines, devices and equipment required for **green hydrogen production**, upon the recommendation of the Ministry of Energy and Water Resources.

Section 6 of Schedule 2 of VAT Act:
If **the machinery tools and their parts, equipment, construction materials, penstock pipes or steel sheets** used for making them required by the following persons are produced by a local industry and supplied by the same industry to the concerned person or his contractor, then such industry shall be provided with zero rate facility in that transaction in accordance with the procedure prescribed by the Department on the recommendation of the following bodies: (a) For **hydro, solar & wind power projects**, in the case of projects operated with the approval of the Investment Board of Nepal, in the case of projects operated with the approval of the Alternative Energy Promotion Center, in the case of projects operated with the approval of the Alternative Energy Promotion Center, in the case of projects operated with the approval of the Alternative Energy Promotion Center, & in the case of other projects, on the recommendation of the DOED. (b) In the case of industries producing **organic & natural fertilizers**, on the recommendation of the DOI. (c) In the case of construction or **establishment of an industrial zone or industrial village**, on the recommendation of the Investment Board of Nepal.

HSN Reclassification

HSN Reclassification (1/4)

Exhaustive List

Heading	HSN	Existing Condition	HSN	Proposed Condition
14.04		**Plants not elsewhere specified or included products.**		**Vegetable products not elsewhere specified or included.**
	1404.90.90	Other:	1404.90.90	Other:
	1404.90.91	Cocopit	1404.90.91	Cocopit
	1404.90.99	Other	1404.90.92	Seeds of Bodhicitta
25.15		**Marble and travertine:**		**Marble and travertine:**
	2515.12.00	Cable cut into rectangular (including square) shapes by sawing or other means	2515.12.00	Cable cut into rectangular (including square) shapes by sawing or other means
			2515.12.10	Block
			2515.12.20	Leaf (slab)
			2515.12.90	Other
25.16		**Granite:**		**Granite:**
	2516.12.00	Simply cut into rectangular shapes, in blocks or sheets	2516.12.00	Simply cut into rectangular (including square) shapes, in the form of blocks or sheets
			2516.12.10	Block
			2516.12.20	Leaf (slab)
			2516.12.90	Other
30.02		**Other**		**Other**
	3002.90.10	Test kits (diagnostic kits)		
	3002.90.90	Other		
	3003.90.40	Battisa, Drakshasava, Triphala, Kabshahar, Chyavanpras, Keshari Jeevan, Dasmularishta, Ashokarishta, Kalpasundari	3003.90.40	Battisa, Drakshasava, Triphala, Kabsahara, Chyavanaprasa, Keshari Jeevan, Dasmularishta, Ashokarishta, Kalpasundari
			3003.90.41	Battisa, Drakshasava, Triphala, Kabsahar, Keshari Jeevan
			3003.90.49	Chyavanapras, Dashamularista, Ashokarista, Kalpasundari, Abhyarista, Arjunarista, Asvagandharista, Mahamanjisthadi, etc.
			3003.90.50	Medicinal balms and similar products containing menthol or camphor

HSN Reclassification (2/4)

Exhaustive List

Heading	HSN	Existing Condition	HSN	Proposed Condition
31.02		**Urea, whether or not in aqueous solution:**		**Urea, whether or not in aqueous solution:**
	3102.10.10	Diesel Exhaust Fluid	3102.10.10	Diesel Exhaust Fluid
			3102.10.20	Technical Grade
			3102.10.30	Fertilizer grade
	3102.10.91	Technical Grade	3102.10.90	Other
	3102.10.99	Other		
		Devices and mechanical appliances not specified or included elsewhere in this Part, capable of performing only a specified single task (individual function).		
	8479.89.90	Other	8479.89.90	Other
			8479.89.92	Machines for producing natural and organic fertilizers
85.25		**Highspeed objects mentioned in subheading Note 1 of this Part:**		**Highspeed objects as mentioned in subheading Note 1 of this Part:**
	8525.81.10	Television cameras	8525.81.10	Television cameras
	8525.81.20	Digital cameras	8525.81.20	Digital cameras
	8525.81.30	Video camera recorders	8525.81.30	Video camera recorders
			8525.81.40	CCTV cameras
		Other, radiation-hardened or radiation-tolerant items as specified in subheading Note 2 of this Part:		**Other, radiation-hardened or radiation-tolerant items as mentioned in subheading Note 2 of this Part:**
	8525.82.10	Television cameras	8525.82.10	Television cameras
	8525.82.20	Digital cameras	8525.82.20	Digital cameras
	8525.82.30	Video camera recorders	8525.82.30	Video camera recorders
			8525.82.40	CCTV cameras

HSN Reclassification (3/4)

Exhaustive List

Heading	HSN	Existing Condition	HSN	Proposed Condition
		Others, as mentioned in subtitle Note 3 of this part, visible at night (Night Vision) Items:		**Others, as mentioned in subtitle Note 3 of this part, visible at night (Night Vision) Items:**
	8525.83.10	Television cameras	8525.83.10	Television cameras
	8525.83.20	Digital cameras	8525.83.20	Digital cameras
	8525.83.30	Video camera recorders	8525.83.30	Video camera recorders
			8525.83.40	CCTV cameras
		Other:		**Other:**
	8525.89.10	Television cameras	8525.89.10	Television cameras
	8525.89.20	Digital cameras	8525.89.20	Digital cameras
	8525.89.30	Video camera recorders	8525.89.30	Video camera recorders
			8525.89.40	CCTV cameras
87.04		**Other motor vehicles with only 10 seats:**		**Other Motor Vehicles:**
	8704.60.20	Other, three-wheeled vehicle	8704.60.20	Three-wheeled vehicle
	8704.60.90	Other, four-wheeled vehicle		**Pickup vehicles that primarily transport goods:**
			8704.60.31	A single cab pickup truck primarily used for transporting goods and carrying only 2 people, including the driver.
			8704.60.32	A double cab pickup truck that is primarily used to transport goods and can carry more than 2 people, including the driver.

HSN Reclassification (4/4)

Exhaustive List

Heading	HSN	Existing Condition	HSN	Proposed Condition
87.04		**Other motor vehicles with only 10 seats:**		**Other Motor Vehicles:**
				Main means of transportation for transporting goods:
			8704.60.41	Lorries, trucks, tippers, dumpers and other similar means of transportation
			8704.60.42	Container attached trucks
			8704.60.49	Other
			8704.60.50	Garbage collection & transportation vehicles with compactors
				Tankers:
			8704.60.61	Tankers specially designed for transporting milk
			8704.60.62	Bullet tanker trucks specially designed for transporting liquefied petroleum gas
			8704.60.69	Other
			8704.60.70	Delivery van
			8704.60.90	Other
87.11		**With electric motor for pushing:**		**With electric motor for pushing:**
	8711.60.90	Other	8711.60.20	Motorcycle
				Scooters:
			8711.60.31	Moped scooters with pedals
			8711.60.32	Moped scooters without pedals
			8711.60.39	Other

Amendments in Excise Tariff

Excise Tariff – Amendments (1/5)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
02.07	**Poultry Meat and Edible Offal (Fresh, Chilled or Frozen);**			
0207.12.00	Uncut (Whole), Frozen	15%	---	**Added**
0207.14.00	Pieces And Offal Meat, Frozen	15%	---	**Added**
0207.25.00	Uncut (Whole), Frozen	15%	---	**Added**
0207.27.00	Pieces And Offal Meat, Frozen	15%	---	**Added**
0207.42.00	Uncut (Whole), Frozen	15%	---	**Added**
0207.45.00	Other, Frozen	15%	---	**Added**
0207.52.00	Whole, Frozen	15%	---	**Added**
0207.55.00	Others, Frozen	15%	---	**Added**
09.04	**Peppers of the Piper genus**			
0904.21.00	Dried, Unbroken, Unpeeled	5%	---	**Added**
0904.22.00	Chopped Or Crushed	5%	---	**Added**
23.09	**Prepared items used as animal feed**			
2309.10.00	Dog Or Cat Food Put Up For Retail Sale	20%	10%	**Increased**
24.02	**Cigars, cheroots, cigarillos, & cigarettes made from tobacco or substitutes.**			
2402.20.10	No Filter	NPR 778 Per M.	NPR 755 Per M.	**Increased**
2402.20.21	Up To 70 Mm Long	NPR 1,792 Per M.	NPR 1,740 Per M.	**Increased**
2402.20.22	More Than 70 To 75 Mm Long	NPR 2,441 Per M.	NPR 2,370 Per M.	**Increased**
2402.20.23	More Than 75 To 85 Mm. Length	NPR 3,213 Per M.	NPR 3,060 Per M.	**Increased**
2402.20.24	85 Mm. More Than Length	NPR 4,410 Per M.	NPR 4,200 Per M.	**Increased**
24.03	**Other manufactured tobacco and manufactured substitutes**			
2403.99.99	Other	NPR 1,500 Per Kg	NPR 520 Per Kg	**Increased**

Excise Tariff – Amendments (2/5)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
24.04	**Smokeless Nicotine and Tobacco Products**			
2404.11.00	Tobacco Or Reconstituted Tobacco	40%	NPR 520 Per Kg	**Changed**
2404.91.00	For Oral Use	40%	80%	**Decreased**
2404.92.00	For Use Through The Skin (Transdermal)	40%	80%	**Decreased**
2404.99.00	Other	40%	80%	**Decreased**
25.15	**Rough-Cut Calcareous Building Stones and Alabaster**			
2515.12.20	Leaf (Slab)	25%	---	**Added**
2515.12.90	Other	25%	---	**Added**
2515.20.00	Ecogenes Or Other LimeBased Monumental Or Building Stones And Alabaster	25%	15%	**Increased**
25.16	**Granite, Limestone & Other Building Stones (Rough or Sawn)**			
2516.12.20	Slab	25%	---	**Added**
2516.12.90	Other	25%	---	**Added**
25.23	**Hydraulic Cements and Clinker (Including Portland and Others)**			
2523.21.00	Artificially Colored Or Uncolored White Cement	5%	NPR 220 Per MT	**Changed**
2523.29.00	Other	5%	NPR 220 Per MT	**Changed**
2523.30.00	Aluminous Cement	5%	NPR 220 Per MT	**Changed**
2523.90.00	Other Hydraulic Cements	5%	NPR 220 Per MT	**Changed**
39.23	**Plastic Packaging Materials**			
3923.30.90	Wrapping reels or spools, cups, bobbins and so are the bases	15%	5%	**Increased**
48.14	**Wallpaper and Paper Window Transparencies**			
4814.20.00	Wallpaper And Similar Wall Coverings Made of Paper Coated	10%	---	**Added**
4814.90.00	Other	10%	---	**Added**

Excise Tariff – Amendments (3/5)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
68.08	**Composite Panels and Boards with Vegetable Fibers and Mineral Binders**			
68.08	Made of wood dust, cement, & various winding chemicals boards	10%	5%	**Increased**
68.09	**In plaster products or plaster mixtures-based goods;**			
68.09	In plaster products or plaster mixtures-based goods.	10%	5%	**Increased**
68.10	**Cement, Concrete, and Artificial Stone Articles;**			
68.10	Tiles, flagstones, bricks, etc.	15%	5%	**Increased**
68.13	**Friction materials and articles thereof**			
68.13	Brake linings and pads	10%	5%	**Increased**
70.10	**Transportation or packing of goods**			
7010.20.00	Birko	5%	---	**Added**
7010.90.00	Other	5%	---	**Added**
84.19	**Industrial Temperature-Change Machinery and Equipment**			
8419.89.10	Cooling Tower	5%	---	**Added**
8419.89.90	Other	5%	---	**Added**
85.07	**Electric Accumulators and Separators**			
8507.10.00	LeadAcid, The Kind Used To Start Piston Engines	15%	10%	**Increased**
8507.20.00	Other Lead Acid Accumulators	15%	10%	**Increased**
8507.30.00	Nickel Cadmium	10%	5%	**Increased**
8507.50.00	Nickel Metal Hydride	10%	5%	**Increased**
8507.60.00	Lithium-Ion	5%	---	**Added**
8507.80.10	Power Bank (Battery Pack)	15%	10%	**Increased**
8507.80.90	Other	15%	10%	**Increased**

Excise Tariff – Amendments (4/5)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
85.25	**Broadcasting & Imaging Transmission Equipment**			
8525.81.40	CCTV Cameras	5%	---	**Added**
8525.82.40	CCTV Cameras	5%	---	**Added**
8525.83.40	CCTV Cameras	5%	---	**Added**
8525.89.40	CCTV Cameras	5%	---	**Added**
85.36	**Electrical Switching, Protection Devices & Connectors (≤1,000V)**			
8536.50.00	Other Switches	15%	5%	**Increased**
85.43	**Specialized Single-Function Electrical Tools and Equipment**			
8543.40.00	Electronic Cigarettes And Similar Personal Electronic Vaporizing Devices	60%	30%	**Increased**
8543.90.10	Parts Of Electronic Cigarettes And Similar Personal Electronic Vaporizing Devices	60%	30%	**Increased**
87.04	**Motor for transporting goods**			
8704.60.31	A Single Cab Pickup Truck Primarily Used For Transporting Goods And Carrying Only 2 People, Including The Driver.	5%	---	**Added**
8704.60.32	A Double Cab Pickup Truck That Is Primarily Used To Transport Goods And Can Carry More Than 2 People, Including The Driver.	10%	---	**Added**
8704.60.41	Lorries, Trucks, Tippers, Dumpers And Other Similar Means Of Transportation	5%	---	**Added**
8704.60.42	ContainerAttached Trucks	5%	---	**Added**
8704.60.49	Other	5%	---	**Added**
8704.60.50	Garbage Collection And Transportation Vehicles With Compactors	5%	---	**Added**
8704.60.61	Tankers Specially Designed For Transporting Milk	5%	---	**Added**
8704.60.62	Bullet Tanker Trucks Specially Designed For Transporting LPG	5%	---	**Added**
8704.60.69	Other	5%	---	**Added**
8704.60.70	Delivery Van	5%	---	**Added**

Excise Tariff – Amendments (5/5)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
94.04	**Beds, Mattresses, and Upholstered Bedding Articles**			
9404.21.00	Of Cellular Rubber Or Plastics, Whether Or Not With A Shell	10%	---	**Added**
9404.29.00	Of Other Substances	10%	---	**Added**
9404.90.00	Other	10%	---	**Added**
96.14	**Smoking Pipes, Holders, and Parts**			
9614.00.00	Smoking Pipes (Incl. Pipe Bowls) And Cigar Or Cigarette Holders & Parts Thereof.	15%	---	**Added**
96.16	**Perfume & Toilet Sprays with Accessories; Cosmetic Powder Puffs**			
9616.10.00	Pachakas	10%	5%	**Increased**
96.18	**Human and Animal Display Figures for Decoration**			
9618.00.00	Dummies	15%	---	**Added**

Amendments in Customs Tariff

Customs Export Tariff – Amendments (1/2)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
14.04	**Vegetable Plating Materials; Vegetable Products**			
1404.90.92	Miscellaneous Dairy Products	NPR 1,000 per kg	---	**Added**
44.03	**Wood And Articles Of Wood**			
4403.11.00	Coniferous	100%	50%	**Increased**
4403.12.00	Non-Coniferous	100%	50%	**Increased**
4403.21.00	Conifers (Pinus Spp.), With a Cross-Sectional Dimension Of 15 Cm Or More	100%	50%	**Increased**
4403.22.00	Conifers (Pinus Species), Other	100%	50%	**Increased**
4403.23.00	Cedar & Fir, With Cross-Sectional Dimension Of 15 Cm Or More	100%	50%	**Increased**
4403.24.00	Conifer: Abies Spp. And Spruce (Picea Spp.); Other	100%	50%	**Increased**
4403.25.00	Other, Of Which The Smallest Cross-Sectional Dimension Is 15 Cm Or More	100%	50%	**Increased**
4403.26.00	Other	100%	50%	**Increased**
4403.41.00	Dark Red Meranti, Light Red Meranti And Meranti Bakau	100%	50%	**Increased**
4403.42.00	Teak	100%	50%	**Increased**
4403.49.00	Other	100%	50%	**Increased**
4403.91.00	Of Oak	100%	50%	**Increased**
4403.93.00	Beech (Fagus Species), With a Cross-Sectional Dimension Of 15 Cm Or More	100%	50%	**Increased**
4403.94.00	Of Beech (Fagus Species), Other	100%	50%	**Increased**
4403.95.00	Birch (Betula Spp.), With a Cross-Sectional Dimension Of 15 Cm Or More	100%	50%	**Increased**
4403.96.00	Birch (Betula Species), Other	100%	50%	**Increased**
4403.97.00	Poplar And Aspen (Populus Spp.)	100%	50%	**Increased**
4403.98.00	Spices (Eucalyptus Spp)	100%	50%	**Increased**
4403.99.10	Sawn Lengthwise To A Thickness Of 5 Inches Or Less	100%	50%	**Increased**
4403.99.90	Other	100%	50%	**Increased**
44.04	**Wood And Articles Of Wood**			
4404.10.00	Conifers	100%	50%	**Increased**
4404.20.00	Coniferous (Non-Coniferous)	100%	50%	**Increased**

Customs Export Tariff – Amendments (2/2)

Exhaustive List

HSN Code	Description of goods or services	FY 2082-83	FY 2081-82	Change
44.05	**Wood And Articles Of Wood**			
4405.00.00	Wood Wool; Wood Flour.	100%	50%	**Increased**
44.06	**Wood And Articles Of Wood**			
4406.11.00	Railway Sleepers Of Wood (Coniferous)	100%	50%	**Increased**
4406.12.00	Railway Sleepers Of Wood (Non-Coniferous)	100%	50%	**Increased**
4406.91.00	Sleepers For Permanent Way	100%	50%	**Increased**
4406.92.00	Sleepers Not Elsewhere Specified	100%	50%	**Increased**
44.07	**Wood And Articles Of Wood**			
4407.11.00	Coniferous Sawn Wood	100%	50%	**Increased**
4407.12.00	Cedar (Abies Species) And Spruce (Picea Species)	100%	50%	**Increased**
4407.13.00	S-P-F (Spruce (Picea Species), Fir (Pinus Species) & Cedar (Abies Species))	100%	50%	**Increased**
4407.14.00	Hem-Fir (Of Western Hemlock (Suga Heterophylla) & Cedar (Abies Species)	100%	50%	**Increased**
4407.19.00	Other Sawn - Tropical Wood:	100%	50%	**Increased**
4407.21.00	Mahogany (Sweetenia Species)	100%	50%	**Increased**
4407.22.00	Virol, Imbuia And Valsa	100%	50%	**Increased**
4407.23.00	Tick	100%	50%	**Increased**
4407.25.00	Dark Red Meranti, Light Red Meranti And Meranti Bakau	100%	50%	**Increased**
4407.26.00	White Lauan, White Meranti, White Seraya, Yellow Meranti And Elan	100%	50%	**Increased**
4407.29.00	Other	100%	50%	**Increased**
4407.91.00	Oak (Quercus Species)	100%	50%	**Increased**
4407.92.00	Beech (Fagus Species)	100%	50%	**Increased**
4407.96.00	Birch (Betula Species)	100%	50%	**Increased**
4407.97.00	Waves Of Poplar (Poplar) And Aspen (Populus Species)	100%	50%	**Increased**
4407.99.00	Other	100%	50%	**Increased**
70.1	**Glass And Glassware**			
7001.00.00	Glass Cullet And Other Waste Glass	NPR 5 per kg	---	**Added**

Customs Import Tariff – Amendments (1/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26 SAARC	FY 2025-26 Others	FY 2024-25 SAARC	FY 2024-25 Others	Change
	Edible Fruit And Nuts; Peel Of Citrus Fruit Or Melons					
0806.20.00	Dried Grapes	6%	10%	7.25%	15%	**Decreased**
	Sugars And Sugar Confectionery					
1701.12.00	Raw Sugar Not Containing Added Flavoring Or Coloring Matter: Beet Sugar	6%	15%	6%	30%	**Decreased**
1701.13.10	Sakhhar (Gud)	15%	15%	30%	30%	**Decreased**
1701.13.20	Khanda Sugar	15%	15%	30%	30%	**Decreased**
1701.13.90	Other	15%	15%	30%	30%	**Decreased**
1701.14.10	Other Cane Sugar: Sakhhar (Gud)	15%	15%	30%	30%	**Decreased**
1701.14.20	Other Cane Sugar: Khanda Sugar	15%	15%	30%	30%	**Decreased**
1701.14.90	Other Cane Sugar: Other	15%	15%	30%	30%	**Decreased**
1701.99.10	Misri	15%	15%	30%	30%	**Decreased**
1701.99.90	Other	15%	15%	30%	30%	**Decreased**
	Preparations Of Vegetables, Fruit, Nuts Or Other Parts Of Plants					
2008.99.10	Fruit Pulp	15%	15%	10%	10%	**Increased**
	Miscellaneous Edible Preparations					
2104.10.00	Soups And Broths And Preparations	30%	30%	20%	20%	**Increased**
2104.20.00	Homogenized Composite Food Preparations	30%	30%	20%	20%	**Increased**
2106.90.60	Kurkure, Kurmure, Lays & Similar Goods	40%	40%	NPR 100 Per KG	NPR 100 Per KG	**Changed**
	Beverages, Spirits And Vinegar					
2202.99.10	Energy Drinks	40%	40%	NPR 100 per ltr.	NPR 100 per ltr.	**Changed**
2202.99.20	Light Cold Drinks	40%	40%	NPR 40 per ltr.	NPR 40 per ltr.	**Changed**
2202.99.30	Flavored Milk Drinks	40%	40%	NPR 40 per ltr.	NPR 40 per ltr.	**Changed**
2203.00.10	5% Alcohol	Higher of 80% or NPR 200 per ltr.	80%	NPR 200 per ltr.	NPR 200 per ltr.	**Changed**
2203.00.20	More Than 5% Alcohol		80%	NPR 200 per ltr.	NPR 200 per ltr.	**Changed**

Customs Import Tariff – Amendments (2/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26 SAARC	FY 2025-26 Others	FY 2024-25 SAARC	FY 2024-25 Others	Change
2204.10.10	Sparkling Wine Containing Up To 12% Alcohol	Higher of 80% or NPR 200 per ltr.	Higher of 80% or NPR 200 per ltr.	NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.10.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.10.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.21.10	12% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.21.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.21.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.22.10	12% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.22.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.22.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.29.10	12% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.29.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.29.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.30.10	12% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.30.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2204.30.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2205.10.10	12% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2205.10.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2205.10.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2205.90.10	12% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2205.90.20	Containing More Than 12% Alcohol Up To 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2205.90.30	More Than 17% Alcohol			NPR 300 per ltr.	NPR 300 per ltr.	Changed
2206.00.10	Chhayang (Country Beer)			40%	40%	Increased
2206.00.20	Champagne, Sherry, Mead, Perry, Cider			40%	40%	Increased
2206.00.30	Sake			40%	40%	Increased
2206.00.40	Herbal Mixed Liquors, Cocktails & Other Fermented Liquors > 17 % Alcohol			40%	40%	Increased
2206.00.90	Other			40%	40%	Increased

Customs Import Tariff – Amendments (3/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26 SAARC	FY 2025-26 Others	FY 2024-25 SAARC	FY 2024-25 Others	Change
2207.10.10	Undenatured Ethyl Alcohol	Higher of 30% or NPR 60 per ltr.	Higher of 30% or NPR 60 per ltr.	NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2207.10.20	Rectified Spirit Used As A Raw Material For Alcohol			NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2207.10.30	E.N.A. (Extra Neutral Alcohol)			NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2207.10.40	Anhydrous Ethanol (Containing More Than 99 Percent Alcohol)			NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2207.10.90	Other			NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2207.20.10	Denatured Spirit (Containing 80 To 99 Percent Alcohol)			NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2207.20.90	Other			NPR 60 per ltr.	NPR 60 per ltr.	**Changed**
2208.20.10	All Kinds of Alcoholic Fluids Incl. Spirits Used As Raw Material Of Wine Or Brandy	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.20.91	15 U.P. Strength (Containing 48.5 Percent Alcohol) Ready Brandy Quantity	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.20.92	U.P. Strength (Containing 42.8 Percent Alcohol) Ready Brandy			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.20.93	U.P. Strength (Containing 39.94 Percent Alcohol) Ready Brandy Quantity			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.20.99	Other			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.30.10	Whiskies: Alcoholic Fluids Including Spirits Used As Raw Materials Of Whisky	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.30.91	15 U.P. Strength (Containing 48.5 Percent Alcohol) Ready Whisky Quantity	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.30.92	U.P. Strength (Containing 42.8 Percent Alcohol) Ready Whisky			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.30.93	U.P. Strength (Containing 39.94 Percent Alcohol) Ready Whisky Quantity			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.30.99	Other			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.40.10	Rum And Other Spirits Obtained By Distilling Fermented Sugarcane Products	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.40.91	15 U.P. Strength (Containing 48.5 Percent Alcohol) Ready Spirit Quantity	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.40.92	U.P. Strength (Containing 42.8 Percent Alcohol) Ready Spirit			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.40.93	U.P. Strength (Containing 39.94 Percent Alcohol) Ready Spirit Quantity			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.40.99	Other			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**

Customs Import Tariff – Amendments (4/8)

Exhaustive List

		FY 2025-26		FY 2024-25		
HSN Code	**Product Description**	**SAARC**	**Others**	**SAARC**	**Others**	**Change**
2208.50.10	Gin And Geneva	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.50.91	15 U.P. Strength (Containing 48.5 Percent Alcohol) Ready Gin Quantity	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.50.92	U.P. Strength (Containing 42.8 Percent Alcohol) Ready Gin			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.50.93	U.P. Strength (Containing 39.94 Percent Alcohol) Ready Gin Quantity			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.50.99	Other			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.60.10	Vodka	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.60.91	15 U.P. Strength (Containing 48.5 Percent Alcohol) Ready Vodka Quantity	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.60.92	U.P. Strength (Containing 42.8 Percent Alcohol) Ready Vodka			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.60.93	U.P. Strength (Containing 39.94 Percent Alcohol) Ready Vodka Quantity			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.60.99	Other			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.70.10	Liqueurs And Cordials	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.70.20	Alcoholic Beverages (With Up To 5 Percent Alcohol Content)	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.70.91	15 U.P. Strength (Containing 48.5 Percent Alcohol) Ready Liquors/Curdial Qty			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.70.92	U.P. Strength (Containing 42.8 Percent Alcohol) Ready Liquors & Curdial			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.70.93	U.P. Strength (Containing 39.94 Percent Alcohol) Ready Liquors & Curdial Qty			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.70.99	Other			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.10	Other: Alcoholic Fluids Including Spirits Used As Raw Materials Of Liquor	80%	80%	NPR 1,500 per ltr.	NPR 1,500 per ltr.	**Changed**
2208.90.91	15 U.P. Strength (48.5 Percent Alcohol Content)	Higher of 100% or NPR 2,000 per ltr.	Higher of 100% or NPR 2,000 per ltr.	NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.92	25 U.P. Strength (42.8 Percent Alcohol Content)			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.93	30 U.P. Strength (39.94 Percent Alcohol Content)			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.94	40 U.P. Strength (34.23 Percent Alcohol Content)			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.95	50 U.P. Strength (28.53 Percent Alcohol Content)			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.96	70 U.P. Strength (Containing 17.12 Percent Alcohol Content)			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**
2208.90.99	Others			NPR 2,000 per ltr.	NPR 2,000 per ltr.	**Changed**

Customs Import Tariff – Amendments (5/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26 SAARC	FY 2025-26 Others	FY 2024-25 SAARC	FY 2024-25 Others	Change
	Tobacco And Manufactured Tobacco Substitutes.					
2402.10.00	Unmanufactured Tobacco; Tobacco Refuse: Tobacco, Not Stemmed/Stripped	NPR 11,000 per thousand pcs	NPR 11,000 per thousand pcs	NPR 9,000 per thousand pcs	NPR 9,000 per thousand pcs	**Increased**
2402.20.10	Without Filter	NPR 5,500 per thousand pcs	NPR 5,500 per thousand pcs	NPR 4,500 per thousand pcs	NPR 4,500 per thousand pcs	**Increased**
2402.20.21	70 Mm Filter Length	NPR 5,500 per thousand pcs	NPR 5,500 per thousand pcs	NPR 4,500 per thousand pcs	NPR 4,500 per thousand pcs	**Increased**
2402.20.22	More Than 70 Up To 75 Mm. Length	NPR 5,500 per thousand pcs	NPR 5,500 per thousand pcs	NPR 4,500 per thousand pcs	NPR 4,500 per thousand pcs	**Increased**
2402.20.23	More Than 75 Up To 85 Mm. Length	NPR 5,500 per thousand pcs	NPR 5,500 per thousand pcs	NPR 4,500 per thousand pcs	NPR 4,500 per thousand pcs	**Increased**
2402.20.24	More Than 85 Mm Length	NPR 5,500 per thousand pcs	NPR 5,500 per thousand pcs	NPR 4,500 per thousand pcs	NPR 4,500 per thousand pcs	**Increased**
2402.90.10	Ready Bidi	NPR 5,500 per thousand pcs	NPR 5,500 per thousand pcs	NPR 4,500 per thousand pcs	NPR 4,500 per thousand pcs	**Increased**
2402.90.20	All Kind Of Cigar	NPR 11,000 per thousand pcs	NPR 11,000 per thousand pcs	NPR 9,000 per thousand pcs	NPR 9,000 per thousand pcs	**Increased**
2402.90.90	Others	NPR 11,000 per thousand pcs	NPR 11,000 per thousand pcs	NPR 9,000 per thousand pcs	NPR 9,000 per thousand pcs	**Increased**
2403.19.20	Processed Tobacco For Cigarette And Beedies	60%	60%	30%	30%	**Increased**
2403.19.90	Other	60%	60%	30%	30%	**Increased**
2403.91.00	“Homogenized ” Or “ Reconstituted ” Tobacco	60%	60%	30%	30%	**Increased**
2403.99.20	Packed Chewing Tobacco, To Be Mixed In Lime, Put Up For Retail Sale	60%	60%	80%	80%	**Increased**

Customs Import Tariff – Amendments (6/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26		FY 2024-25		Change
		SAARC	Others	SAARC	Others	
	Salt; Sulphur; Earths And Stone; Plastering Materials, Lime And Cement					
2515.12.20	Slab	20%	20%	30%	30%	**Decreased**
2515.12.90	Other	20%	20%	30%	30%	**Decreased**
2515.20.00	Caussin And Other Calcareous Monumental Or Building Stone; Alabaster	20%	20%	30%	30%	**Decreased**
	Pharmaceutical Products					
3002.90.00	Other	6%	10%	9%	10%	**Decreased**
	Fertilizers					
3102.10.10	Diesel Exhaust Fluid	9.50%	10%	5%	5%	**Increased**
	Wood And Articles Of Wood; Wood Charcoal					
4421.91.20	Match splints	5%	5%	5%	15%	**Decreased**
4421.99.20	Match splints	5%	5%	5%	15%	**Decreased**
	Paper And Paperboard; Articles Of Paper Pulp, Of Paper Or Of Paperboard					
4814.20.00	Wallpaper And Similar Wall Coverings	7.25%	20%	7.25%	15%	**Increased**
4814.90.00	Other	7.25%	20%	7.25%	15%	**Increased**
	Impregnated, Coated, Covered Or Laminated Textile Fabrics					
5905.00.00	Textile Wall Coverings.	7.25%	20%	7.25%	15%	**Increased**
	Headgear And Parts Thereof					
6506.10.00	Other Headgear, Whether Or Not Lined Or Trimmed:Safety Head gear	20%	20%	15%	15%	**Increased**
6506.91.00	Other Headgear, Whether Or Not Lined Or Trimmed: Of Rubber Or Of Plastics	7.25%	20%	7.25%	15%	**Increased**
6506.99.00	Other Headgear, Whether Or Not Lined Or Trimmed: Of Other Material	7.25%	20%	7.25%	15%	**Increased**
	Articles Of Stone, Plaster, Cement, Asbestos, Mica Or Similar Materials					
6808.00.10	Boards Or Panels Made Of Mixtures Of Saw Dust, Cement, & Chemical Binders	6%	15%	6%	20%	**Increased**
6808.00.90	Panels, Boards, Tiles, Blocks And Similar Articles Of Vegetable Fiber Etc.	7.25%	15%	7.25%	20%	**Decreased**
6809.11.00	Faced Or Reinforced With Paper Or Paperboard Only	7.25%	15%	7.25%	20%	**Decreased**
6809.19.00	Articles Of Plaster Or Of Compositions Based On Plaster: Others	7.25%	15%	7.25%	20%	**Decreased**
6809.90.00	Other Articles	7.25%	15%	7.25%	20%	**Decreased**

Customs Import Tariff – Amendments (7/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26 SAARC	FY 2025-26 Others	FY 2024-25 SAARC	FY 2024-25 Others	Change
6810.11.10	Autoclaved Aerated Concrete Blocks (Aac Blocks)	7.25%	15%	7.25%	20%	Decreased
6810.11.90	Other	7.25%	15%	7.25%	20%	Decreased
6810.19.90	Other Goods	6%	10%	7.25%	15%	Decreased
6810.91.00	Prefabricated Structural Components For Building Or Civil Engineering	6%	10%	7.25%	15%	Decreased
6810.99.00	Others	6%	10%	7.25%	15%	Decreased
6811.40.00	Containing Asbestos	6%	10%	7.25%	15%	Decreased
6811.81.00	Corrugated Sheets	6%	10%	7.25%	15%	Decreased
6811.82.00	Other Sheets, Panels, Tiles And Similar Articles	6%	10%	7.25%	15%	Decreased
6811.89.00	Other Articles	6%	10%	7.25%	15%	Decreased
6813.20.10	Brake Linings And Pads	6%	10%	7.25%	15%	Decreased
6813.20.90	Other	6%	10%	7.25%	15%	Decreased
6813.81.00	Brake Linings And Pads	6%	10%	7.25%	15%	Decreased
6813.89.00	Other	6%	10%	7.25%	15%	Decreased
	Ceramic Products					
6910.10.00	Ceramic Sinks, Wash Basins, Wash Basin Pedestals Etc.	20%	20%	15%	15%	Increased
6910.90.00	Other	20%	20%	15%	15%	Increased
6913.10.00	Of Porcelain Or China	20%	20%	15%	15%	Increased
6913.90.00	Other	20%	20%	15%	15%	Increased
6914.10.10	Prociline Or China	7.25%	20%	7.25%	15%	Increased
6914.90.00	Other	7.25%	20%	7.25%	15%	Increased
	Glass And Glassware					
7010.20.00	Stoppers, Lids And Other Closures	6%	10%	7.25%	15%	Decreased
7010.90.00	Other	6%	10%	7.25%	15%	Decreased

Customs Import Tariff – Amendments (8/8)

Exhaustive List

HSN Code	Product Description	FY 2025-26		FY 2024-25		Change
		SAARC	Others	SAARC	Others	
	Natural Or Cultured Pearls, Precious Or Semiprecious Stones, Precious Metals					
7106.10.00	Powder	10%	10%	15%	15%	**Decreased**
7106.91.00	Unwrought	10%	10%	15%	15%	**Decreased**
7106.92.00	Semi manufactured	10%	10%	15%	15%	**Decreased**
7108.11.00	Powder	10%	10%	20%	20%	**Decreased**
7108.12.00	Other Unwrought Forms	10%	10%	20%	20%	**Decreased**
7108.13.00	Other Semi manufactured Forms	10%	10%	20%	20%	**Decreased**
7108.20.00	Monetary	10%	10%	20%	20%	**Decreased**
	Iron And Steel					
7210.11.00	Of A Thickness Of 0.5 Mm Or More	10%	10%	5%	5%	**Increased**
7210.12.00	Of A Thickness Of Less Than 0.5 Mm	10%	10%	5%	5%	**Increased**
7213.91.10	Not More Than 8 Mm	10%	10%	5%	5%	**Increased**
	Articles Of Iron Or Steel.					
7303.00.00	Tubes, Pipes And Hollow Profiles, Of Cast Iron.	7.25%	20%	7.25%	15%	**Decreased**
	Nuclear Reactors, Boilers, Machinery And Mechanical Appliances					
8430.31.00	Self-propelled	1%	1%	5%	5%	**Decreased**
8430.39.00	Other	1%	1%	5%	5%	**Decreased**
	Electrical Machinery And Equipment; Television Image & Sound Recorders					
8543.40.00	Electronic Cigarettes And Similar Personal Electric Vaporizing Devices	5%	20%	5%	5%	**Increased**
8543.90.10	Parts Of Electronic Cigarettes And Similar Personal Electric Vaporizing Devices	5%	10%	Exempt	Exempt	**Increased**
	Vehicles Other Than Railway Or Tramway Rollingstock					
8704.60.32	Transporting Goods & Carrying > 2 People Incl. Driver (Double Cab Pickup)	20%	20%	15%	15%	**Increased**
8704.60.50	Compressing Device	10%	10%	15%	15%	**Decreased**
8704.60.61	Tankers Specially Designed For The Transport Of Milk	1%	1%	15%	15%	**Decreased**
8704.60.62	Bullet Tanker trucks Specially Designed For The Transport Of LPG	10%	10%	15%	15%	**Decreased**
8704.60.90	Other	20%	20%	15%	15%	**Increased**

Customs Duty Act – Schedule 4 (1/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 1 (3)	Baggage Rules	For the purpose of collecting customs duty on gold brought by travelers and gold ornaments, the customs officer may determine the customs value by considering the international market price of gold.	~~For the purpose of customs valuation of gold and gold ornaments brought by passengers, on the 1st and 15th of every month, the department will take the price list from the international market and provide it to the customs office.~~	This change gives customs officers the flexibility to determine gold valuation based on real-time international prices, improving responsiveness and reducing dependence on periodic departmental price lists.
Section 1 (4)	Baggage Rules	If a foreign traveler imports gold and silver ornaments exceeding the prescribed quantity and declares to deposit them at the customs office in transit, the customs office shall keep such ornaments securely and deliver the receipt to the respective traveler. When such traveler returns from Nepal, the customs office shall return the deposited ornaments to the traveler.	~~Regarding the men and women foreign travelers may bring with them, they are allowed to declare up to twenty-five grams of gold jewelry for men and up to fifty grams for women, and up to one hundred grams of silver jewelry for personal use. If they declare more than these amounts at the customs office for return, the jewelry will be examined, and twenty percent of the value of the jewelry will be kept as a deposit, allowing the traveler to bring it back. When the traveler returns, they can have the jewelry examined at the customs office, and if the declared jewelry matches the declared quantity and quality, the deposited amount will be refunded. If, during examination, the jewelry is found to differ in quality or quantity from what was declared, action will be taken according to the prevailing customs laws.~~ ~~However, travelers coming from India for social functions such as marriage can declare jewelry they bring for personal use at the customs office, with the condition that they will take back the jewelry when they return.~~	The change replaces the monetary deposit system with a physical custody model, simplifying the process by allowing travellers to leave excess gold/silver at customs and collect it upon return without financial risk.

Customs Duty Act – Schedule 4 (2/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 3 (3)	Special provisions relating to the import of vehicles or means of transport	**When calculating the number of seats for the purpose of Title 87.02, the prevailing Nepalese laws related to vehicle and traffic management shall be followed. The calculation will include the standard seats for passenger vehicles according to the prescribed standards, as well as the driver's seat.**	**~~For the purpose of Title 87.02, when calculating the number of seats, the regular seats and driver seats will be counted. However, conductor seats, additional seats, and folding seats will not be included in the count.~~**	The seat count determination is now aligned with Nepal's prevailing vehicle and traffic laws, allowing for standardized interpretation and reducing ambiguity.
Section 5 (2) (pa)	Customs Duty shall be 1%	Items falling under the headings 72.01, 72.02, **72.03** and 72.04 imported by the industry.	Items falling under the headings 72.01, 72.02, and 72.04 imported by the industry.	Ferrous waste & scrap; remelting scrap ingots of iron or steel under heading 72.03 has been newly added
Section 5 (3) (kha)	Partial Exemption on Customs Duty	In Part 30 **and below** (subheadings 3002.12.00, 3002.13.00, 3002.14.00, 3002.15.00, 3002.41.00, 3002.42.00, 3002.49.00, 3002.51.00, 3002.59.00, **3003.90.41, 3003.90.49, 3003.90.50**, 3004.90.41, 3004.90.49 and 3004.90.50 **except medicines)** will be subject to five percent customs duty.	In Part 30 (subheadings 3002.12.00, 3002.13.00, 3002.14.00, 3002.15.00, 3002.41.00, 3002.42.00, 3002.49.00, 3002.51.00, 3002.59.00, 3004.90.41, 3004.90.49, and 3004.90.50, **~~excluding human nutrition and health-promoting vitamins),~~** an import duty of five percent customs duty will be levied.	The change broadens the range of medicines eligible for 5% customs duty by including more subheadings and possibly removing earlier exclusions. Ayurvedic formulations under subheading 3003.90.41, 3003.90.49, 3003.90.50 has been newly added.
Section 5 (3) (nga)	Partial Exemption on Customs Duty	**Industries registered for value-added tax producing poly-coated paper and printed lamination film** shall be subject to a **fifteen percent** customs duty when importing poly-coated paper or printed lamination film, up to the quantity necessary for production, under all sub-headings falling under **sub-headings 3919.90.00 and headings 39.2**	**~~Industries manufacturing poly-coated paper registered for value-added tax and printed lamination film~~** will incur a **~~ten percent~~** customs duty on the import of poly-coated paper or printed lamination film up to the necessary quantity, as well as on all sub-headings under headings 3919.90.00 and 39.2**~~0 and 39.21, including polyester film, VOPP film, metallized CPP film, and milky white CPP film.~~**	The customs duty rate on poly-coated paper and printed lamination film imports has increased from 10% to 15%, potentially raising costs for VAT-registered industries producing these materials.

Customs Duty Act – Schedule 4 (3/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 5 (3) (ksha)	**Partial Exemption on Customs Duty**	The industry producing optical fibre cables will attract a ten percent customs duty when importing raw materials for its production, specifically Spring Steel Wire classified under subheading **7217.12.10** and Twisted Steel Wire classified under subheading 7312.10.00.	The industry manufacturing optical fibre cables will attract a ten percent customs duty when importing raw materials such as spring steel wire falling under subheading **~~7217.10.00~~** and twisted steel wire falling under subheading 7312.10.00 for their production purposes.	The classification has been updated to a more specific subheading, potentially affecting tariff application and import documentation.
Section 6 (1) (tha)	**Customs Duty shall be fully exempt at the recommendation of respective regulator**	**On the recommendation of the Ministry of Energy, Water Resources & Irrigation, industries importing green hydrogen production equipment shall include 7311.00.90 for high-pressure cylinders for hydrogen storage; 8414.80.00 for hydrogen compressors; 8419.60.00 for electrolyzers; 8421.39.90 for gas purification equipment; 9025.80.00 for moisture measuring devices for hydrogen gas; 9026.80.90 for leak detectors; & 9027.10.00 for gas analysis eqpmnt.**	---	A new provision promotes green hydrogen production by enabling industries to import essential equipment at potentially favorable terms based on ministry recommendations.
Section 6 (2) (tha)	**Customs Duty shall be 1% at the recommendation of respective regulator**	**The Ministry of Youth and Sports has recommended several items essential for the construction and operation of football, cricket, and multi-purpose stadiums. These include a side screen boundary rope (56.07), fire extinguishers (8424.10.00), and a digital scoreboard (8531.20.00). Additionally, for ground maintenance, the recommendations specify a turf roller (8432.80.00) and a grass cutting machine (8433.11.00). Waste management needs are addressed with a garbage compactor machine (8479.89.40). Finally, for seating and illumination, pre-fabricated seats (9401.99.00) and floodlights (9405.49.00) are also recommended.**	**~~For hydroelectric projects with a capacity exceeding 200 megawatts, the approval must be obtained from the Investment Board Nepal. In the case of projects operated by the board or the Nepal Electricity Authority, and other projects, the recommendation of the Department of Electric Development is required. The project developer or the contractor or the promoter of the hydroelectric project shall import construction equipment, plants, machinery tools, and related spare parts, explosive materials, penstock pipes, and steel plates. As per this section, recommendations should be made in accordance with the quantities specified in the detailed engineering design report of the hydroelectric project.~~**	The provision shifts focus from hydroelectric project approvals and imports to detailed customs classifications for sports stadium equipment, reflecting a change in regulatory priorities.

Customs Duty Act – Schedule 4 (4/5)

Section	Sub-Heading	Amended Provision	Existing Provision	Impact
Section 6 (2) (wa)	**Customs Duty shall be 1% at the recommendation of respective regulator**	**On the recommendation of the Industry Department, industries importing wood seasoning equipment shall include heading 8402 for boilers; subheading 8414.59.00 for air fans; subheading 8419.35.00 for wood drying machines (dryers); subheading 8422.40.00 for packing machines; heading 84.25 for skip hoists; heading 84.65 for machines for peeling bark from wood; subheading 8465.91.00 for wood chipping machines (sawing machines); subheading 8465.92.00 for rounding machines; and subheading 9025.80.00 for moisture measurement devices.**	---	This new provision facilitates and clarifies customs duty benefits for industries importing specialized wood seasoning equipment, promoting wood processing sector growth.
Section 6 (2) (sa)	**Customs Duty shall be 1% at the recommendation of respective regulator**	**On the recommendation of the Industry Department, industries producing and assembling electric vehicle charging machines shall include subheading 8424.10.00 for fire extinguishers; subheading 8537.20.00 for panels; heading 85.44 for charging cables and connectors; subheading 9028.30.00 for smart electric meters; and subheading 9032.89.00 for controllers.**	---	This provision supports the emerging electric vehicle infrastructure industry by easing import of key charging machine components
Section 6 (2) (ra)	**Customs Duty shall be 1% at the recommendation of respective regulator**	Based on the production capacity and annual consumption quantities of the industry as per the recommendation of the **Department of Drug Administration**, plastic pellets falling under subheadings 3901.10.00, 3901.20.00, and **3907.61.00 that are used exclusively in the pharmaceutical industry – such as PET bottles (Polyethylene), HDPE (High-Density Polyethylene) bottles, and vials and measurement caps – may be imported by the industry.**	Based on the production capacity and annual consumption figures of the industry, as per the recommendation of the **~~Drug Department~~**, plastic pellets of categories 3901.10.00 and 3901.20.00, **~~which include polyethene bottles (polyethylene), high-density polyethylene (HDPE) bottles, and industry-specific bottles for Birkö and measurement caps, are imported by industries engaged in the production of these items.~~**	The updated provision expands and specifies eligible plastic pellets for pharmaceutical industries with clearer regulatory endorsement. And Viscosity no. 78 ml per gm or more than that under subheading 3907.61.00 has been newly added

Customs Duty Act – Schedule 6 (5/5)

Section	Amended Provision	Existing Provision	Impact
Notes	**The industry engaged in oil production will impose a five percent agricultural improvement fee on fenugreek seeds falling under subheading 1201.90.00 and sunflower seeds falling under 1206.00.00 imported.**	~~**The following seeds are subject to seed quality control upon import based on the recommendations of the seed certification center:**~~ ~~**Wheat seeds falling under subheading 1001.11.00 and 1001.91.00, maize seeds under subheading 1005.10.00, rice seeds under subheading 1006.10.10, and vegetable seeds under subheadings 1209.91.10, 1209.91.20, 1209.91.30, 1209.91.40, 1209.91.50, and 1209.91.90. A one percent agricultural improvement fee will be levied on such imports.**~~	The new provision imposes a higher agricultural improvement fee specifically on fenugreek and sunflower seeds imported for oil production, replacing broader seed quality controls.

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